

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the District, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series 2018 Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. In the further opinion of Bond Counsel, interest on the Series 2018 Bonds is not a specific preference item for purposes of the federal alternative minimum tax. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Series 2018 Bonds. See “TAX MATTERS.”



\$10,000,000
RAVENSWOOD CITY SCHOOL DISTRICT
(COUNTY OF SAN MATEO)
GENERAL OBLIGATION BONDS,
ELECTION OF 2016, SERIES 2018

Dated: Date of Delivery**Due: August 1, as shown on inside cover**

This cover page is for quick reference only. It is not a summary of this issue. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision.

The Ravenswood City School District (the “District”), located in the County of San Mateo (the “County”), is issuing its General Obligation Bonds, Election of 2016, Series 2018, in the aggregate principal amount of \$10,000,000 (the “Series 2018 Bonds”). The Series 2018 Bonds described herein will be issued to finance specific construction and modernization projects approved by the voters and to pay costs of issuance of the Series 2018 Bonds. The Board of Supervisors of the County is empowered and is obligated to levy ad valorem taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Series 2018 Bonds, all as more fully described herein. See “SECURITY AND SOURCE OF PAYMENT FOR THE SERIES 2018 BONDS” herein.

The Series 2018 Bonds will be issued as current interest bonds. Interest on the Series 2018 Bonds is payable commencing on August 1, 2018, and thereafter on each February 1 and August 1 to maturity. Principal of the Series 2018 Bonds is payable on August 1 in each of the years and in the amounts set forth in the Maturity Schedule on the inside cover page of this Official Statement. Payments of principal of and interest on the Series 2018 Bonds will be made by the Paying Agent, initially The Bank of New York Mellon Trust Company, N.A., to The Depository Trust Company, New York, New York (“DTC”), for subsequent disbursement to DTC Participants, who will remit such payments to the Beneficial Owners (as defined in APPENDIX F) of the Series 2018 Bonds. See “THE SERIES 2018 BONDS – Payment of Principal and Interest” and APPENDIX F – “BOOK-ENTRY ONLY SYSTEM” herein.

The Series 2018 Bonds are subject to redemption prior to maturity, as described under “THE SERIES 2018 BONDS – Redemption” herein.

The Series 2018 Bonds will be issued in book-entry form only and initially will be issued and registered in the name of Cede & Co., as nominee of DTC. Purchasers will not receive physical certificates representing their interests in the Series 2018 Bonds. See “THE SERIES 2018 BONDS – Form and Registration” and APPENDIX F – “BOOK-ENTRY ONLY SYSTEM” herein.

The Series 2018 Bonds will be offered when, as and if issued by the District and received by the Underwriter, subject to approval of validity by Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the District. Certain legal matters will be passed upon for the District by Orrick, Herrington & Sutcliffe LLP, as Disclosure Counsel, and for the Underwriter by Curls Bartling P.C., Oakland, California, as Underwriter’s Counsel. It is anticipated that the Series 2018 Bonds, in book-entry form, will be available for delivery through the facilities of DTC, on or about March 1, 2018.



MATURITY SCHEDULE

\$10,000,000
RAVENSWOOD CITY SCHOOL DISTRICT
GENERAL OBLIGATION BONDS, ELECTION OF 2016, SERIES 2018

\$2,245,000 Serial Bonds

Maturity Date (August 1)	Principal Amount	Interest Rate	Yield[†]	CUSIP No. (754405)[‡]
2020	\$10,000	5.00%	1.68%	FU7
2021	50,000	5.00	1.84	FV5
2022	90,000	5.00	2.00	FW3
2023	140,000	5.00	2.15	FX1
2024	185,000	5.00	2.26	FY9
2025	235,000	5.00	2.39	FZ6
2026	295,000	5.00	2.51	GA0
2027	350,000	5.00	2.61 ^c	GB8
2028	410,000	5.00	2.69 ^c	GC6
2029	480,000	5.00	2.78 ^c	GD4

\$1,170,000 3.00% Term Series 2018 Bonds due August 1, 2031 – Yield 3.25% – CUSIP Number[‡] GE2

\$1,445,000 3.25% Term Series 2018 Bonds due August 1, 2033 – Yield 3.40% – CUSIP Number[‡] GF9

\$1,770,000 4.00% Term Series 2018 Bonds due August 1, 2035 – Yield 3.47%^c – CUSIP Number[‡] GG7

\$3,370,000 4.00% Term Series 2018 Bonds due August 1, 2038 – Yield 3.56%^c – CUSIP Number[‡] GH5

[†] Yields certified by the Underwriter. The District takes no responsibility therefor.

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^c Yield to call at par on or after August 1, 2026.

RAVENSWOOD CITY SCHOOL DISTRICT

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Chief Business Official

SAN MATEO COUNTY

County Administration

Sandie Arnott
Treasurer-Tax Collector

Juan Raigoza
Auditor-Controller

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Municipal Advisor

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Oakland, California

Bond Counsel and Disclosure Counsel

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San Francisco, California

Underwriter's Counsel

Curls Bartling P.C.
Oakland, California

Paying Agent

The Bank of New York Mellon Trust Company, N.A.
Dallas, Texas

This Official Statement does not constitute an offering of any security other than the original offering of the Series 2018 Bonds by the District. No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained in this Official Statement, and if given or made, such other information or representation not so authorized should not be relied upon as having been given or authorized by the District.

The Series 2018 Bonds are exempt from registration under the Securities Act of 1933, as amended, pursuant to Section 3(a)(2) thereof. This Official Statement does not constitute an offer to sell or a solicitation of an offer to buy the Series 2018 Bonds in any state in which such offer or solicitation is not authorized or in which the person making such offer or solicitation is not qualified to do so, or to any person to whom it is unlawful to make such offer or solicitation.

The information set forth herein other than that furnished by the District, although obtained from sources which are believed to be reliable, is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Series 2018 Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

The Underwriter has provided the following sentence for inclusion in this Official Statement: The Underwriter has reviewed the information in this Official Statement in accordance with, and as a part of, its responsibilities to investors under the federal securities laws, as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements are generally identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget,” “project” or other similar words. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The District does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations, or events, conditions or circumstances on which such statements are based occur.

The District maintains a website. However, the information presented on that website is not part of this Official Statement and should not be relied upon in making investment decisions with respect to the Series 2018 Bonds.

In connection with this offering, the Underwriter may overallocate or effect transactions which stabilize or maintain the market prices of the Series 2018 Bonds at a level above that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued at any time. The Underwriter may offer and sell the Series 2018 Bonds to certain securities dealers and dealer banks and banks acting as agents at prices lower than the public offering prices stated on the inside cover page hereof and said public offering prices may be changed from time to time by the Underwriter.

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\$10,000,000
RAVENSWOOD CITY SCHOOL DISTRICT
(COUNTY OF SAN MATEO)
General Obligation Bonds, Election of 2016, Series 2018

INTRODUCTION

This Official Statement, which includes the cover page and appendices hereto, provides information in connection with the sale of the Ravenswood City School District General Obligation Bonds, Election of 2016, Series 2018 (the “Series 2018 Bonds”), in the aggregate principal amount of \$10,000,000 (the “Bonds”).

This Official Statement speaks only as of its date, and the information contained herein is subject to change. Except as required by the Continuing Disclosure Certificate to be executed by the Ravenswood City School District (the “District”), the District has no obligation to update the information in this Official Statement. See “OTHER LEGAL MATTERS – Continuing Disclosure” herein.

The purpose of this Official Statement is to supply information to prospective buyers of the Series 2018 Bonds. Quotations from and summaries and explanations of the Series 2018 Bonds, the resolution providing for the issuance of the Series 2018 Bonds and the constitutional provisions, statutes and other documents described herein, do not purport to be complete, and reference is hereby made to said documents, constitutional provisions and statutes for the complete provisions thereof. Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the Underwriter or the Owners of any of the Series 2018 Bonds. Capitalized terms used in this Official Statement and not otherwise defined shall have the meanings assigned to them in the Paying Agent Agreement (defined herein).

Copies of documents referred to herein and information concerning the Series 2018 Bonds are available from the District through the Office of Business Services, 2120 Euclid Avenue, East Palo Alto, CA 94303. The District may impose a charge for copying, mailing and handling.

The District

The District’s headquarters are located in East Palo Alto, California. The District, located in the southeastern corner of San Mateo County (the “County”), has been operational since 1918, and provides kindergarten through eighth grade educational services to an area of approximately 12 square miles covering the City of East Palo Alto and a portion of the City of Menlo Park. The District operates or oversees eight schools and one child development center. Of the eight schools, one is a charter school. The District is located approximately 35 miles south of San Francisco. The District’s projected average daily attendance in 2017-18 is 2,537 students.

For additional information about the District’s operations and finances, see APPENDIX A – “INFORMATION RELATING TO THE DISTRICT’S OPERATIONS AND BUDGET.”

Authority for Issuance

The Series 2018 Bonds are issued pursuant to the Constitution and laws of the State of California (the “State”), including the provisions of Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State (the “Government Code”), and other applicable provisions of law, including applicable provisions of the Education Code of the State (the “Education Code”). The Series 2018 Bonds are authorized by a resolution (the “Resolution”) adopted by the District’s Board of Education (the “Board of Education”) on December 14, 2017, and are issued pursuant to a Paying Agent Agreement, tentatively dated as of March 1, 2018 (the “Paying Agent Agreement”), by and between the District and The Bank of New York Mellon Trust Company, N.A., as paying agent (the “Paying Agent”).

Purpose of Issuance

At an election held on June 7, 2016, the District received authorization under a ballot measure to issue bonds of the District in an aggregate principal amount not to exceed \$26,000,000 to finance specific school facility construction, repair and improvement projects (the “2016 Authorization”), summarized as follows: maintain warm, safe, and dry schools; repair aging facilities; upgrade school safety; create student-centered 21st century classrooms; improve technology, computer and science labs; increase energy efficiency; and repair, construct, acquire, and retrofit school facilities, sites, and equipment. The measure required approval by at least 55% of the votes cast by eligible voters within the District, and received a favorable vote of approximately 86.69% of the votes cast on the measure. The Series 2018 Bonds represent the second series of bonds to be issued under the 2016 Authorization and will be issued to finance authorized projects. See “– Application and Investment of Series 2018 Bond Proceeds” herein. Following the issuance of the Series 2018 Bonds, there would be no authorization remaining under the 2016 Authorization to issue additional bonds.

Application and Investment of Series 2018 Bond Proceeds

The proceeds of sale of the Series 2018 Bonds, exclusive of any premium and accrued interest received, will be deposited in the County treasury to the credit of the project fund of the District (the “Project Fund”). Any premium and accrued interest received will be deposited in the interest and sinking fund of the District within the County treasury (the “Interest and Sinking Fund”).

All funds held by the Treasurer-Tax Collector of the County (the “Treasurer-Tax Collector”) with respect to the Series 2018 Bonds hereunder or under the Law shall be invested at the Treasurer-Tax Collector’s discretion pursuant to law and the investment policy of the County.

The District has covenanted to not take any action or inaction, or fail to take any action, or permit any action to be taken on its behalf or cause or permit any circumstances within its control to arise or continue, if such action or inaction would adversely affect the exclusion from gross income of the interest payable on the Series 2018 Bonds under Section 103 of the Code.

In the event that at any time the District is of the opinion that it is necessary or helpful to restrict or limit the yield on the investment of any moneys held by the Treasurer-Tax Collector with respect to the Series 2018 Bonds, or by the Paying Agent under the Paying Agent Agreement, the District will so instruct the Treasurer-Tax Collector or the Paying Agent, as appropriate, in writing, and the Treasurer-Tax Collector and the Paying Agent will take such action as may be necessary in accordance with such instructions.

If the District provides to the Treasurer-Tax Collector or the Paying Agent an opinion of Bond Counsel that any specified action required under the Paying Agent Agreement is no longer required or that some further or different action is required in order to maintain the exclusion from federal income tax of interest on Series 2018 Bonds under Section 103 of the Code, the Treasurer-Tax Collector and the Paying Agent may conclusively rely on such opinion in complying with the requirements of the Paying Agent Agreement, and the covenants thereunder will be deemed to be modified to that extent.

Earnings on the investment of moneys in either fund will be retained in that fund and used only for the purposes to which that fund may lawfully be applied. Moneys in the Project Fund may only be applied for the purposes for which the Series 2018 Bonds were approved. Moneys in the Interest and Sinking Fund may only be applied to make payments of interest, principal, and premium, if any, on bonds of the District.

See APPENDIX E – “COUNTY OF SAN MATEO INVESTMENT POLICY STATEMENT AND INVESTMENT REPORT.”

ESTIMATED SOURCES AND USES OF FUNDS

The proceeds of the Series 2018 Bonds are expected to be applied as follows:

Sources of Funds	
Principal Amount	\$10,000,000.00
Plus Net Original Issue Premium	495,156.95
Total Sources	\$10,495,156.95
Uses of Funds	
Project Fund	\$9,865,000.00
Interest and Sinking Fund	362,196.11
Underwriter's Discount	132,960.84
Costs of Issuance ⁽¹⁾	135,000.00
Total Uses	\$10,495,156.95

⁽¹⁾ Includes Municipal Advisor fees, Bond Counsel fees, Disclosure Counsel fees, rating agency fees, Paying Agent fees, printing fees and other miscellaneous expenses.

THE SERIES 2018 BONDS

Form and Registration

The Series 2018 Bonds will be issued in fully registered book-entry form only, as current interest bonds without coupons, in denominations of \$5,000 principal amount each or any integral multiple thereof. The Series 2018 Bonds will initially be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). DTC will act as securities depository for the Series 2018 Bonds. Registered ownership of the Series 2018 Bonds may not be transferred except as described in APPENDIX F. Purchases of Series 2018 Bonds under the DTC system must be made by or through a DTC participant, and ownership interests in Series 2018 Bonds or any transfer thereof will be recorded as entries on the books of said participants. Except in the event that use of this book-entry system is discontinued for the Series 2018 Bonds, Beneficial Owners will not receive physical certificates representing their ownership interests. See APPENDIX F – "BOOK-ENTRY ONLY SYSTEM."

Payment of Principal and Interest

The Series 2018 Bonds will be dated the date of their delivery, and bear interest at the rates set forth on the cover page hereof, payable on February 1 and August 1 of each year, commencing on August 1, 2018 (each, an "Interest Payment Date"), until payment of the principal amount thereof, computed using a year of 360 days consisting of twelve 30-day months. Series 2018 Bonds authenticated and registered on any date prior to the close of business on July 15, 2018 will bear interest from the date of their delivery. Series 2018 Bonds authenticated during the period between the 15th day of the calendar month immediately preceding an Interest Payment Date (the "Record Date") and the close of business on that Interest Payment Date will bear interest from that Interest Payment Date. Any other Series 2018 Bond will bear interest from the Interest Payment Date immediately preceding the date of its authentication. If, at the time of authentication of any Series 2018 Bond, interest is then in default on outstanding Series 2018 Bonds, such Series 2018 Bond will bear interest from the Interest Payment Date to which interest has previously been paid or made available for payment thereon.

Payment of interest on any Series 2018 Bond on each Interest Payment Date (or on the following business day, if the Interest Payment Date does not fall on a business day) is payable in lawful money of the United States of America to the person whose name appears on the registration books of the Paying Agent as the registered owner thereof (the "Owner") as of the preceding Record Date, such interest to be paid by check or draft mailed to such Owner at such Owner's address as it appears on such registration books or at such other address as the Owner may have filed with the Paying Agent for that purpose on or before the Record Date. The Owner of an aggregate principal amount of \$1,000,000 or more of Series 2018 Bonds may request in writing to the Paying Agent that such

Owner be paid interest by wire transfer to the bank and account number on file with the Paying Agent as of the applicable Record Date.

Principal will be payable on August 1 of each year shown on the inside cover hereof, commencing on August 1, 2020, upon surrender of Series 2018 Bonds at such office of the Paying Agent as the Paying Agent shall designate. The interest, principal and premiums, if any, on the respective Series 2018 Bonds will be, payable in lawful money of the United States of America solely from moneys on deposit in the Interest and Sinking Fund, consisting of *ad valorem* property taxes collected and held by the Treasurer-Tax Collector, together with any net premium and accrued interest received by the District upon issuance of the Series 2018 Bonds. See “SECURITY AND SOURCE OF PAYMENT FOR THE SERIES 2018 BONDS” herein.

So long as all outstanding Series 2018 Bonds are held in book-entry form and registered in the name of a securities depository or its nominee, all payments of principal of, premium, if any, and interest on the Series 2018 Bonds and all notices with respect to such Series 2018 Bonds will be made and given, respectively, to such securities depository or its nominee and not to Beneficial Owners. So long as the Series 2018 Bonds are held by Cede & Co., as nominee of DTC, payment will be made by wire transfer.

Redemption

Optional Redemption. The Series 2018 Bonds maturing on or before August 1, 2026, are not subject to redemption prior to their respective stated maturity dates. The Series 2018 Bonds maturing on and after August 1, 2027 shall be subject to redemption prior to their respective stated maturity dates, at the option of the District, from any source of available funds, as a whole or in part on any date on or after August 1, 2026 at a redemption price equal to 100% of the Principal Amount of the Series 2018 Bonds called for redemption, together with interest accrued thereon to the date of redemption, without premium.

Mandatory Sinking Fund Redemption. The \$1,170,00 Term Series 2018 Bond maturing on August 1, 2031, is also subject to mandatory sinking fund redemption on each mandatory sinking fund redemption date and in the respective principal amounts as set forth in the following schedule, at a redemption price equal to 100% of the principal amount thereof to be redeemed (without premium), together with interest accrued thereon to the date fixed for redemption:

Mandatory Sinking Fund Redemption Date (August 1)	Principal Amount to Be Redeemed
2030	\$550,000
2031 [†]	\$620,000

[†] Maturity.

The \$1,445,000 Term Series 2018 Bond maturing on August 1, 2033, is also subject to mandatory sinking fund redemption on each mandatory sinking fund redemption date and in the respective principal amounts as set forth in the following schedule, at a redemption price equal to 100% of the principal amount thereof to be redeemed (without premium), together with interest accrued thereon to the date fixed for redemption:

Mandatory Sinking Fund Redemption Date (August 1)	Principal Amount to Be Redeemed
2032	\$685,000
2033 [†]	\$760,000

[†] Maturity.

The \$1,770,000 Term Series 2018 Bond maturing on August 1, 2035, is also subject to mandatory sinking fund redemption on each mandatory sinking fund redemption date and in the respective principal amounts as set

forth in the following schedule, at a redemption price equal to 100% of the principal amount thereof to be redeemed (without premium), together with interest accrued thereon to the date fixed for redemption:

Mandatory Sinking Fund Redemption Date (August 1)	Principal Amount to Be Redeemed
2034	\$840,000
2035 [†]	\$930,000

[†] Maturity.

The \$3,370,000 Term Series 2018 Bond maturing on August 1, 2038, is also subject to mandatory sinking fund redemption on each mandatory sinking fund redemption date and in the respective principal amounts as set forth in the following schedule, at a redemption price equal to 100% of the principal amount thereof to be redeemed (without premium), together with interest accrued thereon to the date fixed for redemption:

Mandatory Sinking Fund Redemption Date (August 1)	Principal Amount to Be Redeemed
2036	\$1,025,000
2037	\$1,120,000
2038 [†]	\$1,225,000

[†] Maturity.

The principal amount to be redeemed in each year shown in the tables above will be reduced at the option of the District, in integral multiples of \$5,000, by the amount of such Term Series 2018 Bond optionally redeemed prior to the mandatory sinking fund redemption date.

Selection of Series 2018 Bonds for Redemption. If less than all of the Series 2018 Bonds are called for redemption, such bonds shall be redeemed in inverse order of maturities or as otherwise directed by the District. If less than all of the Series 2018 Bonds of any given maturity are called for redemption, the portions of such Series 2018 Bonds of a given maturity to be redeemed shall be determined by lot. For purposes of such selection, each Series 2018 Bond shall be deemed to consist of individual Series 2018 Bonds of denominations of \$5,000 principal amount each, which may be separately redeemed.

Notice of Redemption. Notice of redemption of the Series 2018 Bonds will be mailed by the Paying Agent, upon written request of the District, postage prepaid not less than 20 nor more than 60 days prior to the date fixed for redemption (i) by first class mail to the respective Owners of Series 2018 Bonds at the addresses appearing on the bond registration books of the Paying Agent, and (ii) as may be further required in accordance with the Continuing Disclosure Certificate. See APPENDIX D – “FORM OF CONTINUING DISCLOSURE CERTIFICATE.”

Each notice of redemption shall contain all of the following information: (i) the date of such notice; (ii) the name of the affected Series 2018 Bonds and the date of issue of the Series 2018 Bonds; (iii) the date fixed for redemption; (iv) the redemption price, if available; (v) the dates of maturity of the Series 2018 Bonds to be redeemed; (vi) if less than all of the Series 2018 Bonds are to be redeemed, the distinctive numbers of the Series 2018 Bonds of each maturity to be redeemed; (vii) in the case of Series 2018 Bonds redeemed in part only, the respective maturities or portions of the principal amount of the Series 2018 Bonds of each maturity to be redeemed; (viii) the CUSIP number, if any, of each maturity of Series 2018 Bonds to be redeemed; and (ix) a statement that such Series 2018 Bonds must be surrendered by the Owners at the office of the Paying Agent designated by the Paying Agent for such purpose.

The actual receipt by any Owner of any Series 2018 Bond of notice of such redemption will not be a condition precedent to redemption, and failure to receive such notice, or any defect in the notice given, will not affect the validity of the proceedings for the redemption of such Series 2018 Bonds.

Rescission of Notice of Redemption. The District may rescind any redemption and notice thereof for any reason on any date prior to the date fixed for redemption by causing written notice of the rescission to be given to the Owners of the Series 2018 Bonds so called for redemption. Notice of rescission of redemption will be given in the same manner in which notice of redemption was originally given. The actual receipt by the Owner of any Series 2018 Bond of notice of such rescission will not be a condition precedent to rescission, and failure to receive such notice or any defect in such notice will not affect the validity of the rescission.

Conditional Notice. Any notice of optional redemption delivered hereunder may be conditioned on any fact or circumstance stated therein, and if such condition shall not have been satisfied on or prior to the date fixed for redemption stated in such notice, said notice shall be of no force and effect on and as of the stated date fixed for redemption, the redemption shall be cancelled, and the District shall not be required to redeem the Series 2018 Bonds that were the subject of the notice. The Paying Agent shall give notice of such cancellation and the reason therefor in the same manner in which notice of redemption was originally given. The actual receipt by the Owner of any Series 2018 Bond of notice of such cancellation shall not be a condition precedent to cancellation, and failure to receive such notice or any defect in such notice shall not affect the validity of the cancellation.

Effect of Notice of Redemption. When notice of redemption has been given, substantially as described in the Paying Agent Agreement, and when the amount necessary for the payment of the redemption price, if any, is set aside for such purpose, the Series 2018 Bonds designated for redemption will become due and payable on the date fixed for redemption thereof, and upon presentation and surrender of said Series 2018 Bonds at the place specified in the notice of redemption, such Series 2018 Bonds will be redeemed and paid at the redemption price thereof out of the money provided therefor.

Defeasance of Series 2018 Bonds

The District may pay and discharge any or all of the Series 2018 Bonds by depositing in trust with the Paying Agent or an escrow agent at or before maturity, money or non-callable direct obligations of the United States of America or other non-callable obligations the payment of the principal of and interest on which is guaranteed by a pledge of the full faith and credit of the United States of America, in an amount which will, together with the interest to accrue thereon and available moneys then on deposit in the Interest and Sinking Fund, be fully sufficient in the opinion of a certified public accountant licensed to practice in the State to pay and discharge the indebtedness on such Series 2018 Bonds (including all principal, interest and redemption premiums) at or before their respective maturity dates.

If at any time the District pays or causes to be paid or there is otherwise paid to the Owners of any or all outstanding Series 2018 Bonds all of the principal, interest and premium, if any, represented by such Series 2018 Bonds when due, or as described above, or as otherwise provided by law, then such Owners shall cease to be entitled to the obligation of the County to levy and collect taxes to pay the Series 2018 Bonds as described in the Paying Agent Agreement, and such obligation and all agreements and covenants of the District to such Owners hereunder shall thereupon be satisfied and discharged and shall terminate, except only that the District will remain liable for payment of all principal, interest and premium, if any, represented by such Series 2018 Bonds, but only out of moneys on deposit in the Interest and Sinking Fund or otherwise held in trust for such payment, provided, that the unclaimed moneys provisions described in the Paying Agent Agreement will apply in all events.

Unclaimed Moneys

Any money held in any fund created pursuant to the Paying Agent Agreement, or held by the Paying Agent in trust, for the payment of the principal of, redemption premium, if any, or interest on the Series 2018 Bonds and remaining unclaimed for two years after the principal of all of the Series 2018 Bonds has become due and payable (whether by maturity or upon prior redemption) shall be transferred to the Interest and Sinking Fund for payment of any outstanding bonds of the District payable from said fund; or, if no such bonds of the District are at such time outstanding, said moneys shall be transferred to the general fund of the District as provided and permitted by law.

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DEBT SERVICE SCHEDULE

Semi-Annual Debt Service of the Series 2018 Bonds

Scheduled semi-annual debt service payable with respect to the Series 2018 Bonds (without regard to redemption prior to maturity) is as shown in the following table:

RAVENSWOOD CITY SCHOOL DISTRICT General Obligation Bonds, Election of 2016, Series 2018 SEMI-ANNUAL DEBT SERVICE PAYMENTS

Payment Date Period Ending	Principal	Interest	Total Annual Debt Service
August 1, 2018		\$166,630.21	\$166,630.21
February 1, 2019		199,956.25	
August 1, 2019		199,956.25	399,912.50
February 1, 2020		199,956.25	
August 1, 2020	\$10,000	199,956.25	409,912.50
February 1, 2021		199,706.25	
August 1, 2021	50,000	199,706.25	449,412.50
February 1, 2022		198,456.25	
August 1, 2022	90,000	198,456.25	486,912.50
February 1, 2023		196,206.25	
August 1, 2023	140,000	196,206.25	532,412.50
February 1, 2024		192,706.25	
August 1, 2024	185,000	192,706.25	570,412.50
February 1, 2025		188,081.25	
August 1, 2025	235,000	188,081.25	611,162.50
February 1, 2026		182,206.25	
August 1, 2026	295,000	182,206.25	659,412.50
February 1, 2027		174,831.25	
August 1, 2027	350,000	174,831.25	699,662.50
February 1, 2028		166,081.25	
August 1, 2028	410,000	166,081.25	742,162.50
February 1, 2029		155,831.25	
August 1, 2029	480,000	155,831.25	791,662.50
February 1, 2030		143,831.25	
August 1, 2030	550,000	143,831.25	837,662.50
February 1, 2031		135,581.25	
August 1, 2031	620,000	135,581.25	891,162.50
February 1, 2032		126,281.25	
August 1, 2032	685,000	126,281.25	937,562.50
February 1, 2033		115,150.00	
August 1, 2033	760,000	115,150.00	990,300.00
February 1, 2034		102,800.00	
August 1, 2034	840,000	102,800.00	1,045,600.00
February 1, 2035		86,000.00	
August 1, 2035	930,000	86,000.00	1,102,000.00
February 1, 2036		67,400.00	
August 1, 2036	1,025,000	67,400.00	1,159,800.00
February 1, 2037		46,900.00	
August 1, 2037	1,120,000	46,900.00	1,213,800.00
February 1, 2038		24,500.00	
August 1, 2038	1,225,000	24,500.00	1,274,000.00
Total	\$10,00,000	\$5,971,555.21	\$15,971,555.21

Combined Annual Debt Service

The District has previously issued and currently has outstanding its 2016 General Obligation Refunding Bonds and its General Obligation Bonds, Election of 2016, Series 2016. See “APPENDIX A – INFORMATION RELATING TO THE DISTRICT’S OPERATIONS AND BUDGET – FINANCIAL AND DEMOGRAPHIC INFORMATION – District Debt” herein.

The following table sets forth the annual debt service, assuming no optional redemptions prior to maturity, of all outstanding general obligation bonds of the District, including the Series 2018 Bonds.

RAVENSWOOD CITY SCHOOL DISTRICT (San Mateo County, California) Outstanding General Obligation Bonds Annual Debt Service

Period Ending (August 1)	Outstanding General Obligation Refunding Debt Service	Outstanding Election of 2016, Series 2016 Debt Service	Series 2018 Bonds Debt Service	Aggregate Debt Service
2018*	\$1,360,100.00	\$1,453,431.26	\$166,630.21	\$2,980,161.47
2019	1,375,900.00	1,044,681.26	399,912.50	2,820,493.76
2020	1,387,650.00	1,014,431.26	409,912.50	2,811,993.76
2021	1,408,250.00	1,009,681.26	449,412.50	2,867,343.76
2022	798,000.00	1,009,181.26	486,912.50	2,294,093.76
2023		1,002,681.26	532,412.50	1,535,093.76
2024		1,000,431.26	570,412.50	1,570,843.76
2025		997,181.26	611,162.50	1,608,343.76
2026		992,931.26	659,412.50	1,652,343.76
2027		992,681.26	699,662.50	1,692,343.76
2028		991,181.26	742,162.50	1,733,343.76
2029		983,431.26	791,662.50	1,775,093.76
2030		984,681.26	837,662.50	1,822,343.76
2031		979,431.26	891,162.50	1,870,593.76
2032		977,931.26	937,562.50	1,915,493.76
2033		976,531.26	990,300.00	1,966,831.26
2034		974,131.26	1,045,600.00	2,019,731.26
2035		970,731.26	1,102,000.00	2,072,731.26
2036		966,331.26	1,159,800.00	2,126,131.26
2037		965,931.26	1,213,800.00	2,179,731.26
2038		963,343.76	1,274,000.00	2,237,343.76
2039		959,518.76		959,518.76
2040		959,456.26		959,456.26
2041		957,950.00		957,950.00
Total	\$6,329,900.00	\$24,127,893.98	\$15,971,555.21	\$46,429,349.19

* Amounts include interest payment scheduled for February 1, 2018.

SECURITY AND SOURCE OF PAYMENT FOR THE SERIES 2018 BONDS

Security for the Series 2018 Bonds

The interest, principal and premiums, if any, on the Series 2018 Bonds will, without any further action on the part of the District, the Owners or Beneficial Owners of the Series 2018 Bonds, be payable solely from moneys on deposit in the Interest and Sinking Fund, consisting of *ad valorem* property taxes collected and held by the Treasurer-Tax Collector, together with any net premium and accrued interest received upon issuance of the Series 2018 Bonds. In order to provide sufficient funds for repayment of principal and interest when due on the Series 2018 Bonds, the Board of Supervisors of the County is empowered and will be obligated to levy *ad valorem* taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates). Such taxes are in addition to other taxes levied upon property within the District, including the countywide tax of 1% of taxable value. When collected, the tax revenues will be deposited by the County in the District's Interest and Sinking Fund, which is required to be maintained by the County and to be used solely for the payment of bonds of the District.

Statutory Lien on Taxes (Senate Bill 222)

Pursuant to Section 53515 of the California Government Code (which became effective on January 1, 2016), all general obligation bonds issued by local agencies, including refunding bonds, will be secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax. Section 53515 provides that the lien will automatically arise, without the need for any action or authorization by the local agency or its governing board, and will be valid and binding from the time the Series 2018 Bonds are executed and delivered. Section 53515 further provides that the revenues received pursuant to the levy and collection of the tax will be immediately subject to the lien, and the lien will immediately attach to the revenues and be effective, binding and enforceable against the local agency, its successor, transferees and creditors, and all others asserting rights therein, irrespective of whether those parties have notice of the lien and without the need for physical delivery, recordation, filing or further act.

Pledge of Tax Revenues

The District has pledged all revenues from the property taxes collected from the levy by the Board of Supervisors of the County for the payment of Bonds (as defined below) of the District and amounts on deposit in the Interest and Sinking Fund of the District to the payment of the principal or redemption price of and interest on the Bonds. This pledge is valid and binding from the date of the Resolution for the benefit of the Owners of the Bonds and successors thereto. The property taxes and amounts held in the Interest and Sinking Fund shall be immediately subject to this pledge, and the pledge constitutes a lien and security interest which shall immediately attach to the property taxes and amounts held in the Interest and Sinking Fund to secure the payment of the Bonds and shall be effective, binding, and enforceable against the District, its successors, creditors and all others irrespective of whether those parties have notice of the pledge and without the need of any physical delivery, recordation, filing, or further act. The term "Bonds" for purpose of this pledge contained in the Resolution means all bonds of the District heretofore or hereafter issued pursuant to voter approved measures of the District, including bonds approved by the voters of the District on June 7, 2016, as all such Bonds are required by State law to be paid from the Interest and Sinking Fund.

Property Taxation System

Property tax revenues result from the application of the appropriate tax rate to the total assessed value of taxable property in the District. School districts levy property taxes for payment of voter-approved bonds and receive property taxes for general operating purposes as well. The District received approximately 27.53% (\$13,107,884.06) of its total general fund revenues from local property taxes in fiscal year 2016-17.

Local property taxation is the responsibility of various county officers. For each school district located in a county, the county assessor computes the value of locally assessed taxable property. Based on the assessed value of property and the scheduled debt service on outstanding bonds in each year, the county auditor-controller computes

the rate of tax necessary to pay such debt service, and presents the tax rolls (including rates of tax for all taxing jurisdictions in the county) to the county board of supervisors for approval. The county treasurer-tax collector prepares and mails tax bills to taxpayers and collects the taxes. In addition, the treasurer-tax collector, as *ex officio* treasurer of each school district located in the county, holds and invests school district funds, including taxes collected for payment of school bonds, and is charged with payment of principal and interest on such bonds when due. Taxes on property in a school district whose boundaries extend into more than one county are administered separately by the county in which the property is located. The State Board of Equalization also assesses certain special classes of property, as described later in this section.

Assessed Valuation of Property Within the District

Under Proposition 13, an amendment to the California Constitution adopted in 1978, the county assessor's valuation of real property is established as shown on the fiscal year 1975-76 tax bill, or, thereafter, as the appraised value of real property when purchased, newly constructed, or a change in ownership has occurred. Assessed value of property may be increased annually to reflect inflation at a rate not to exceed 2% per year, or reduced to reflect a reduction in the consumer price index or comparable data for the area under taxing jurisdiction or in the event of declining property value caused by substantial damage, destruction, market forces or other factors. As a result of these rules, real property that has been owned by the same taxpayer for many years can have an assessed value that is much lower than the market value of the property and of similar properties more recently sold. Likewise, changes in ownership of property and reassessment of such property to market value may lead to increases in aggregate assessed value greater than the actual rate of inflation or the 2% limit on inflation adjustments for properties that have not changed ownership. See APPENDIX A – "INFORMATION RELATING TO THE DISTRICT'S OPERATIONS AND BUDGET – CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Limitations on Revenues – *Article XIII A of the California Constitution.*"

Proposition 13 has had the effect of stabilizing assessed valuation such that it does not fluctuate as significantly as the market value of property, but instead gradually changes as longer owned residential properties are transferred and reassessed upon such transfer. Newer residences or those acquired in recent years prior to a downturn in the housing market may upon transfer substantially decrease in assessed value.

State law provides exemptions from *ad valorem* property taxation for certain classes of property such as churches, colleges, non-profit hospitals, and charitable institutions. State law also exempts from taxation \$7,000 of the full cash value of an owner-occupied dwelling provided that the owner files for such exemption. This exemption does not result in any loss of revenue to local agencies, since the State reimburses local agencies for the value of the exemptions.

Classification of Locally Taxed Property. For assessment and tax collection purposes, property is classified either as "secured" or "unsecured," and is listed accordingly on separate parts of the assessment roll. The "secured roll" is that part of the assessment roll containing State-assessed property and property (real or personal) for which there is a lien on real property sufficient, in the opinion of the county assessor, to secure payment of the taxes. All other property is "unsecured," and is assessed on the "unsecured roll." State law requires that the assessment roll be finalized by August 20 of each year.

The greater the assessed value of taxable property in the District, the lower the tax rate necessary to generate taxes sufficient to pay scheduled debt service on the Series 2018 Bonds. The following table shows recent history of taxable property assessed valuation in the District. In Fiscal Year 2017-18, the total assessed valuation of taxable property in the District increased from the previous year by approximately \$6.2 billion, or 24.21%.

**RAVENSWOOD CITY SCHOOL DISTRICT
SUMMARY OF TAXABLE ASSESSED VALUATION
FISCAL YEARS 2008-09 TO 2017-18**

Fiscal Year	Secured Assessed Value	Unsecured Assessed Value	Total Assessed Value	Percent Change
2008-09	\$3,682,573,495	\$324,220,950	\$4,006,794,445	----%
2009-10	3,361,947,174	331,888,272	3,693,835,446	(7.81)
2010-11	3,234,912,376	349,570,266	3,584,482,642	(2.96)
2011-12	3,054,456,727	307,315,022	3,361,771,749	(6.21)
2012-13	2,923,180,879	381,494,246	3,304,675,125	(1.70)
2013-14	3,093,750,561	337,850,349	3,431,600,910	3.84
2014-15	3,281,174,043	340,371,176	3,621,545,219	5.54
2015-16	3,653,585,385	453,579,989	4,107,165,374	13.41
2016-17	4,442,004,680	660,150,142	5,102,154,822	24.23
2017-18	5,367,321,492	969,886,575	6,337,208,067	24.21

Source: The County for fiscal years 2008-09 through 2014-15; California Municipal Statistics, Inc. for fiscal years 2015-16 through 2017-18.

Assembly Bill 102. On June 27, 2017, the Governor signed into law Assembly Bill 102 (“AB 102”). AB 102 restructures the functions of the State Board of Equalization and creates two new agencies: (a) the California Department of Tax and Fee Administration (the “Tax Administration Department”) and (b) the Office of Tax Appeals. Under AB 102, the Tax Administration Department will take over programs previously in the State Board of Equalization’s Property Tax Department, such as the Tax Area Services Section, which is responsible for maintaining all property tax-rate area maps and for maintaining special revenue district boundaries. Under AB 102, the State Board of Equalization will continue to perform the duties assigned by the State Constitution related to property taxes, however, beginning January 1, 2018, the State Board of Equalization only hears appeals related to the programs that it constitutionally administers and the Office of Tax Appeals hears appeals on all other taxes and fee matters, such as sales and use tax and other special taxes and fees. AB 102 obligates the Offices of Tax Appeals to adopt regulations as necessary to carry out its duties, powers and responsibilities. No assurances can be given as to the effect of such regulations on the appeals process or on the assessed valuation of property within the District.

Risk of Decline in Property Values; Earthquake Risk. Property values could be reduced by factors beyond the District’s control, including an earthquake, or a depressed real estate market due to general economic conditions in the County, the region, and the State.

The District is located in a seismically active region. Active earthquake faults underlie both the District and the surrounding Bay Area. Three major earthquake faults that comprise the San Andreas fault system extend through the Bay Area. They include the San Andreas fault, the Hayward fault, and the Calaveras fault. On August 24, 2014, an earthquake occurred in Napa, California. The tremor’s epicenter was located approximately 3.7 miles northwest of American Canyon near the West Napa Fault and registered 6.0 on the Richter scale of earthquake intensity. The Napa earthquake caused fires, damaged buildings and roads, and injured approximately 200 people. The Napa earthquake was the largest earthquake in the Bay Area since the 1989 Loma Prieta earthquake on the San Andreas Fault, which was centered about 60 miles south of San Francisco and registered 6.9 on the Richter scale of earthquake intensity. The Loma Prieta earthquake caused fires and collapses of and structural damage to buildings, highways and bridges in the Bay Area.

In March 2015, the Working Group on California Earthquake Probabilities (a collaborative effort of the U.S. Geological Survey, the California Geological Society, and the Southern California Earthquake Center) reported that there is a 72% chance that one or more quakes of magnitude 6.7 or larger will occur in the Bay Area before the year 2045. Such earthquakes may be very destructive. In 2008, the United States Geological Survey predicted that a magnitude 7 earthquake occurring on the Hayward Fault would likely cause hundreds of deaths and approximately \$100 billion of damage. Property within the District could sustain extensive damage in a major earthquake, and a major earthquake could adversely affect the area’s economic activity.

Other possible causes for a reduction in assessed values include the complete or partial destruction of taxable property caused by other natural or manmade disasters, such as flood, fire, drought, toxic dumping, acts of terrorism, etc., or reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by State and local agencies and property used for qualified educational, hospital, charitable, or religious purposes). Lower assessed values could necessitate a corresponding increase in the annual tax rate to be levied to pay the principal of and interest on the Series 2018 Bonds. Issuance of additional bonds in the future might also cause the tax rate to increase.

Bonding Capacity. The District may not issue bonds in excess of 1.25% of the assessed valuation of taxable property within its boundaries. The District's fiscal year 2017-18 gross bonding capacity is estimated at \$79,215,100.84 and its net bonding capacity is approximately \$58,620,100.84, not taking into account the issuance of the Series 2018 Bonds. Refunding bonds may be issued without regard to this limitation; however, once issued, the outstanding principal of any refunding bonds is included when calculating the District's bonding capacity.

Assessed Valuation by Jurisdiction. The following table describes the percentage and value of the total assessed valuation of the property within the District's boundaries that reside in the cities of East Palo Alto, Menlo Park, and Redwood City for fiscal year 2017-18.

**RAVENSWOOD CITY SCHOOL DISTRICT
ASSESSED VALUATION BY JURISDICTION
FISCAL YEAR 2017-18**

Jurisdiction	Assessed Valuation in District	% of District	Assessed Valuation of Jurisdiction	% of Jurisdiction in District
City of East Palo Alto	\$2,966,666,467	46.81%	\$2,966,666,467	100.00%
City of Menlo Park	3,370,540,080	53.19	16,981,526,927	19.85
City of Redwood City	1,520	0.00	22,391,175,482	0.00
Total District	\$6,337,208,067	100.00%		
Alameda County	\$6,337,208,067	100.00%	\$206,921,709,423	3.06%

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Assessed Valuation by Land Use. The following table gives a description of taxable real property located in the District by principal purpose for which the land is used, and the assessed valuation and number of parcels for each use.

**RAVENSWOOD CITY SCHOOL DISTRICT
ASSESSED VALUATION⁽¹⁾ AND PARCELS BY LAND USE
FISCAL YEAR 2017-18**

	2017-18 <u>Assessed Valuation ⁽¹⁾</u>	% of <u>Total</u>	No. of <u>Parcels</u>	% of <u>Total</u>
Non-Residential:				
Commercial/Office	\$1,811,261,697	33.75%	112	1.75%
Hotel	53,920,323	1.00	1	0.02
Industrial	799,268,228	14.89	135	2.11
Recreational	1,431,041	0.03	3	0.05
Government/Social/Institutional	3,269,705	0.06	69	1.08
Miscellaneous	<u>2,134,334</u>	<u>0.04</u>	<u>81</u>	<u>1.27</u>
Subtotal Non-Residential	\$2,671,285,328	49.77%	401	6.28%
Residential:				
Single Family Residence	\$1,836,277,807	34.21%	5,011	78.49%
Condominium	133,192,369	2.48	339	5.31
Mobile Home	1,955,401	0.04	78	1.22
Mobile Home Park	4,170,698	0.08	2	0.03
2-4 Residential Units	89,583,536	1.67	209	3.27
5+ Residential	<u>562,022,613</u>	<u>10.47</u>	<u>119</u>	<u>1.86</u>
Units/Apartments				
Subtotal Residential	\$2,627,202,424	48.95%	5,758	90.19%
Vacant/Undeveloped	\$68,833,740	1.28%	225	3.52%
Total	\$5,367,321,492	100.00%	6,384	100.00%

⁽¹⁾ Local secured assessed valuation, excluding tax-exempt property.

Source: California Municipal Statistics, Inc.

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Assessed Valuation of Single-Family Residential Properties. The following table focuses on single-family residential properties only, which comprise approximately 34.21% of the assessed value of taxable property in the District in fiscal year 2017-18. The table gives a distribution of single-family residences in the District by assessed value. For fiscal year 2017-18, the average assessed value is \$366,449, and the median assessed value is \$305,126.

**RAVENSWOOD CITY SCHOOL DISTRICT
PER PARCEL ASSESSED VALUATION OF SINGLE FAMILY HOMES
FISCAL YEAR 2017-18**

	<u>No. of Parcels</u>	<u>2017-18 Assessed Valuation</u>	<u>Average Assessed Valuation</u>	<u>Median Assessed Valuation</u>
Single Family Residential	5,011	\$1,836,277,807	\$366,449	\$305,126

<u>2017-18 Assessed Valuation</u>	<u>No. of Parcels (1)</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>	<u>Total Valuation</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>
\$0 - \$49,999	511	10.198%	10.198%	\$ 20,193,908	1.100%	1.100%
\$50,000 - \$99,999	253	5.049	15.246	17,871,876	0.973	2.073
\$100,000 - \$149,999	326	6.506	21.752	40,918,587	2.228	4.301
\$150,000 - \$199,999	346	6.905	28.657	60,650,902	3.303	7.604
\$200,000 - \$249,999	522	10.417	39.074	117,683,060	6.409	14.013
\$250,000 - \$299,999	518	10.337	49.411	141,794,821	7.722	21.735
\$300,000 - \$349,999	371	7.404	56.815	120,788,072	6.578	28.313
\$350,000 - \$399,999	305	6.087	62.902	113,576,178	6.185	34.498
\$400,000 - \$449,999	225	4.490	67.392	95,709,440	5.212	39.710
\$450,000 - \$499,999	261	5.209	72.600	124,150,017	6.761	46.471
\$500,000 - \$549,999	205	4.091	76.691	107,239,517	5.840	52.311
\$550,000 - \$599,999	198	3.951	80.643	113,500,849	6.181	58.492
\$600,000 - \$649,999	190	3.792	84.434	118,238,033	6.439	64.931
\$650,000 - \$699,999	156	3.113	87.547	105,019,940	5.719	70.650
\$700,000 - \$749,999	141	2.814	90.361	102,223,907	5.567	76.217
\$750,000 - \$799,999	116	2.315	92.676	89,692,394	4.884	81.102
\$800,000 - \$849,999	106	2.115	94.791	87,317,775	4.755	85.857
\$850,000 - \$899,999	72	1.437	96.228	62,926,702	3.427	89.284
\$900,000 - \$949,999	62	1.237	97.466	57,216,878	3.116	92.400
\$950,000 - \$999,999	43	0.858	98.324	41,907,293	2.282	94.682
\$1,000,000 and greater	84	1.676	100.000	97,657,658	5.318	100.000
Total	5,011	100.000%		\$1,836,277,807	100.000%	

⁽¹⁾ Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

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Largest Taxpayers in District. The twenty taxpayers in the District with the greatest combined assessed valuation of taxable property on the 2017-18 tax roll, and the assessed valuations thereof, are shown below.

**RAVENSWOOD CITY SCHOOL DISTRICT
LARGEST LOCAL SECURED TAXPAYERS
FISCAL YEAR 2017-18**

	<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2017-18 Assessed Valuation</u>	<u>% of Total (1)</u>
1.	Peninsula Innovation Partners LLC	Industrial	\$ 434,984,797	8.10%
2.	Woodland Park Property Owner LLC	Apartments	390,870,040	7.28
3.	Giant Properties LLC	Office Building	386,735,241	7.21
4.	Wells REIT-Universal Circle LP	Office Building	345,007,058	6.43
5.	Hibiscus Properties LLC	Office Building	196,822,150	3.67
6.	SI 62 LLC	Office Building	152,064,491	2.83
7.	Menlo Prehc I LLC	Industrial	135,140,414	2.52
8.	Facebook Inc.	Office Building	129,839,653	2.42
9.	Bayfront Investments LLC	Apartments	125,693,005	2.34
10.	University Plaza EPA LLC	Office Building	111,076,572	2.07
11.	Ikea Property Inc.	Commercial	83,374,473	1.55
12.	KR Menlo Park LLC	Office Building	78,011,318	1.45
13.	Jefferson Place Associates LP	Office Building	54,964,624	1.02
14.	SHR Palo Alto LLC	Hotel	53,920,323	1.00
15.	Obrien Drive Portfolio LLC	Industrial	50,420,787	0.94
16.	Menlo Park Portfolio II LLC	Industrial	45,629,405	0.85
17.	Exponent Realty LLC	Office Building	38,613,798	0.72
18.	Gateway 101 LLC	Commercial	27,406,692	0.51
19.	HD Development of Maryland Inc.	Commercial	20,756,254	0.39
20.	Sycamore Real Estate Investment LLC	Industrial	<u>19,811,868</u>	<u>0.37</u>
			<u>\$2,881,142,963</u>	<u>53.68%</u>

⁽¹⁾ 2017-18 Local Secured Assessed Valuation: \$5,367,321,492

Source: California Municipal Statistics, Inc.

The more property (by assessed value) owned by a single taxpayer, the more tax collections are exposed to weakness in the taxpayer's financial situation and ability or willingness to pay property taxes. Each taxpayer is a unique entity. The District cannot determine from County assessment records whether individual persons, corporations or other organizations are liable for tax payments with respect to multiple properties held in various names that in the aggregate may be larger than is suggested by the table.

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State-Assessed Property. Under the State Constitution, the State Board of Equalization assesses property of State-regulated transportation and communications utilities, including railways, telephone and telegraph companies, and companies transmitting or selling gas or electricity. The State Board of Equalization also is required to assess pipelines, flumes, canals and aqueducts lying within two or more counties. The value of property assessed by the State Board of Equalization is allocated by a formula to local jurisdictions in the county, including school districts, and taxed by the local county tax officials in the same manner as for locally assessed property. Taxes on privately owned railway cars, however, are levied and collected directly by the State Board of Equalization. Property used in the generation of electricity by a company that does not also transmit or sell that electricity is taxed locally instead of by the State Board of Equalization. Thus, the reorganization of regulated utilities and the transfer of electricity-generating property to non-utility companies, as often occurred under electric power deregulation in California, affects how those assets are assessed, and which local agencies benefit from the property taxes derived. In general, the transfer of State-assessed property located in the District to non-utility companies will increase the assessed value of property in the District, since the property's value will no longer be divided among all taxing jurisdictions in the County. The transfer of property located and taxed in the District to a State-assessed utility will have the opposite effect, generally reducing the assessed value in the District as the value is shared among the other jurisdictions in the County. The District is unable to predict future transfers of State-assessed property in the District and the County, the impact of such transfers on its utility property tax revenues, or whether future legislation or litigation may affect ownership of utility assets, the State's methods of assessing utility property, or the method by which tax revenues of utility property is allocated to local taxing agencies, including the District.

Appeals of Assessed Valuation. State law affords an appeal procedure to taxpayers who disagree with the assessed value of their taxable property. Taxpayers may request a reduction in assessment directly from the County Assessor (the "Assessor"), who may grant or refuse the request in whole or in part, and taxpayers may appeal an assessment directly to the San Mateo County Board of Equalization, which rules on appealed assessments whether or not settled by the Assessor. The Assessor is also authorized to reduce the assessed value of any taxable property upon a determination that the market value has declined below the then-current assessment, whether or not appealed by the taxpayer.

The District can make no predictions as to the changes in assessed values that might result from pending or future appeals by taxpayers or actions by the Assessor. Any reduction in aggregate District assessed valuation due to appeals, as with any reduction in assessed valuation due to other causes, will cause the tax rate levied to repay the Series 2018 Bonds to increase accordingly in future years, so that the fixed debt service on the Series 2018 Bonds (and other outstanding bonds) may be paid. Any refund of paid taxes triggered by a successful assessment appeal will be debited by the Treasurer-Tax Collector against all taxing agencies who received tax revenues, including the District.

Tax Rates

The State Constitution permits the levy of an *ad valorem* tax on taxable property not to exceed 1% of the full cash value of the property, and State law requires the full 1% tax to be levied. The levy of special *ad valorem* property taxes in excess of the 1% levy is permitted as necessary to provide for debt service payments on school bonds and other voter-approved indebtedness. Significant changes in assessed value of taxable property in the District could affect the tax rate levied on taxpayers. See "– Assessed Valuation of Property Within the District – Risk of Decline in Property Values; Earthquake Risks" in this section, above.

The rate of tax necessary to pay fixed rate debt service on the Series 2018 Bonds in a given year depends on the assessed value of taxable property in that year. Lower assessed values could necessitate a corresponding increase in the annual tax rate to be levied to pay the principal of and interest on the Series 2018 Bonds. Issuance of additional authorized bonds in the future might also cause the tax rate to increase.

Typical Tax Rate Area. One factor in the ability of taxpayers to pay additional taxes for the District's bonds is the cumulative rate of tax. The following table shows *ad valorem* property tax rates for the last several years in a typical tax rate area of the District, TRA 8-092. TRA 8-092 comprises approximately 8.69% of the total assessed value of taxable property in the District:

**RAVENSWOOD CITY SCHOOL DISTRICT
SUMMARY OF AD VALOREM TAX RATES
(DOLLARS PER \$100 OF ASSESSED VALUATION)
TYPICAL TOTAL TAX RATE (TRA 8-092)
FISCAL YEARS 2013-14 TO 2017-18**

	<u>2013-14</u>	<u>2014-15</u>	<u>2015-16⁽¹⁾</u>	<u>2016-17</u>	<u>2017-18</u>
General	1.0000	1.0000	1.0000	1.0000	1.0000
City of Menlo Park	0.0170	0.0140	0.0102	.0092	.0080
Midpeninsula Open Space District	-	-	0.0008	.0006	.0009
Ravenswood City School District	0.0415	0.0360	0.0304	.0376	.0352
Sequoia Union High School District	0.0313	0.0433	0.0434	.0391	.0383
San Mateo Community College District	<u>0.0194</u>	<u>0.0190</u>	<u>0.0250</u>	<u>.0247</u>	<u>.0235</u>
Total	1.1092	1.1123	1.1098	1.1112	1.1059

⁽¹⁾ The 2017-18 assessed valuation of TRA 8-092 is \$550,531,475 which is 8.69% of the District's total assessed valuation.
Source: California Municipal Statistics, Inc.

Tax Collections and Delinquencies

A school district's share of the 1% countywide tax is based on the actual allocation of property tax revenues to each taxing jurisdiction in the county in fiscal year 1978-79, as adjusted according to a complex web of statutory modifications enacted since that time. Revenues derived from special *ad valorem* taxes for voter-approved indebtedness, including the Series 2018 Bonds, are reserved to the taxing jurisdiction that approved and issued the debt, and may only be used to repay that debt.

The Treasurer-Tax Collector prepares the property tax bills. Property taxes on the regular secured assessment roll are due in two equal installments: the first installment is due on November 1, and becomes delinquent after December 10. The second installment is due on February 1 and becomes delinquent after April 10. If taxes are not paid by the delinquent date, a 10% penalty attaches. If taxes remain unpaid by June 30, the tax is deemed to be in default. Penalties then begin to accrue at the rate of 1.5% per month. The property owner has the right to redeem the property by paying the taxes, accrued penalties, and costs within five years of the date the property went into default. If the property is not redeemed within five years, it is subject to sale at a public auction by the Treasurer-Tax Collector.

Annual bills for property taxes on the unsecured roll are generally issued in July, are due in a single payment within 30 days, and become delinquent after August 31. A 10% penalty attaches to delinquent taxes on property on the unsecured roll. Unsecured taxes remaining unpaid at 5 p.m. on the last day of the second month after the 10% penalty attaches shall be subject to an additional penalty of 1.5%, attaching on the first day of each succeeding month on the amount of the original tax. To collect unpaid taxes, the Treasurer-Tax Collector may obtain a judgment lien upon and cause the sale of all property owned by the taxpayer in the County, and may seize and sell personal property, improvements and possessory interest of the taxpayer. The Treasurer-Tax Collector may also bring a civil suit against the taxpayer for payment. The date on which taxes on supplemental assessments are due depends on when the supplemental tax bill is mailed.

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The following table reflects the historical secured tax levy and year-end delinquencies for the District.

**RAVENSWOOD CITY SCHOOL DISTRICT
SECURED TAX CHARGES AND DELINQUENCIES
FISCAL YEARS 2008-09 TO 2016-17**

Fiscal Year	Secured Tax Charge ⁽¹⁾	Amount Delinquent June 30	Percent Delinquent June 30
2008-09	\$1,084,808.44	\$55,788.22	5.14%
2009-10	1,206,710.98	33,845.06	2.80
2010-11	1,182,713.10	22,999.64	1.94
2011-12	1,194,967.54	18,349.89	1.54
2012-13	1,203,633.26	12,232.21	1.02
2013-14	1,283,035.26	10,494.69	0.82
2014-15	1,172,043.15	9,014.63	0.77
2015-16	1,118,056.55	5,423.59	0.49
2016-17	1,656,641.97	8,434.18	0.51

Source: California Municipal Statistics, Inc.

⁽¹⁾ District's General Obligation Bond debt service levy

Teeter Plan. The County has adopted the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the "Teeter Plan"), as provided for in Section 4701 and following of the California Revenue and Taxation Code. Under the Teeter Plan, each participating local agency levying property taxes in the County, including school districts, receives the amount of uncollected taxes credited to its fund, in the same manner as if the amount due from taxpayers had been collected. In return, the County receives and retains delinquent payments, penalties and interest as collected that would have been due to the local agency. The County applies the Teeter Plan to taxes levied for repayment of school district bonds.

The Teeter Plan is to remain in effect unless the County Board of Supervisors orders its discontinuance or unless, prior to the commencement of any fiscal year of the County (which commences on July 1), the Board of Supervisors receives a petition for its discontinuance from two-thirds of the participating revenue districts in the County. The Board of Supervisors may also, after holding a public hearing on the matter, discontinue the Teeter Plan with respect to any tax levying agency or assessment levying agency in the County if the rate of secured tax delinquency in that agency in any year exceeds three percent (3%) of the total of all taxes and assessments levied on the secured roll in that agency. The Board of Supervisors has never elected to exercise this right.

Direct and Overlapping Debt

Set forth below is a schedule of direct and overlapping debt prepared by California Municipal Statistics Inc. for debt issued as of December 1, 2017. The table is included for general information purposes only. The District has not reviewed this table for completeness or accuracy and makes no representations in connection therewith. The first column in the table names each public agency which has outstanding debt as of December 1, 2017, and whose territory overlaps the District in whole or in part. The second column shows the percentage of each overlapping agency's assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in the third column, which is the apportionment of each overlapping agency's outstanding debt to taxable property in the District.

The table generally includes long-term obligations sold in the public credit markets by the public agencies listed. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

**RAVENSWOOD CITY SCHOOL DISTRICT
DIRECT AND OVERLAPPING BONDED DEBT AS OF DECEMBER 1, 2017**

2017-18 Assessed Valuation: \$6,337,208,067

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 12/1/17</u>
San Mateo Community College District	3.063%	\$17,655,869
Sequoia Union High School District	7.146	36,055,858
Ravenswood School District	100.000	20,595,000⁽¹⁾
City of Menlo Park	19.848	3,469,430
Midpeninsula Open Space District	2.387	1,034,765
California Statewide Community Development Authority	100.000	<u>2,814,508</u>
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$81,625,430 ⁽²⁾
 <u>OVERLAPPING GENERAL FUND DEBT:</u>		
San Mateo County General Fund Obligations	3.063%	\$11,769,335
San Mateo County Board of Education Certificates of Participation	3.063	285,778
Menlo Park Fire Protection District Certificates of Participation	18.193	1,907,536
Midpeninsula Regional Park District General Fund Obligations	2.387	<u>2,561,125</u>
TOTAL OVERLAPPING GENERAL FUND DEBT		\$16,523,774
 <u>OVERLAPPING TAX INCREMENT DEBT (Successor Agency):</u>		\$54,301,773
 COMBINED TOTAL DEBT		\$152,450,977 ⁽³⁾

⁽¹⁾ Excludes general obligation bonds to be sold.

⁽²⁾ Reflecting all outstanding debt as of the date of preparation (December 1, 2017)

⁽³⁾ Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Ratios to 2017-18 Assessed Valuation:

Direct Debt (\$20,595,000)	0.32%
Total Overlapping Tax and Assessment Debt	1.29%
Combined Total Debt	2.41%

Ratios to Redevelopment Incremental Valuation (\$3,112,067,516):

Total Overlapping Tax Increment Debt.....	1.74%
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TAX MATTERS

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the District (“Bond Counsel”), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Series 2018 Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 (the “Code”) and is exempt from State of California personal income taxes. Bond Counsel is of the further opinion that interest on the Series 2018 Bonds is not a specific preference item for purposes of the federal alternative minimum tax. A complete copy of the proposed form of opinion of Bond Counsel is set forth in Appendix C hereto.

To the extent the issue price of any maturity of the Series 2018 Bonds is less than the amount to be paid at maturity of such Series 2018 Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Series 2018 Bonds), the difference constitutes “original issue discount,” the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Series 2018 Bonds which is excluded from gross income for federal income tax purposes and State of California personal income taxes. For this purpose, the issue price of a particular maturity of the Series 2018 Bonds is the first price at which a substantial amount of such maturity of the Series 2018 Bonds is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Series 2018 Bonds accrues daily over the term to maturity of such Series 2018 Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Series 2018 Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Series 2018 Bonds. Beneficial Owners of the Series 2018 Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Series 2018 Bonds with original issue discount, including the treatment of Beneficial Owners who do not purchase such Series 2018 Bonds in the original offering to the public at the first price at which a substantial amount of such Series 2018 Bonds is sold to the public.

Series 2018 Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) (“Premium Bonds”) will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of obligations, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner’s basis in a Premium Bond, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Series 2018 Bonds. The District has made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Series 2018 Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Series 2018 Bonds being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Series 2018 Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken), or events occurring (or not occurring), or any other matters coming to Bond Counsel’s attention after the date of issuance of the Series 2018 Bonds may adversely affect the value of, or the tax status of interest on, the Series 2018 Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

Although Bond Counsel is of the opinion that interest on the Series 2018 Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of amounts treated as interest on, the Series 2018 Bonds may otherwise affect a Beneficial Owner’s federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner’s other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Series 2018 Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may affect, perhaps significantly, the market price for, or marketability of, the Series 2018 Bonds. Prospective purchasers of the Series 2018 Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation as to which Bond Counsel is expected to express no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Series 2018 Bonds for federal income tax purposes. It is not binding on the Internal Revenue Service ("IRS") or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the District or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The District has covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Series 2018 Bonds ends with the issuance of the Series 2018 Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the District or the Beneficial Owners regarding the tax-exempt status of the Series 2018 Bonds in the event of an audit examination by the IRS. Under current procedures, parties other than the District and its appointed counsel, including the Beneficial Owners, would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the District legitimately disagrees, may not be practicable. Any action of the IRS, including but not limited to selection of the Series 2018 Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the Series 2018 Bonds, and may cause the District or the Beneficial Owners to incur significant expense.

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OTHER LEGAL MATTERS

Legal Opinion

The validity of the Series 2018 Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, San Francisco, California, Bond Counsel to the District. A complete copy of the proposed form of Bond Counsel opinion is set forth in APPENDIX C – “PROPOSED FORM OF OPINION OF BOND COUNSEL.” Bond Counsel undertakes no responsibility for the accuracy, completeness or fairness of this Official Statement.

Possible Limitations on Remedies; Bankruptcy

General. Following is a discussion of certain considerations in the event that the District should become a debtor in a bankruptcy proceeding. It is not an exhaustive discussion of the potential application of bankruptcy law to the District.

State law contains a number of safeguards to protect the financial solvency of school districts. If the safeguards are not successful in preventing a school district from becoming insolvent, the State Superintendent of Public Instruction (the “State Superintendent”), operating through an administrator appointed by the State Superintendent, may be authorized under State law to file a petition under Chapter 9 of the United States Bankruptcy Code (the “Bankruptcy Code”) on behalf of the District for the adjustment of its debts, assuming that the District meets certain other requirements contained in the Bankruptcy Code necessary for filing such a petition. Under current State law, the District is not itself authorized to file a bankruptcy proceeding, and it is not subject to an involuntary bankruptcy proceeding.

Bankruptcy courts are courts of equity and as such have broad discretionary powers. If the District were to become the debtor in a proceeding under Chapter 9 of the Bankruptcy Code, the parties to the proceedings may be prohibited from taking any action to collect any amount from the District (including *ad valorem* tax revenues) or to enforce any obligation of the District, without the bankruptcy court’s permission, except as described below in the case of “special revenues.” In such a proceeding, as part of its plan of adjustment in bankruptcy, the District may be able to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Series 2018 Bonds and other transaction documents related to the Series 2018 Bonds, including the obligation of the County and the District to raise taxes if necessary to pay the Series 2018 Bonds, if the bankruptcy court determines that the plan is fair, equitable, not unfairly discriminatory and is in the best interests of creditors and otherwise complies with the Bankruptcy Code. There also may be other possible effects of a bankruptcy of the District that could result in delays or reductions in payments on the Series 2018 Bonds. Regardless of any specific adverse determinations in any District bankruptcy proceeding, the fact of a District bankruptcy proceeding could have an adverse effect on the liquidity and market price of the Series 2018 Bonds.

Limitations on Plans of Adjustments. Chapter 9 of the Bankruptcy Code provides that it does not limit or impair the power of a state to control, by legislation or otherwise, a political subdivision of the state in the exercise of its political or governmental powers, including expenditures for the exercise. In addition, Chapter 9 provides that a bankruptcy court may not interfere with the political or governmental powers of a political subdivision debtor, unless the political subdivision approves a plan of adjustment to that effect or consents to that action. State law provides that *ad valorem* taxes may be levied to pay the principal of and interest on the Series 2018 Bonds and other voted general obligation bonds of the District in an unlimited amount, and that proceeds of such a levy must be used for the payment of principal of and interest on the District’s general obligation bonds, including the Series 2018 Bonds, and for no other purpose. Under State law, the District’s share of the 1% limited tax imposed by the County is the only *ad valorem* tax revenue that may be raised and expended to pay liabilities and expenses of the District other than its voter-approved debt, such as its general obligation bonds. If the District should become a debtor in a Chapter 9 proceeding, then it must propose a plan of adjustment of its debts. The plan may not become effective until confirmed by the bankruptcy court. The court may not approve a plan unless it finds, among other conditions, that the District is not prohibited by law from taking any action necessary to carry out the plan and that the plan is in the best interests of creditors and is feasible. If the State law restriction on the levy and expenditure of *ad valorem* taxes is respected in a bankruptcy case, then *ad valorem* tax revenue in excess of the District’s share of the 1%

limited County tax could not be used by the District for any purpose under its plan other than to make payments on the Series 2018 Bonds and its other voted general obligation bonds. It is possible, however, that a bankruptcy court could conclude that the restriction should not be respected.

Statutory Lien. Pursuant to Senate Bill 222, all general obligation bonds issued by local agencies, including the Series 2018 Bonds, will be secured by a statutory lien on all revenues received pursuant to the levy and collection of the *ad valorem* taxes. SB 222 provides that the lien will automatically arise, without the need for any action or authorization by the local agency or its governing board, and will be valid and binding from the time the bonds are executed and delivered. As a result, the lien on debt service taxes will continue to be valid with respect to post-petition receipts of debt service taxes, should the District become the subject of bankruptcy proceedings. However, the automatic stay provisions of the Bankruptcy Code would apply, preventing bondholders from enforcing their rights to payment from such taxes, so payments that become due and owing on the Series 2018 Bonds during the pendency of the Chapter 9 proceeding could be delayed, unless such taxes are “special revenues” within the meaning of the Bankruptcy Code and the pledged *ad valorem* taxes are applied to pay the Series 2018 Bonds in a manner consistent with the Bankruptcy Code. It is also possible that the bankruptcy court could approve an alternate use of such taxes, if the bondholders are afforded protection that the court determines to be adequate.

Special Revenues. If the *ad valorem* tax revenues that are pledged to the payment of the Series 2018 Bonds are determined to be “special revenues” within the meaning of the Bankruptcy Code, then the application in a manner consistent with the Bankruptcy Code of the pledged *ad valorem* tax revenues that are collected after the date of the bankruptcy filing should not be subject to the automatic stay. “Special revenues” are defined to include, among others, taxes specifically levied to finance one or more projects or systems of the debtor, but excluding receipts from general property, sales, or income taxes levied to finance the general purposes of the debtor. The District has specifically pledged the *ad valorem* taxes for payment of the Series 2018 Bonds. The Series 2018 Bonds and the District’s other general obligation bonds were approved at elections held on propositions that described the projects for which such bonds may be issued. As noted above, State law prohibits the use of the proceeds of the District’s debt service tax for any purpose other than payment of its general obligation bonds, and the bond proceeds may only be used to fund the acquisition or improvement of real property and other capital expenditures included in the proposition, so such tax revenues appear to fit the definition of special revenues. However, there is no binding judicial precedent dealing with the treatment in bankruptcy proceedings of *ad valorem* tax revenues collected for the payment of general obligation bonds in California, so no assurance can be given that a bankruptcy court would not hold otherwise.

In addition, even if the *ad valorem* tax revenues are determined to be “special revenues,” the Bankruptcy Code provides that any consensual lien on special revenues “derived” from a project or system is subject to necessary operating expenses of the project or system. This rule applies regardless of the provisions of transaction documents. If a bankruptcy court were to conclude that the District’s tax collections are “derived” from a District project or system, then the court could determine that bondholders may not compel use of debt service *ad valorem* tax revenues to pay debt service to the extent the revenues are needed to pay necessary operating expenses of the District and its schools.

Possession of Tax Revenues; Remedies. If the County or the District goes into bankruptcy and has possession of tax revenues (whether collected before or after commencement of the bankruptcy), and if the County or the District, as applicable, does not voluntarily pay such tax revenues to the owners of the Series 2018 Bonds, it is not clear what procedures the owners of the Series 2018 Bonds would have to follow to attempt to obtain possession of such tax revenues, how much time it would take for such procedures to be completed, or whether such procedures would ultimately be successful.

Opinion of Bond Counsel Qualified. The proposed form of opinion of Bond Counsel, attached hereto as APPENDIX C – “PROPOSED FORM OF OPINION OF BOND COUNSEL”, is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor’s rights.

Legality for Investment in California

Under provisions of the Financial Code of the State, the Series 2018 Bonds are legal investments for commercial banks in the State to the extent that the Series 2018 Bonds, in the informed opinion of the bank, are

prudent for the investment of funds of its depositors, and, under provisions of the Government Code of the State, the Series 2018 Bonds are eligible securities for deposits of public moneys in the State.

Continuing Disclosure

The District has covenanted for the benefit of the holders and beneficial owners of the Series 2018 Bonds to provide certain financial information and operating data relating to the District (the “Annual Report”) by not later than nine months following the end of the District’s fiscal year (currently ending June 30), commencing with the report for the 2017-18 fiscal year (which is due no later than April 1, 2019) and to provide notice of the occurrence of certain listed enumerated events. The Annual Report and the notices of listed events will be filed by the District with the Municipal Securities Rulemaking Board. The specific nature of the information to be contained in the Annual Report or the notices of listed events is set forth in APPENDIX D – “FORM OF CONTINUING DISCLOSURE CERTIFICATE.” These covenants have been made in order to assist the Underwriter in complying with Securities and Exchange Commission Rule 15c2-12(b)(5) (the “Rule”).

The District has not failed to comply in all material respects with any previous undertakings in regard to the Rule to file annual reports or notices of events required by its continuing disclosure undertakings in the most recent five fiscal years. In the most recent five fiscal years, certain material event notices related to bond insurer ratings were filed late; however, all such notices have since been filed.

No Litigation

No litigation is pending or, to the best knowledge of the District, threatened, concerning the validity of the Series 2018 Bonds or the District’s ability to receive *ad valorem* taxes and to collect other revenues, or contesting the District’s ability to issue and retire the Series 2018 Bonds, the political existence of the District, the title to their offices of District or County officials who will sign the Series 2018 Bonds and other certifications relating to the Series 2018 Bonds, or the powers of those offices. A certificate (or certificates) to that effect will be furnished to the Underwriter (as defined below) at the time of the original delivery of the Series 2018 Bonds.

The District is routinely subject to lawsuits and claims. In the opinion of the District, the aggregate amount of the uninsured liabilities of the District under these lawsuits and claims will not materially affect the financial position or operations of the District.

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MISCELLANEOUS

Ratings

The Series 2018 Bonds have been assigned the rating of “AAA” by Fitch Ratings. Rating agencies generally base their ratings on their own investigations, studies, and assumptions. The District has provided certain additional information and materials to the rating agencies (some of which does not appear in this Official Statement). The rating reflects only the view of the rating agency furnishing the same, and any explanation of the significance of such rating should be obtained only from the rating agency providing the same. There is no assurance that any rating will continue for any given period of time or that it will not be revised downward or withdrawn entirely by the rating agency, if, in its judgment, circumstances so warrant. Any such downward revision or withdrawal of a rating may have an adverse effect on the market price of the Series 2018 Bonds. The District undertakes no responsibility to oppose any such downward revision, suspension or withdrawal.

Professionals Involved in the Offering

Orrick, Herrington & Sutcliffe LLP is acting as Bond Counsel and as Disclosure Counsel to the District with respect to the Series 2018 Bonds, and will receive compensation from the District contingent upon the sale and delivery of the Series 2018 Bonds. Eastshore Consulting LLC is acting as Municipal Advisor with respect to the Series 2018 Bonds, and will receive compensation from the District contingent upon the sale and delivery of the Series 2018 Bonds. Curls Bartling P.C. is acting as Underwriter’s Counsel with respect to the Series 2018 Bonds, and will receive compensation from the Underwriter contingent upon the sale and delivery of the Series 2018 Bonds.

Underwriting

The Series 2018 Bonds are being purchased by Siebert Cisneros Shank & Co., L.L.C. (the “Underwriter”). Pursuant to a Bond Purchase Contract between the Underwriter and the Ravenswood City School District (the “Purchase Contract”), the Underwriter has agreed to purchase all of the Series 2018 Bonds for an aggregate purchase price of \$10,362,196.11 subject to certain conditions set forth in the Purchase Contract. The purchase price for the Series 2018 Bonds represents the principal amount of the Series 2018 Bonds, plus net original issue premium of \$495,156.95, less an underwriter’s discount of \$132,960.84. The initial offering prices stated on the inside cover of this Official Statement may be changed from time to time by the Underwriter.

The Underwriter may offer and sell the Series 2018 Bonds to certain dealers (including dealers depositing Bonds into investment trusts), dealer banks, banks acting as agent and others at prices lower than said public offering prices.

Additional Information

Quotations from and summaries and explanations of the Series 2018 Bonds, the Resolution providing for issuance and payment of the Series 2018 Bonds, the Paying Agent Agreement, and the constitutional provisions, statutes and other documents described herein, do not purport to be complete, and reference is hereby made to said documents, constitutional provisions and statutes for the complete provisions thereof.

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All data contained herein have been taken or constructed from the District's records and other sources, as indicated. This Official Statement and its distribution have been duly authorized and approved by the District.

RAVENSWOOD CITY SCHOOL DISTRICT

By: /s/ Dr. Gloria M. Hernandez-Goff
Dr. Gloria M. Hernandez-Goff
Superintendent

APPENDIX A

INFORMATION RELATING TO THE DISTRICT'S OPERATIONS AND BUDGET

The information in this appendix concerning the operations of the District, the District's finances, and State funding of education, is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Series 2018 Bonds is payable from the general fund of the District or from State revenues. The Series 2018 Bonds are payable from the proceeds of an ad valorem tax approved by the voters of the District pursuant to all applicable laws and Constitutional requirements, and required to be levied by the County on property within the District in an amount sufficient for the timely payment of principal and interest on the Series 2018 Bonds. See "SECURITY AND SOURCE OF PAYMENT FOR THE SERIES 2018 BONDS" in the Official Statement.

FINANCIAL AND DEMOGRAPHIC INFORMATION

General

The Ravenswood City School District (the "District") encompassing approximately 12 square miles, is located in the southeastern corner of San Mateo County (the "County") and serves the communities of East Palo Alto and an eastern portion of Menlo Park. The District was formed in 1918. The District is governed by a five-member Board of Trustees elected by the District to serve alternating four-year terms.

The District operates or oversees eight schools and one child development center under a single Board of Trustees and Administration. Of the eight schools, seven are regular schools and one is a charter school. The first District school was constructed in 1918 and has operated continuously since that time. The District's projected average daily attendance for 2017-18 is 2,537 students.

Employment

As of July 1, 2017, the District budgeted 365.1 full-time equivalent ("FTE") employees consisting of 181 certificated FTE employees, 53.3 Management, Confidential and Supervisorial FTE employees and 130.8 classified FTE employees. For the year ended June 30, 2017, the total certificated and classified payrolls were \$18.26 million and \$9.05 million, respectively. Total payroll for the year ended June 30, 2017 was \$27.31 million. For fiscal year 2017-18, the total certificated and classified payrolls are projected to be approximately \$16.91 million and \$8.76 million, respectively. The total payroll for fiscal year 2017-18 is projected to be approximately \$25.67 million. The preceding payroll information includes FTE regular time only.

State Funding of Education; State Budget Process

General. As is true for all school districts in California, the District's operating income consists primarily of two components: a State portion funded from the State's general fund in accordance with the Local Control Funding Formula (see "– Allocation of State Funding to School Districts; Local Control Funding Formula" herein) and a local portion derived from the District's share of the 1% local ad valorem tax authorized by the State Constitution (see "– Local Sources of Education Funding" herein). In addition, school districts may be eligible for other special categorical funding from State and federal government programs. The District has projected to receive approximately 52.84% of its general fund revenues from State funds (not including the local portion derived from the District's share of the local ad valorem tax), projected at approximately \$25.20 million in fiscal year 2017-18. Such amount includes both the State funding provided under the LCFF (defined herein) as well as other State revenues (see "– Allocation of State Funding to School District; Local Control Funding Formula – Attendance" and "– Other District Revenues – Other State Revenues" below). As a result, decreases or deferrals in State revenues, or in State legislative appropriations made to fund education, may affect the District's revenues and operations, though generally to a lesser extent than these may affect most school districts. In addition, the District estimates that approximately \$515,453 of LCFF revenues will be transferred to charter schools in lieu of property taxes in fiscal year.

Under Proposition 98, a constitutional and statutory amendment adopted by the State's voters in 1988 and amended by Proposition 111 in 1990 (now found at Article XVI, Sections 8 and 8.5 of the Constitution), a minimum level of funding is guaranteed to school districts, community college districts and other State agencies that provide direct elementary and secondary instructional programs. Recent years have seen frequent disruptions in State personal income taxes, sales and use taxes, and corporate taxes, making it increasingly difficult for the State to meet its Proposition 98 funding mandate, which normally commands about 45% of all State general fund revenues, while providing for other fixed State costs and priority programs and services. Because education funding constitutes such a large part of the State's general fund expenditures, it is generally at the center of annual budget negotiations and adjustments.

In connection with the State Budget Act for fiscal year 2013-14, the State and local education agencies therein implemented a new funding formula for school finance system called the Local Control Funding Formula (the "Local Control Funding Formula" or "LCFF"). Funding from the LCFF replaced the revenue limit funding system and most categorical programs. See "– Allocation of State Funding to School Districts; Local Control Funding Formula" herein for more information.

State Budget Process. According to the State Constitution, the Governor must propose a budget to the State Legislature no later than January 10 of each year, and a final budget must be adopted no later than June 15. The budget requires a simple majority vote of each house of the State Legislature for passage. The budget becomes law upon the signature of the Governor, who may veto specific items of expenditure. A two-thirds vote of the State Legislature is required to override any veto by the Governor. School district budgets must generally be adopted by July 1, and revised by the school board within 45 days after the Governor signs the budget act to reflect any changes in budgeted revenues and expenditures made necessary by the adopted State budget. The Governor signed the fiscal year 2017-18 State budget on June 27, 2017.

When the State budget is not adopted on time, basic appropriations and the categorical funding portion of each school district's State funding are affected differently. Under the rule of *White v. Davis* (also referred to as *Jarvis v. Connell*), a State Court of Appeal decision reached in 2002, there is no constitutional mandate for appropriations to school districts without an adopted budget or emergency appropriation, and funds for State programs cannot be disbursed by the State Controller until that time, unless the expenditure is (i) authorized by a continuing appropriation found in statute, (ii) mandated by the State Constitution (such as appropriations for salaries of elected State officers), or (iii) mandated by federal law (such as payments to State workers at no more than minimum wage). The State Controller has consistently stated that basic State funding for schools is continuously appropriated by statute, but that special and categorical funds may not be appropriated without an adopted budget. Should the State Legislature fail to pass a budget or emergency appropriation before the start of any fiscal year, the District might experience delays in receiving certain expected revenues. The District is authorized to borrow temporary funds to cover its annual cash flow deficits, and as a result of the *White v. Davis* decision, the District might find it necessary to increase the size or frequency of its cash flow borrowings, or to borrow earlier in the fiscal year. The District does not expect the *White v. Davis* decision to have any long-term effect on its operating budgets.

Aggregate State Education Funding. The Proposition 98 guaranteed amount for education is based on prior-year funding, as adjusted through various formulas and tests that take into account State proceeds of taxes, local property tax proceeds, school enrollment, per-capita personal income, and other factors. The State's share of the guaranteed amount is based on State general fund tax proceeds and is not based on the general fund in total or on the State budget. The local share of the guaranteed amount is funded from local property taxes. The total guaranteed amount varies from year to year and throughout the stages of any given fiscal year's budget, from the Governor's initial budget proposal to actual expenditures to post-year-end revisions, as better information regarding the various factors becomes available. Over the long run, the guaranteed amount will increase as enrollment and per capita personal income grow.

If, at year-end, the guaranteed amount is calculated to be higher than the amount actually appropriated in that year, the difference becomes an additional education funding obligation, referred to as "settle-up." If the amount appropriated is higher than the guaranteed amount in any year, that higher funding level permanently increases the base guaranteed amount in future years. The Proposition 98 guaranteed amount is reduced in years when general fund revenue growth lags personal income growth, and may be suspended for one year at a time by enactment of an urgency statute. In either case, in subsequent years when State general fund revenues grow faster than personal income (or sooner, as the

Legislature may determine), the funding level must be restored to the guaranteed amount, the obligation to do so being referred to as “maintenance factor.”

Although the California Constitution requires the State to approve a balanced State Budget Act each fiscal year, the State’s response to fiscal difficulties in some years has had a significant impact upon the Proposition 98 minimum guarantee and the treatment of settle-up payments with respect to years in which the Proposition 98 minimum guarantee was suspended. The State has sought to avoid or delay paying settle-up amounts when funding has lagged the guaranteed amount. In response, teachers’ unions, the State Superintendent and others sued the State or Governor in 1995, 2005, 2009 and 2011 to force them to fund schools in the full amount required. The settlement of the 1995 and 2005 lawsuits has so far resulted in over \$4 billion in accrued State settle-up obligations. However, legislation enacted to pay down the obligations through additional education funding over time, including the Quality Education Investment Act of 2006, have also become part of annual budget negotiations, resulting in repeated adjustments and deferrals of the settle-up amounts.

The State has also sought to preserve general fund cash while avoiding increases in the base guaranteed amount through various mechanisms: by treating any excess appropriations as advances against subsequent years’ Proposition 98 minimum funding levels rather than current year increases; by temporarily deferring apportionments of Proposition 98 funds from one fiscal year to the next; by permanently deferring apportionments of Proposition 98 funds from one fiscal year to the next; by suspending Proposition 98, as the State did in fiscal year 2004-05, fiscal year 2010-11, fiscal year 2011-12 and fiscal year 2012-13; and by proposing to amend the State Constitution’s definition of the guaranteed amount and settle-up requirement under certain circumstances.

The District cannot predict how State income or State education funding will vary over the term to maturity of the Series 2018 Bonds, and the District takes no responsibility for informing owners of the Series 2018 Bonds as to actions the State Legislature or Governor may take affecting the current year’s budget after its adoption. Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of proposed and adopted budgets may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading “California Budget.” An impartial analysis of the budget is posted by the Office of the Legislative Analyst at www.lao.ca.gov. In addition, various State of California official statements, many of which contain a summary of the current and past State budgets and the impact of those budgets on school districts in the State, may be found at the website of the State Treasurer, www.treasurer.ca.gov. The information referred to is prepared by the respective State agency maintaining each website and not by the District, and the District can take no responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted there, and such information is not incorporated herein by these references.

2017-18 State Budget. The Governor signed the fiscal year 2017-18 State Budget (the “2017-18 State Budget”) on June 27, 2017. The 2017-18 State Budget sets forth a balanced budget for fiscal year 2017-18 that projects approximately \$127.88 billion in revenues, and \$72.47 billion in non-Proposition 98 expenditures and \$52.63 billion in Proposition 98 expenditures. The 2017-18 State Budget includes a \$1.4 billion reserve in the Special Fund for Economic Uncertainties and adds \$1.8 billion to the Proposition 2 Budget Stabilization Account, bringing the balance to \$8.5 billion in 2017-18, which is 66% of the constitutional target. The 2017-18 State Budget uses dedicated proceeds from Proposition 2 to pay down nearly \$1.8 billion in past budgetary borrowing and State employee pension liabilities. The 2017-18 State Budget also includes a \$6 billion supplemental payment to CalPERS (as defined herein) through a loan from the Surplus Money Investment Fund that the Governor expects will reduce unfunded liabilities and stabilize state contribution rates. The State’s General Fund share of the repayment will come from Proposition 2’s revenues dedicated to reducing debts and long-term liabilities.

Certain budgeted adjustments for K-12 education set forth in the 2017-18 State Budget include the following:

- Local Control Funding Formula. The 2017-18 State Budget includes an increase of almost \$1.4 billion in Proposition 98 general funds to continue the State’s transition to LCFF. The LCFF commits most new funding to school districts serving English language learners, students from low-income families, and youth in foster care. The Governor expects this increase will bring the formula to approximately 97 percent of full implementation.

- One-Time Discretionary Grants. The 2017-18 State Budget includes an increase of \$877 million in Proposition 98 general fund to provide school districts, county offices of education, and charter schools with discretionary resources to support critical investments at the local level. These funds can be used for activities such as deferred maintenance, professional development, induction for beginning teachers, instructional materials, technology, and the implementation of new educational standards. Funds received by K-12 local educational agencies will first satisfy any outstanding claims for reimbursement of State-mandated local program costs for any fiscal year, but the 2017-18 State Budget authorizes the governing boards of school districts to expend these one-time funds for any purpose.
- After School and Education Safety (“ASES”) Program. The 2017-18 State Budget includes an increase of \$50 million in Proposition 98 general funds to increase provider reimbursement rates for the ASES program, bringing the total spending to \$600 million of Proposition 98 general funds.
- Teacher Workforce. The 2017-18 State Budget includes a combined increase of \$41.3 million one-time (\$30 million one-time in Proposition 98 general fund and \$11.3 million in one-time federal Title II funds) to fund several programs aimed at recruiting and developing additional teachers and school leaders, with particular emphasis on key shortage areas such as special education, math, science, and bilingual education. Specific investments include:
 - o California Educator Development Program. The 2017-18 State Budget includes an increase of \$11.3 million in one-time federal Title II funds for a one-time competitive grant program designed to assist local educational agencies in attracting and supporting the preparation and continued learning of teachers, principals, and other school leaders in high-need subjects and schools.
 - o Classified School Employees Credentialing Program. The 2017-18 State Budget includes an increase of \$25 million in one-time Proposition 98 general funds, available for five years, to support a second cohort of the California Classified School Employees Credentialing Program established in the State’s 2016 Budget Act. The program will provide grants to K-12 local educational agencies to support recruitment of non-certificated school employees to participate in a teacher preparation program and become certificated classroom teachers in California public schools.
 - o Bilingual Professional Development Program. The 2017-18 State Budget includes an increase of \$5 million one-time Proposition 98 general funds for one-time competitive grants to support professional development for teachers and paraprofessionals seeking to provide instruction in bilingual and multilingual settings.
- County Office of Education Accountability Assistance. The 2017-18 State Budget includes an increase of \$7 million in Proposition 98 general funds on an ongoing basis to support county office Local Control and Accountability Plan review and technical assistance workload. Specifically, this funding will be distributed proportionally to 24 county offices currently funded at their LCFF target level on a per district basis with no county receiving less than \$80,000. The 2017-18 State Budget directs the State to adjust such amounts by the cost of living annually commencing with fiscal year 2018-19. The 2017-18 State Budget also requires county superintendents of schools to prepare a summary of how the county office of education will support school districts and schools within the county, and work with the California Collaborative for Education Excellence, the California Department of Education and other county offices of education.
- K-12 Mandate Block Grant. The 2017-18 State Budget includes an increase of \$3.5 million in Proposition 98 general funds, which is the result of a cost-of-living adjustment for the block grant. The 2017-18 State Budget also adds two additional mandated programs to the block grant for 2017-18, the California Assessment of Student Performance and Progress program and the Training for School Employee Mandated Reporters program.

- California Equity Performance and Improvement Program. The 2017-18 State Budget includes an increase of \$2.5 million in one-time Proposition 98 general funds to support and build capacity within local educational agencies and the State Department of Education to promote equity in California public schools. The 2017-18 State Budget directs the Superintendent of Public Instruction to apportion the funds to at least two designated lead agencies, which shall be county offices of education.
- Refugee Student Support. The 2017-18 State Budget appropriates \$10 million for fiscal year 2017–18 from the State’s General Fund to the California Department of Social Services in order to provide additional services for refugee pupils by allocating funding to school districts impacted by significant numbers of refugee pupils and other eligible populations served by the federal Office of Refugee Resettlement based on the eligibility criteria and allocation methodology set forth for the federal Refugee School Impact program. The 2017-18 State Budget directs the State to appropriate an equal amount for grants in fiscal years 2017–18, 2018–19, and 2019–20.
- K-12 School Facilities Program Accountability. The 2017-18 State Budget requires that projects funded under the Office of Public School Construction’s School Facility Program be subject to expenditure audits in the annual K-12 audit guide. Accordingly, any local educational agency that receives specified funds relating to school facility projects will be required to annually report a detailed list of all expenditures of State funds, including interest, and of the local educational agency’s matching funds for completed projects until all State funds, including interest, all of the local educational agency’s matching funds, and savings achieved, including interest, are expended in accordance with State law. To help facilitate compliance with this requirement, the 2017-18 State Budget authorizes participating local educational agencies to repay any audit findings with local funds.
- District of Choice Program Extension. If a school district is designated as a District of Choice it must agree to accept interested students regardless of their academic abilities or personal characteristics. In addition, interested students generally do not need to seek permission from their home districts to attend a District of Choice. The 2017-18 State Budget extends the district of choice program, due to sunset in 2018, by six years and adds various oversight and accountability requirements for participating districts.

The complete 2017-18 State Budget is available from the California Department of Finance website at www.dof.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

Proposed 2018-19 State Budget. The Governor released his proposed State budget for fiscal year 2018-19 (the “Proposed 2018-19 State Budget”) on January 10, 2018. The Proposed 2018-19 State Budget sets forth a balanced budget for fiscal year 2018-19. However, the Governor cautions that there are uncertainties that must be considered as the budget is revised, including the impact of federal tax reform and federal healthcare legislation. The Proposed 2018-19 State Budget estimates that total resources available in fiscal year 2017-18 totaled approximately \$131.86 billion (including a prior year balance of \$4.61 billion) and total expenditures in fiscal year 2017-18 totaled approximately \$126.51 billion. The Proposed 2018-19 State Budget projects total resources available for fiscal year 2018-19 of \$135.14 billion, inclusive of revenues and transfers of \$129.79 billion and a prior year balance of \$5.35 billion. The Proposed 2018-19 State Budget projects total expenditures of \$131.69 billion, inclusive of non-Proposition 98 expenditures of \$77.12 billion and Proposition 98 expenditures of \$54.56 billion. The Proposed 2018-19 State Budget proposes to allocate \$1.17 billion of the General Fund’s projected fund balance to the Reserve for Liquidation of Encumbrances and \$2.29 billion of such fund balance to the State’s Special Fund for Economic Uncertainties. In addition, the Proposed 2018-19 State Budget estimates the Rainy Day Fund will have a fund balance of \$13.46 billion.

Certain budgeted adjustments for K-12 education set forth in the Proposed 2018-19 State Budget include the following:

- Local Control Funding Formula. The Proposed 2018-19 State Budget includes an increase of \$3 billion in Proposition 98 General Fund resources for full implementation of the LCFF in fiscal year 2018-19.
- One-Time Discretionary Grants. The Proposed 2018-19 State Budget includes an increase of \$1.8 billion in one-time Proposition 98 General Fund resources for school districts, charter schools and county offices of education to use at their local discretion. This funding will support investments such as content standards implementation, technology, professional development, induction programs for beginning teachers and deferred maintenance.
- K-12 Component of the Strong Workforce Program. The Proposed 2018-19 State Budget includes an increase of \$212 million Proposition 98 General Fund resources for K-12 Career Technical Education (“CTE”) programs administered through the community college Strong Workforce Program in consultation with the Department of Education.
- Cost-of-Living Adjustments. The Proposed 2018-19 State Budget includes an increase of \$133.5 million Proposition 98 General Fund resources to support a 2.51% cost-of-living adjustment for categorical programs that remain outside of the LCFF, including Special Education, Child Nutrition, Foster Youth, American Indian Education Centers, and the American Indian Early Childhood Education Program. Cost-of-living adjustments for school districts and charter schools are provided within the increases for school district LCFF implementation noted above.
- Special Education. The Proposed 2018-19 State Budget includes an increase of \$125 million Proposition 98 General Fund resources and \$42.2 million federal Temporary Assistance for Needy Families (“TANF”) funds on a one-time basis for competitive grants to expand inclusive care and education settings for 0-5 year olds and improve school readiness and long-term academic outcomes for low-income children and children with exceptional needs. Additionally, the Proposed 2018-19 State Budget includes an increase of \$10 million in Proposition 98 General Fund resources for special education local plan areas to support county offices of education in providing technical assistance to local educational agencies through the state system of support. The Proposed 2018-19 State Budget also includes a decrease of \$10.2 million Proposition 98 General Fund resources to reflect a projected decrease in special education average daily attendance.
- State System of Support. The Proposed 2018-19 State Budget includes an increase of \$59.2 million of Proposition 98 General Fund resources for county offices of education and lead county offices of education to provide technical assistance to local educational agencies and improve student outcomes.
- California School Dashboard. The Proposed 2018-19 State Budget includes an increase of \$300,000 Proposition 98 General Fund resources to improve the user interface of the California School Dashboard. The State Board of Education will facilitate a series of stakeholder meetings to solicit public feedback on the California School Dashboard.
- California Collaborative for Educational Excellence. The Proposed 2018-19 State Budget includes an increase of \$6.5 million Proposition 98 General Fund resources for the California Collaborative for Educational Excellence to help build capacity within county offices of education to provide technical assistance and improve student outcomes.

- County Offices of Education. The Proposed 2018-19 State Budget includes an increase of \$6.2 million Proposition 98 General Fund resources for county offices of education to reflect a 2.51% cost-of-living adjustment and average daily attendance changes applicable to the LCFF.
- Instructional Quality Commission. The Proposed 2018-19 State Budget includes an increase of \$938,000 Proposition 98 General Fund resources on a one-time basis for the Instructional Quality Commission to continue its work on the development of state content standards and frameworks, as well as model curriculum.
- Local Property Tax Adjustments. The Proposed 2018-19 State Budget includes a decrease of \$514 million Proposition 98 General Fund resources for school districts and county offices of education in 2017-18 as a result of higher offsetting property tax revenues, and a decrease of \$1.1 billion Proposition 98 General Fund resources for school districts and county offices of education in 2018-19 as a result of increased offsetting property taxes.
- School District Average Daily Attendance. The Proposed 2018-19 State Budget includes a decrease of \$183.1 million in funding in 2017-18 for school districts as a result of a decrease in projected average daily attendance from the 2017-18 State Budget, and a decrease of \$135.5 million in funding in 2018-19 for school districts as a result of further projected decline in average daily attendance for 2018-19.

The complete Proposed 2018-19 State Budget is available from the California Department of Finance website at www.dof.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

LAO Overview of Proposed 2018-19 State Budget. The Legislative Analyst’s Office (“LAO”), a nonpartisan State office which provides fiscal and policy information and advice to the State Legislature, released its report on the Proposed 2018-19 State Budget entitled “The 2018-19 Budget: Overview of the Governor’s Budget” on January 12, 2018 (the “2018-19 Proposed Budget Overview”). In the 2018-19 Proposed Budget Overview, the LAO summarizes the key features of the Proposed 2018-19 State Budget, which include prioritizing reserves, allocating additional funding to school districts and community college districts, and supporting a variety of new infrastructure projects. The LAO also notes that the May Revision of the Proposed 2018-19 State Budget may reflect additional resources as the administration’s revenue estimates may be higher, and Congress may reauthorize a higher federal cost share for the Children’s Health Insurance Program than what is assumed in the Proposed 2018-19 State Budget.

The LAO explains that the Proposed 2018-19 State Budget projects to end 2018-19 with \$15.7 billion in total reserves, which would consist of \$13.5 billion in the State’s constitutional rainy day fund (reserves available for future budget emergencies) and \$2.3 billion in discretionary reserves (available for any purpose). The LAO urges the legislature to consider its optimal level of reserves. The Proposed 2018-19 State Budget deposits enough reserves into the State’s rainy day fund that it reaches its constitutional maximum. The LAO advises that this approach may be prudent in light of economic and federal budget uncertainty, but comes with trade-offs for the state, including requiring rainy day reserves in excess of 10 percent to be spent on infrastructure projects.

The LAO notes that the Proposed 2018-19 State Budget contains a total of \$6.3 billion in Proposition 98 spending proposals for K-12 education, community colleges and preschools. The LAO points out that of that total \$3.9 billion is ongoing and \$2.4 billion is for one-time activities. The LAO summarizes that the ongoing augmentations for school districts include the full implementation of K-12 Local Control Funding Formula, creation of new high school career technical education program, and implementation of new system of regional and county support for low-performing school districts. The one-time funding for school districts will provide school districts with per-student discretionary grants. The LAO finds this split between ongoing spending and one-time initiatives reasonable and consistent with the approach that the State has taken in previous budgets. However, the LAO

expresses concern that the Governor's per-student funding approach is an inefficient way to eliminate the mandate backlog.

The LAO explains that the Proposed 2018-19 State Budget includes infrastructure spending. In 2018-19, the budget allocates \$4.6 billion in transportation spending, consistent with the measure's statutory formula for allocating revenues. Other infrastructure projects include trial court construction, voting system equipment, state correctional facilities improvement and equipment, among other projects to improve State resources. The LAO questions whether the infrastructure spending is all top priority and whether there may be better ways for certain agencies to get the equipment they need through leases or other pay-as-you-go financing.

The 2018-19 Proposed Budget Overview is available on the LAO website at www.lao.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

Changes in State Budget. The final fiscal year 2018-19 State budget, which requires approval by a majority vote of each house of the State Legislature, may differ substantially from the Governor's budget proposal. Accordingly, the District cannot provide any assurances that there will not be any changes in the final fiscal year 2018-19 State budget from the Proposed 2018-19 State Budget. Additionally, the District cannot predict the impact that the final fiscal year 2018-19 State Budget, or subsequent budgets, will have on its finances and operations. The final fiscal year 2018-19 State budget may be affected by national and State economic conditions and other factors which the District cannot predict.

Future Budgets and Budgetary Actions. The District cannot predict what future actions will be taken by the State Legislature and the Governor to address changing State revenues and expenditures or the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors beyond the District's ability to predict or control. Certain actions could result in a significant shortfall of revenue and cash, and could impair the State's ability to fund schools during fiscal year 2018-19 and in future fiscal years. Certain factors, like an economic recession, could result in State budget shortfalls in any fiscal year and could have a material adverse financial impact on the District. As the Series 2018 Bonds are payable from *ad valorem* property taxes, the State budget is not expected to have an impact on the payment of the Series 2018 Bonds.

Prohibitions on Diverting Local Revenues for State Purposes. Beginning in fiscal year 1992-93, the State satisfied a portion of its Proposition 98 obligations by shifting part of the property tax revenues otherwise belonging to cities, counties, special districts, and redevelopment agencies, to school and community college districts through a local Educational Revenue Augmentation Fund ("ERAF") in each county. Local agencies, objecting to invasions of their local revenues by the State, sponsored a statewide ballot initiative intended to eliminate the practice. In response, the State Legislature proposed an amendment to the State Constitution, which the State's voters approved as Proposition 1A at the November 2004 election. That measure was generally superseded by the passage of a new initiative constitutional amendment at the November 2010 election, known as "Proposition 22."

The effect of Proposition 22 is to prohibit the State, even during a period of severe fiscal hardship, from delaying the distribution of tax revenues for transportation, redevelopment, or local government projects and services. It prevents the State from redirecting redevelopment agency property tax increment to any other local government, including school districts, or from temporarily shifting property taxes from cities, counties and special districts to schools, as in the ERAF program. This is intended to, among other things, stabilize local government revenue sources by restricting the State's control over local property taxes. One effect of this amendment will be to deprive the State of fuel tax revenues to pay debt service on most State bonds for transportation projects, reducing the amount of State general fund resources available for other purposes, including education.

Prior to the passage of Proposition 22, the State invoked Proposition 1A to divert \$1.935 billion in local property tax revenues in 2009-10 from cities, counties, and special districts to the State to offset State general fund spending for education and other programs, and included another diversion in the adopted 2009-10 State budget of \$1.7 billion in local property tax revenues from local redevelopment agencies, which local redevelopment agencies have now been dissolved (see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Assembly Bill No. 26 & *California Redevelopment Association v.*

Matosantos” herein). Redevelopment agencies had sued the State over this latter diversion. However, the lawsuit was decided against the California Redevelopment Association on May 1, 2010. Because Proposition 22 reduces the State’s authority to use or shift certain revenue sources, fees and taxes for State general fund purposes, the State will have to take other actions to balance its budget in some years — such as reducing State spending or increasing State taxes, and school and community college districts that receive Proposition 98 or other funding from the State will be more directly dependent upon the State’s general fund.

District Revenues

General. The County is a “Teeter Plan” county, which means that the District is made whole by the County for any delinquencies in payment of property taxes by local property owners. Property tax levy and collection procedures (including the Teeter Plan) are discussed in the front part of this Official Statement under “SECURITY AND SOURCE OF PAYMENT FOR THE SERIES 2018 BONDS – Tax Collections and Delinquencies.” For a discussion of legal limitations on the ability of the District to raise revenues through local property taxes, see “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS” herein.

Allocation of State Funding to School Districts; Local Control Funding Formula. Prior to the implementation of the Local Control Funding Formula in fiscal year 2013-14, under California Education Code Section 42238 and following, each school district was determined to have a target funding level: a “base revenue limit” per student multiplied by the district’s student enrollment measured in units of average daily attendance. The base revenue limit was calculated from the district’s prior-year funding level, as adjusted for a number of factors, such as inflation, special or increased instructional needs and costs, employee retirement costs, especially low enrollment, increased pupil transportation costs, etc. Generally, the amount of State funding allocated to each school district was the amount needed to reach that district’s base revenue limit after taking into account certain other revenues, in particular, locally generated property taxes. This is referred to as State “equalization aid.” To the extent local tax revenues increased due to growth in local property assessed valuation, the additional revenue was offset by a decline in the State’s contribution; ultimately, a school district whose local property tax revenues exceeded its base revenue limit was entitled to receive no State equalization aid, and received only its special categorical aid, which is deemed to include the “basic aid” of \$120 per student per year guaranteed by Article IX, Section 6 of the Constitution. Such districts were known as “basic aid districts,” which are now referred to as “community funded districts.” School districts that received some equalization aid were commonly referred to as “revenue limit districts,” which are now referred to as “LCFF districts.” The District is an LCFF district.

Beginning in fiscal year 2013-14, the LCFF replaced the revenue limit funding system and most categorical programs, and distributes combined resources to school districts through a base grant (“Base Grant”) per unit of average daily attendance (“A.D.A.”) with additional supplemental funding (the “Supplemental Grant”) allocated to local educational agencies based on their proportion of English language learners, students from low-income families and foster youth. The LCFF has an eight year implementation program to incrementally close the gap between actual funding and the target level of funding, as described below. The LCFF includes the following components:

- A Base Grant for each local education agency. The Base Grants are based on four uniform, grade-span base rates. For Fiscal Year 2017-18, the LCFF provided to school districts and charter schools: (a) a Target Base Grant for each LEA equivalent to \$7,820 per A.D.A. for kindergarten through grade 3; (b) a Target Base Grant for each LEA equivalent to \$7,189 per A.D.A. for grades 4 through 6; (c) a Target Base Grant for each LEA equivalent to \$7,403 per A.D.A. for grades 7 and 8; (d) a Target Base Grant for each LEA equivalent to \$8,801 per A.D.A. for grades 9 through 12. However, the amount of actual funding allocated to the Base Grant, Supplemental Grants and Concentration Grants will be subject to the discretion of the State. This amount includes an adjustment of 10.4% to the Base Grant to support lowering class sizes in grades K-3, and an adjustment of 2.6% to reflect the cost of operating career technical education programs in grades 9-12.
- A 20% Supplemental Grant for the unduplicated number of English language learners, students from low-income families and foster youth to reflect increased costs associated with educating those students.

- An additional Concentration Grant of up to 50% of a local education agency's Base Grant, based on the number of English language learners, students from low-income families and foster youth served by the local education agency that comprise more than 55% of enrollment.
- An Economic Recovery Target (the "ERT") that is intended to ensure that almost every local education agency receives at least their pre-recession funding level (i.e., the fiscal year 2007-08 revenue limit per unit of A.D.A.), adjusted for inflation, at full implementation of the LCFF. Upon full implementation, local education agencies would receive the greater of the Base Grant or the ERT.

Under the new formula, for community funded districts, local property tax revenues would be used to offset up to the entire allocation under the new formula. However, community funded districts would continue to receive the same level of State aid as allocated in fiscal year 2012-13.

Local Control Accountability Plans. A feature of the LCFF is a system of support and intervention for local educational agencies. School districts, county offices of education and charter schools are required to develop, implement and annually update a three-year local control and accountability plan ("LCAP"). Each LCAP must be developed with input from teachers, parents and the community, and should describe local goals as they pertain to eight areas identified as state priorities, including student achievement, parent engagement and school climate, as well as detail a course of action to attain those goals. Moreover, the LCAPs must be designed to align with the district's budget to ensure adequate funding is allocated for the planned actions.

Each school district must submit its LCAP annually on or before July 1 for approval by its county superintendent. The county superintendent then has until August 15 to seek clarification regarding the contents of the LCAP, and the school district must respond in writing. The county superintendent can submit recommendations for amending the LCAP, and such recommendations must be considered, but are not mandatory. A school district's LCAP must be approved by its county superintendent by October 8 of each year if such superintendent finds (i) the LCAP adheres to the State template, and (ii) the district's budgeted expenditures are sufficient to implement the strategies outlined in the LCAP.

Performance evaluations are to be conducted to assess progress toward goals and guide future actions. County superintendents are expected to review and provide support to the school districts under their jurisdiction, while the State Superintendent of Public Instruction performs a corresponding role for county offices of education. The California Collaborative for Education Excellence (the "Collaborative"), a newly established body of educational specialists, was created to advise and assist local education agencies in achieving the goals identified in their LCAPs. For local education agencies that continue to struggle in meeting their goals, and when the Collaborative indicates that additional intervention is needed, the State Superintendent of Public Instruction would have authority to make changes to a local education agency's LCAP.

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Attendance and Base Revenue Limit. The following table sets forth the District’s actual A.D.A., enrollment and base revenue limit per unit of A.D.A. for fiscal year 2012-13 for grades K-12. The A.D.A. and enrollment numbers reflected in the following table include special education but exclude adult education. See “–Attendance and LCFF” for information regarding the District’s A.D.A. subsequent to fiscal year 2012-13.

RAVENSWOOD CITY SCHOOL DISTRICT
(San Mateo County, California)
Average Daily Attendance, Enrollment and Deficit Revenue Limit
Fiscal Year 2012-13

Fiscal Year	Average Daily Attendance⁽¹⁾	Enrollment⁽²⁾	Deficit Revenue Limit per Unit of Average Daily Attendance⁽³⁾
2012-13	3,385	3,549	\$5,120.37

⁽¹⁾ A.D.A. for the second period of attendance, typically in mid-April of each school year.

⁽²⁾ Reflects enrollment as of October report submitted to the California Basic Educational Data System (“CBEDS”) in each school year.

⁽³⁾ Deficit revenue limit funding, when provided for in State budgetary legislation, reduced the revenue limit allocations received by school districts by applying a deficit factor to the base revenue limit for the given fiscal year, and resulted from an insufficiency of appropriation funds in the State budget to provide for State aid owed to school districts. The State’s practice of deficit revenue limit funding was most recently reinstated beginning in fiscal year 2008-09, and discontinued following the implementation of the LCFF.

Source: Ravenswood City School District.

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Attendance and LCFF. The following table sets forth the District's A.D.A., enrollment (including percentage of students who are English language learners, from low-income families and/or foster youth (collectively, "EL/LI Students"), and targeted Base Grant per unit of A.D.A. for fiscal years 2013-14 through 2017-18. The A.D.A. and enrollment numbers reflected in the following table include special education but exclude adult education.

**RAVENSWOOD CITY SCHOOL DISTRICT
(San Mateo County, California)
Average Daily Attendance, Enrollment and Targeted Base Grant
Fiscal Years 2013-14 Through 2017-18**

Fiscal Year	A.D.A. / Base Grant				Enrollment		
		K-3 ⁽²⁾	4-6	7-8	Total A.D.A.	Total Enrollment ⁽⁸⁾	Unduplicated Percent of EL/LI Students
2013-14	A.D.A. ⁽²⁾	1,553.40	1,086.20	693.68	3,333.28	3,495	97.66%
	Targeted Base Grant ⁽³⁾	\$7,675	\$7,056	\$7,266	--	--	--
2014-15	A.D.A. ⁽²⁾	1,531.69	1,044.47	665.13	3,241.29	3,457	96.64%
	Targeted Base Grant ⁽³⁾⁽⁴⁾	\$7,740	\$7,116	\$7,328	--	--	--
2015-16	A.D.A. ⁽²⁾	1,427.57	1,015.52	664.95	3,108.04	3,300	96.23%
	Targeted Base Grant ⁽³⁾⁽⁵⁾	\$7,820	\$7,189	\$7,403	--	--	--
2016-17	A.D.A.	1,286.61	989.10	626.22	2,901.93	3,077	95.38%
	Targeted Base Grant ⁽³⁾⁽⁶⁾	\$7,820	\$7,189	\$7,403	--	--	--
2017-18 ⁽¹⁾	A.D.A.	1,064.73	878.00	586.12	2,528.85	2,827	95.19%
	Targeted Base Grant ⁽³⁾⁽⁷⁾	\$7,941	\$7,301	\$7,518	--	--	--

⁽¹⁾ Figures are projections. Total enrollment provided by the District as of January 5, 2018.

⁽²⁾ A.D.A. for the second period of attendance, typically in mid-April of each school year.

⁽³⁾ Such amounts represent the targeted amount of Base Grant per unit of A.D.A., and do not include any supplemental and concentration grants under the LCFF. Such amounts were not fully funded in fiscal years 2013-14, 2014-15, 2015-16 and 2016-17 and are not expected to be fully funded in 2017-18.

⁽⁴⁾ Targeted fiscal year 2014-15 Base Grant amounts reflect a 0.85% cost of living adjustment from targeted fiscal year 2013-14 Base Grant amounts.

⁽⁵⁾ Targeted fiscal year 2015-16 Base Grant amounts reflect a 1.02% cost of living adjustment from targeted fiscal year 2014-15 Base Grant amounts.

⁽⁶⁾ Targeted fiscal year 2016-17 Base Grant amount reflects a 0.00% cost-of-living adjustment from targeted fiscal year 2015-16 Base Grant amounts.

⁽⁷⁾ Targeted fiscal year 2017-18 Base Grant amount reflects a 1.56% cost-of-living adjustment from targeted fiscal year 2016-17 Base Grant amounts.

⁽⁸⁾ Reflects enrollment as of October report submitted to the CBEDS in each school year. For purposes of calculating Supplemental and Concentration Grants, a school district's fiscal year 2013-14 percentage of unduplicated EL/LI Students are expressed solely as a percentage of its fiscal year 2013-14 total enrollment. For fiscal year 2014-15, the percentage of unduplicated EL/LI Students enrollment are based on the two-year average of EL/LI Students enrollment in fiscal years 2013-14 and 2014-15. Beginning in fiscal year 2015-16, a school district's percentage of unduplicated EL/LI Students will be based on a rolling average of such school district's EL/LI Students enrollment for the then-current fiscal year and the two immediately preceding fiscal years.

Source: The District.

The District received approximately \$32.47 million in aggregate revenues reported under LCFF sources in fiscal year 2016-17, and has projected to receive approximately \$32.15 million in aggregate revenues under the LCFF in fiscal year 2017-18 (or approximately 67.41% of its general fund revenues in fiscal year 2017-18).

Local Sources of Education Funding

A principal component of local revenues is a school district's property tax revenues, i.e., each district's share of the local 1% property tax, received pursuant to Sections 75 and following and Sections 95 and following of the California Revenue and Taxation Code. California Education Code Section 42238(h) itemizes the local revenues that are counted towards the amount allocated under the LCFF (and formerly, the base revenue limit) before calculating how much the State must provide in State aid. The more local property taxes a district receives, the less State aid it is entitled to receive.

Under the LCFF, local property tax revenues are used to offset up to the entire State aid collection under the new formula; however, community funded districts would continue to receive, at a minimum, the same level of State aid as allotted in fiscal year 2012-13. See “—Allocation of State Funding to School Districts: Local Control Funding Formula” herein for more information.

Local property tax revenues account for approximately 33.72% of the District's aggregate revenues reported under LCFF sources and are projected to be approximately \$10.84 million, or 22.69% of its total general fund revenues in fiscal year 2017-18.

For a discussion of legal limitations on the ability of the District to raise revenues through local property taxes, see “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS” below.

Effect of Changes in Enrollment. Changes in local property tax income and A.D.A. affect LCFF districts and community funded districts differently.

In an LCFF district, increasing enrollment increases the total amount distributed under the LCFF and thus generally increases a district's entitlement to State equalization aid, while increases in property taxes do nothing to increase district revenues, but only offset the State funding requirement of equalization aid. Operating costs increase disproportionately slowly to enrollment growth; and only at the point where additional teachers and classroom facilities are needed. Declining enrollment has the reverse effect on LCFF districts, generally resulting in a loss of State equalization aid, while operating costs decrease slowly and only when, for example, the district decides to lay off teachers or close schools.

In community funded districts, the opposite is generally true: increasing enrollment increases the amount to which the district would be entitled were it an LCFF district, but since all LCFF income (and more) is already generated by local property taxes, there is no increase in State income, other than the \$120 per student in basic aid, as described above. Meanwhile, as new students impose increased operating costs, property tax income is stretched further. Declining enrollment does not reduce property tax income, and has a negligible impact on State aid, but eventually reduces operating costs, and thus can be financially beneficial to a community funded district.

Enrollment can fluctuate due to factors such as population growth, competition from private, parochial, and public charter schools, inter-district transfers in or out, and other causes. Losses in enrollment will cause a school district to lose operating revenues, without necessarily permitting the District to make adjustments in fixed operating costs.

The District cannot make any predictions regarding how the current economic environment or changes thereto will affect the State's ability to meet the revenue and spending assumptions in the State's adopted budget, and the effect of these changes on school finance. The District's adopted budget and projected A.D.A. are used for planning purposes only, and do not represent a prediction as to the actual financial performance, attendance, or the District's actual funding level for fiscal year 2017-18 or beyond. Certain adjustments will have to be made throughout the year based on actual State funding and actual attendance.

Other District Revenues

Federal Revenues. The federal government provides funding for several District programs, including special education programs. Federal revenues, most of which are restricted, comprise approximately 6.54% (or approximately \$3.12 million) of the District's general fund projected revenues for fiscal year 2017-18.

Other State Revenues. In addition to State apportionments for Proposition 98 funding through the Local Control Funding Formula, the District receives other State revenues which comprise approximately 8.35% (or approximately \$3.98 million) of the District's general fund projected revenues for fiscal year 2017-18. A significant portion of such other State revenues are amounts the District expects to receive from State lottery funds, which may not be used for non-instructional purposes, such as the acquisition of real property, the construction of facilities, or the financing of research. School districts receive lottery funds proportional to their total A.D.A. The District's State lottery revenue is projected at \$587,900 for fiscal year 2017-18.

Other Local Revenues. In addition to *ad valorem* property taxes, the District receives additional local revenues from items such as interest earnings and other local sources. Other local revenues comprise approximately 17.7% (or approximately \$8.84 million) of the District's general fund projected revenues for fiscal year 2017-18.

District Expenditures

The largest part of each school district's general fund budget is used to pay salaries and benefits of certificated (credentialed teaching) and classified (non-instructional) employees. Changes in salary and benefit expenditures from year to year are generally based on changes in staffing levels, negotiated salary increases, and the overall cost of employee benefits.

In its fiscal year 2017-18 budget, the District estimates that it will expend approximately \$36.28 million in fiscal year 2017-18 in salaries and benefits, or approximately 73.2% of its general fund expenditures. This amount represents a decrease of approximately 4.54% from the approximately \$38.01 million the District expended in fiscal year 2016-17.

Labor Relations. District employees are represented by employee bargaining units as follows:

RAVENSWOOD CITY SCHOOL DISTRICT (San Mateo County, California) Labor Organizations

<u>Name of Bargaining Unit</u>	<u>Current Contract Expiration Date</u>
Ravenswood Teachers Association (RTA)	June 30, 2016 ⁽¹⁾
Classified School Employees Association (CSEA)	June 30, 2016 ⁽¹⁾

⁽¹⁾ Although the current bargaining unit contracts have expired, the parties continue to operate under the terms of the contracts that expired on June 30, 2016 during the ongoing negotiations for new contracts.

Source: Ravenswood City School District.

Retirement Programs. The District participates in retirement plans with the California State Teachers' Retirement System ("CalSTRS"), which covers all full-time certificated District employees, and the State Public Employees' Retirement System ("CalPERS"), which covers certain classified employees. Classified school personnel who are employed four or more hours per day may participate in CalPERS.

CalSTRS. Contributions to CalSTRS are fixed in statute. For fiscal year 2013-14, covered employees contributed 8.00% of salary to CalSTRS, while school districts contributed 8.25%. In addition to the teacher and school contributions, the State contributed 4.517% of teacher payroll to CalSTRS (calculated on payroll data from two fiscal years ago). Prior to Fiscal Year 2014-15 and unlike typical defined benefit programs such as those administered by CalPERS, neither the CalSTRS employer nor the State contribution rate varied annually to make up

funding shortfalls or assess credits for actuarial surpluses. The State does pay a surcharge when the member and school district contributions are not sufficient to fully fund the basic defined benefit pension (generally consisting of 2% of salary for each year of service at age 60 referred to herein as “pre-enhancement benefits”) within a 30-year period. However, this surcharge does not apply to system-wide unfunded liability resulting from recent benefit enhancements.

As part of the 2014-15 State Budget, the Governor signed Assembly Bill 1469 which implemented a new funding strategy for CalSTRS and increased the employer contribution rate in fiscal year 2014-15 from 8.25% to 8.88% of covered payroll. Such rate increased by 1.85% beginning in fiscal year 2015-16 until the employer contribution rate is 19.10% of covered payroll as further described below. AB 1469 increased member contributions, which were previously set at 8.00% of pay, to 10.25% of pay for members hired on or before December 31, 2012 and 9.205% of pay for members hired on or after January 1, 2013 effective July 1, 2016. The State’s total contribution also increased from approximately 3% in fiscal year 2013-14 to 6.30% of payroll in fiscal year 2016-17, plus the continued payment of 2.5% of payroll annual for a supplemental inflation protection program for a total of 8.80%. In addition, AB 1469 provides the State Teachers Retirement Board with authority to modify the percentages paid by employers and employees for fiscal year 2021-22 and each fiscal year thereafter to eliminate the CalSTRS unfunded liability by June 30, 2046. The State Teachers Retirement Board would also have authority to reduce employer and State contributions if they are no longer necessary.

On February 1, 2017, the State Teachers’ Retirement Board voted to adopt revised actuarial assumptions reflecting members’ increasing life expectancies and current economic trends. The revised assumptions include a decrease from 7.50% to a 7.25% investment rate of return for the June 30, 2016 actuarial valuation, a decrease from 7.25% to a 7.00% investment rate of return for the June 30, 2017 actuarial valuation, a decrease from 3.75% to a 3.50% projected wage growth, and a decrease from 3.00% to a 2.75% price inflation factor.

As of June 30, 2016, an actuarial valuation (the “2016 CalSTRS Actuarial Valuation”) for the entire CalSTRS defined benefit program showed an estimated unfunded actuarial liability of \$96.7 billion, an increase of approximately \$20.5 million from the June 30, 2015 valuation. The funded ratios of the actuarial value of valuation assets over the actuarial accrued liabilities as of June 30, 2016, June 30, 2015 and June 30, 2014, based on the actuarial assumptions, were approximately 63.7%, 68.5% and 68.5%, respectively. Future estimates of the actuarial unfunded liability may change due to market performance, legislative actions and other experience that may differ from the actuarial assumptions. The following are certain of the actuarial assumptions set forth in the 2016 CalSTRS Actuarial Valuation: measurement of accruing costs by the “Entry Age Normal Actuarial Cost Method,” a 7.25% investment rate of return for measurements as of June 30, 2016 and an assumed 7.00% investment rate of return for measurements subsequent to June 30, 2016, 3.00% interest on member accounts, projected 3.50% wage growth, projected 2.75% inflation and demographic assumptions relating to mortality rates, length of service, rates of disability, rates of withdrawal, probability of refund, and merit salary increases. The 2016 CalSTRS Actuarial Valuation also assumes that all members hired on or after January 1, 2013 are subject to the provisions of PEPRA (as defined herein). See “—Governor’s Pension Reform” below for a discussion of the pension reform measure signed by the Governor in August 2012 expected to help reduce future pension obligations of public employers with respect to employees hired on or after January 1, 2013. Future estimates of the actuarial unfunded liability may change due to market performance, legislative actions, changes in actuarial assumptions and other experiences that may differ from the actuarial assumptions.

As indicated above, there was no required contribution from teachers, school districts or the State to fund the unfunded actuarial liability for the CalSTRS defined benefit program and only the State legislature can change contribution rates. The 2016 CalSTRS Actuarial Valuation stated that the aggregate contribution rate as of June 30, 2017, inclusive of an equivalent rate contribution of 10.219% from members, 8.000% from employers relating to the base rate, 0.250% from employers based on the sick leave rate, 10.096% from employers based on the supplemental rate, 1.881% from the State based on the base rate and 4.021% from the State based on the supplemental rate is equivalent to 34.467%.

Pursuant to Assembly Bill 1469, school district's contribution rates will increase in accordance with the following schedule:

Effective Date (July 1)	School District Contribution Rate
2014	8.88%
2015	10.73
2016	12.58
2017	14.43
2018	16.28
2019	18.13
2020	19.10

Source: Assembly Bill 1469.

The following table sets forth the District's total employer contributions to CalSTRS for fiscal years 2012-13 through 2016-17 and the budgeted contribution for fiscal year 2017-18.

**RAVENSWOOD CITY SCHOOL DISTRICT
Employer Contribution to CalSTRS
Fiscal Years 2012-13 through 2017-18**

Fiscal Year	Contribution
2012-13 ⁽¹⁾	\$1,331,920
2013-14 ⁽¹⁾	1,354,282
2014-15 ⁽¹⁾	1,570,419
2015-16 ⁽¹⁾	3,201,535
2016-17 ⁽¹⁾	2,267,620
2017-18 ⁽²⁾	4,003,122

⁽¹⁾ District's audited financial statement for fiscal years 2012-13 through 2016-17.

⁽²⁾ Original adopted budget for fiscal year 2017-18.

Source: Ravenswood City School District.

The District's total employer contributions to CalSTRS for fiscal years 2012-13 through 2017-18 were equal to 100% of the required contributions for each year. With the implementation of AB 1469, the District anticipates that its contributions to CalSTRS will increase in future fiscal years as compared to prior fiscal years.

The District, nonetheless, is unable to predict all factors or any changes in law that could affect its required contributions to CalSTRS in future fiscal years.

CalSTRS produces a comprehensive annual financial report and actuarial valuations which include financial statements and required supplementary information. Copies of the CalSTRS comprehensive annual financial report and actuarial valuations may be obtained from CalSTRS. The information presented in these reports and on these websites is not incorporated by reference in this Official Statement.

CalPERS. The District also participates in the California Public Employees' Retirement System ("CalPERS") for all full-time and some part-time classified employees. All qualifying classified employees of K-12 districts in the State are members in CalPERS, and all of such districts participate in the same plan. As such, all such districts share the same contribution rate in each year. However, unlike school districts' participating in CalSTRS, the school districts' contributions to CalPERS fluctuate each year and include a normal cost component and a component equal to an amortized amount of the unfunded liability. Accordingly, the District cannot provide any assurances that the District's required contributions to CalPERS in future years will not significantly vary from any current projected levels of contributions to CalPERS.

The CalPERS Finance and Administration Committee has reported that the CalPERS Schools Actuarial Valuation as of June 30, 2016, reports that the funded ratio as of June 30, 2016 is approximately 71.9% on a market value of assets basis. According to the CalPERS Schools Actuarial Valuation as of June 30, 2015, the CalPERS Schools plan had a funded ratio of 77.5% on a market value of assets basis. The funded ratio, on a market value basis, as of June 30, 2014, June 30, 2013, June 30, 2012, June 30, 2011 and June 30, 2010 was 86.6%, 80.5%, 75.5%, 78.7% and 69.5%. In April 2013, the CalPERS Board of Administration approved changes to the CalPERS amortization and smoothing policy intended to reduce volatility in employer contribution rates. Beginning with the June 30, 2013 actuarial valuation, CalPERS employed a new amortization and smoothing policy that will pay for all gains and losses over a fixed 30-year period with the increases or decreases in the rate spread directly over a 5-year period (as compared to the current policy of spreading investment returns over a 15-year period with experience gains and losses paid for over a rolling 30-year period). Such changes, the implementation of which were delayed until fiscal year 2015-16 for the State, schools and all public agencies, have increased contribution rates in the near term but are expected to lower contribution rates in the long term. In November 2015, the CalPERS Board of Administration approved a proposal pursuant to which the discount rate would be reduced by a minimum of 0.05 percentage points to a maximum of 0.25 percentage points in years when investment returns outperform the then-current discount rate of 7.5% by at least four percentage points. In December 2016, the CalPERS Board of Administration voted to lower the discount rate from 7.5% to 7.375% for fiscal year 2017-18, 7.25% for fiscal year 2018-19, and 7.00% beginning fiscal year 2019-20. The new discount rates will take effect beginning July 1, 2017 for the State and July 1, 2018 for school districts. The change in the assumed rate of return is expected to result in increases in the District's normal costs and unfunded actuarial liabilities.

In February 2014, the CalPERS Board of Administration adopted actuarial demographic assumptions that take into account public employees living longer. Such assumptions are expected to increase costs for the State and public agency employers (including school districts), which costs will be amortized over 20 years and phased in over three years beginning in fiscal year 2014-15 for the State and amortized over 20 years and phased in over five years beginning in fiscal year 2016-17 for the employers. CalPERS applied the assumptions beginning with the June 30, 2015 valuation for the schools pool, which was used to establish employer contribution rates for fiscal year 2016-17. CalPERS estimates that the new demographic assumptions could cost public agency employers up to 9% of payroll for safety employees and up to 5% of payroll for miscellaneous employees at the end of the five year phase in period. To the extent, however, that future experiences differ from CalPERS' current assumptions, the required employer contributions may vary. In April 2016, CalPERS approved an increase to the contribution rate for school districts from 11.847% during fiscal year 2015-16 to 13.888% during fiscal year 2016-17. In April 2017, CalPERS adopted an employer contribution rate of 15.531% for the schools pool and a member contribution rate of 6.5% for school employees subject to PEPR for the period of July 1, 2017 to June 30, 2018.

The following table sets forth the District's total employer contributions to CalPERS for fiscal years 2012-13 through 2016-17 and the budgeted contribution for fiscal year 2017-18.

**RAVENSWOOD CITY SCHOOL DISTRICT
Employer Contribution to CalPERS
Fiscal Years 2012-13 through 2017-18**

Fiscal Year	Contribution
2012-13 ⁽¹⁾	\$775,324
2013-14 ⁽¹⁾	843,292
2014-15 ⁽¹⁾	986,019
2015-16 ⁽¹⁾	1,154,762
2016-17 ⁽¹⁾	1,524,653
2017-18 ⁽²⁾	1,570,245

⁽¹⁾ District's audited financial statement for fiscal years 2012-13 through 2016-17.

⁽²⁾ Original adopted budget for fiscal year 2017-18.

Source: Ravenswood City School District.

The District's total employer contributions to CalPERS for fiscal years 2012-13 through 2017-18 were equal to 100% of the required contributions for each year. With the change in actuarial assumptions described

above, the District anticipates that its contributions to CalPERS will increase in future fiscal years as the increased costs are phased in. The implementation of PEPPRA (see “—California Public Employees’ Pension Reform Act of 2013” below), however, is expected to help reduce certain future pension obligations of public employers with respect to employees hired on or after January 1, 2013. The District cannot predict the impact these changes will have on its contributions to CalPERS in future years.

CalPERS produces a comprehensive annual financial report and actuarial valuations that include financial statements and required supplementary information. Copies of the CalPERS comprehensive annual financial report and actuarial valuations may be obtained from CalPERS Financial Services Division. The information presented in these reports is not incorporated by reference in this Official Statement.

California Public Employees’ Pension Reform Act of 2013. On August 28, 2012, Governor Brown and the State Legislature reached agreement on a new law that reforms pensions for State and local government employees. AB 340, which was signed into law on September 12, 2012, established the California Public Employees’ Pension Reform Act of 2012 (“PEPPRA”) which governs pensions for public employers and public pension plans on and after January 1, 2013. For new employees, PEPPRA, among other things, caps pensionable salaries at the Social Security contribution and wage base, which is \$127,200 for 2017, or 120% of that amount for employees not covered by Social Security, increases the retirement age by two years or more for all new public employees while adjusting the retirement formulas, requires state employees to pay at least half of their pension costs, and also requires the calculation of benefits on regular, recurring pay to stop income spiking. For all employees, changes required by PEPPRA include the prohibition of retroactive pension increases, pension holidays and purchases of service credit. PEPPRA applies to all State and local public retirement systems, including county and district retirement systems. PEPPRA only exempts the University of California system and charter cities and counties whose pension plans are not governed by State law. Although the District anticipates that PEPPRA would not increase the District’s future pension obligations, the District is unable to determine the extent of any impact PEPPRA would have on the District’s pension obligations at this time. Additionally, the District cannot predict if PEPPRA will be challenged in court and, if so, whether any challenge would be successful.

The District is unable to predict what the amount of State pension liabilities will be in the future, or the amount of the contributions which the District may be required to make. CalSTRS and CalPERS are more fully described in Note 8 to the District’s financial statements attached hereto as APPENDIX B – “FINANCIAL STATEMENTS OF THE DISTRICT FOR THE FISCAL YEAR ENDED JUNE 30, 2017.”

GASB 67 and 68. In June 2012, the Governmental Accounting Standards Board approved a pair of related statements, Statement Number 67, Financial Reporting for Pension Plans (“Statement Number 67”), which addresses financial reporting for pension plans, and Statement Number 68, Accounting and Financial Reporting for Pensions (“Statement Number 68”), which establishes new accounting and financial reporting requirements for governments that provide their employees with pensions. The guidance contained in these statements changed how governments calculated and reported the costs and obligations associated with pensions. Statement Number 67 replaced the requirements of Statement Number 25, Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans, for most public employee pension plans, and Statement Number 27 replaced the requirements of Statement Number 27, Accounting for Pensions by State and Local Governmental Employers, for most government employers. The new statements also replaced the requirements of Statement Number 50, Pension Disclosures, for those governments and pension plans. Certain of the major changes included: (i) the inclusion of unfunded pension liabilities on the government’s balance sheet (such unfunded liabilities are currently typically included as notes to the government’s financial statements); (ii) full pension costs would be shown as expenses regardless of actual contribution levels; (iii) lower actuarial discount rates would be required to be used for most plans for certain purposes of the financial statements, resulting in increased liabilities and pension expenses; and (iv) shorter amortization periods for unfunded liabilities would be required to be used for certain purposes of the financial statements, which generally would increase pension expenses. Statement Number 67 became effective beginning in Fiscal Year 2013-14, and Statement Number 68 became effective beginning in Fiscal Year 2014-15.

Other Post-Employment Benefits (OPEB). In addition to the retirement plan benefits with CalSTRS and CalPERS, the District provides health insurance to certain retirees. Generally, participants who retire from the District at age 55 to 65 with at least ten years of service receive one-party medical benefits paid for by the District to

a maximum amount per year. This amount has been assumed to rise by 10% every fifth year. These benefits end at age 65 or after five years of payment if earlier. As of June 30, 2017, approximately 9 retirees met these eligibility requirements. The District payment reduces thereafter to amounts that vary by representation unit.

The District uses the pay-as-you-go method to fund the retirement liability.

The Governmental Accounting Standards Board released its Statement Number 45 (“Statement Number 45”), which requires municipalities to account for other post-employment benefits (meaning other than pension benefits) (“OPEB”) liabilities much like municipalities are required to account for pension benefits. The expense is generally accrued over the working career of employees, rather than on a pay-as-you-go basis, which has been the practice for most municipalities and public sector organizations. OPEBs generally include post-employment health benefits (medical, dental, vision, prescription drug and mental health), life insurance, disability benefits and long term care benefits. Statement Number 45 became effective for the District beginning in fiscal year 2008-09.

The District’s annual OPEB cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of Statement Number 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any un-funded actuarial liabilities over a period not to exceed thirty years. The District’s annual required contribution for fiscal year 2016-17 was \$1,090,600, and contributions made by the District during the fiscal year amounted to \$182,152, all of which was used for current premiums for health and medical benefits for retired employees. Interest on the net OPEB obligation and adjustments to the annual required contribution were \$249,584 and negative \$293,471, respectively, which resulted in an increase to the net OPEB obligation of \$864,561. As of June 30, 2017, the net OPEB obligation was \$6,410,876. See Note 8 to the District’s financial statements attached hereto as APPENDIX B – “FINANCIAL STATEMENTS OF THE DISTRICT FOR THE FISCAL YEAR ENDED JUNE 30, 2017” for more information as of June 30, 2017.

The following table sets forth the District’s total OPEB contributions for fiscal years 2012-13 through 2016-17 and the budgeted contribution for fiscal year 2017-18.

**RAVENSWOOD CITY SCHOOL DISTRICT
OPEB Contributions for Fiscal Years 2012-13 through 2017-18**

<u>Fiscal Year</u>	<u>Contribution</u>
2012-13 ⁽¹⁾	\$188,229
2013-14 ⁽¹⁾	198,341
2014-15 ⁽¹⁾	195,739
2015-16 ⁽¹⁾	0
2016-17 ⁽¹⁾	182,152
2017-18 ⁽²⁾	202,400

⁽¹⁾ District’s audited financial statement for fiscal years 2012-13 through 2016-17.

⁽²⁾ Original adopted budget for fiscal year 2017-18.

Accrued Vacation and Other Obligations. The long-term portion of accumulated and unpaid employee vacation plus related payroll taxes for the District as of June 30, 2017, was \$533,778.

Capital Leases. The District has entered into agreements to lease various facilities and equipment. Such agreements are, in substance, purchases (capital leases) and are reported as capital lease obligations. The District’s liability on capital leases is summarized in Note 7 to the District’s financial statements attached hereto as APPENDIX B – “FINANCIAL STATEMENTS OF THE DISTRICT FOR THE FISCAL YEAR ENDED JUNE 30, 2017.”

Summary of District Revenues and Expenditures

The table on page A-21 summarizes the District’s general fund revenue, expenditures and fund balances from fiscal years 2013-14 through 2016-17, as well as budgeted and projected results for fiscal year 2017-18. See

APPENDIX A – “INFORMATION RELATING TO THE DISTRICT’S OPERATIONS AND BUDGET – SCHOOL DISTRICT BUDGET PROCEDURES AND REQUIREMENTS – District Budget Process and County Review” herein for a general description of the annual budget process for California school districts. The District’s audited financial statements for the year ending June 30, 2017, are reproduced in APPENDIX B. The final (unaudited) statement of receipts and expenditures for each fiscal year ending June 30 is required by State law to be approved by the District Board of Trustees by September 15, and the audit report must be filed with the County of San Mateo Superintendent of Schools and State officials by December 15 of each year.

The District is required by State law and regulation to maintain various reserves. The District is generally required to maintain unrestricted general fund reserves in the amount of 3% of its total general fund expenditures. For fiscal year 2017-18, the District has a projected unrestricted general fund reserve of 3.52%, or approximately \$1.75 million, compared to the fiscal year 2016-17 unrestricted general fund reserve of \$1.47 million. Substantially all funds of the District are required by law to be deposited with and invested by the Treasurer-Tax Collector on behalf of the District, pursuant to law and the investment policy of the County. See APPENDIX E – “SAN MATEO COUNTY INVESTMENT POLICY AND DESCRIPTION OF INVESTMENT POOL.”

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**RAVENSWOOD CITY SCHOOL DISTRICT
GENERAL FUND REVENUES, EXPENDITURES AND FUND BALANCES
FISCAL YEARS 2013-14 THROUGH 2017-18**

	2013-14 Actuals ⁽¹⁾	2014-15 Actuals ⁽¹⁾	2015-16 Actuals ⁽¹⁾	2016-17 Actuals ⁽¹⁾	2017-18 Adopted Budget ⁽²⁾	2017-18 First Interim Report ⁽³⁾
Revenue/Receipts						
Revenue limit/LCFF Sources	\$25,162,054	\$29,148,671	\$32,224,280	\$32,474,612	\$32,262,796	\$32,152,052
Federal revenue	3,124,672	2,882,918	3,185,541	2,848,198	2,480,952	3,120,521
Other state revenue	3,184,762	3,508,633	5,162,593	4,119,338	3,470,435	3,983,203
Other local revenue	5,756,492	7,697,852	8,892,518	8,175,047	7,254,046	8,440,087
TOTAL	\$37,227,980	\$43,238,074	\$49,464,935	\$47,617,195	\$45,468,229	\$47,695,863
Expenditures/Disbursements						
Certificated Salaries	\$16,708,745	\$17,603,700	\$19,223,832	\$18,259,086	\$17,661,718	\$16,911,914
Classified Salaries	6,247,806	7,520,877	7,918,663	9,052,135	8,266,445	8,766,706
Employee Benefits	6,829,145	9,055,869	10,243,708	10,695,028	10,644,892	10,603,974
Books and Supplies	2,441,967	1,859,725	3,800,972	1,726,157	1,457,018	2,390,945
Services/Other Operating Expenditures	6,517,670	6,858,742	8,778,972	7,937,027	7,132,725	9,905,936
Capital Outlay	563,247	222,931	162,000	246,954	43,000	302,851
Other Outgo	796,727	866,947	829,906	737,231	888,550	888,550
Direct Support / Indirect Costs	-	-	(240,760)	-	(140,997)	(217,778)
TOTAL	\$40,105,307	\$43,988,791	\$50,717,293	\$48,653,618	\$45,953,351	\$49,553,100
Excess (Deficiency) of Revenues Over (Under) Expenditures	\$(2,877,327)	\$(750,717)	\$(1,252,361)	\$(1,036,423)	\$(485,122)	\$(1,857,237)
Other Financing Sources/ (Uses)						
Operating Transfers In	\$270,000	-	\$270,000	\$235,641	-	\$414,376
Operating Transfers Out	(300,000)	\$(32,553)	(300,000)	(301,000)	\$(769,650)	(189,576)
Proceeds from Capital Lease	556,871	-	-	-	-	-
Other Sources	647,074	241,851	-	-	-	-
TOTAL	\$1,173,945	\$209,298	\$(30,000)	\$(65,359)	\$(769,650)	\$(165,698)
NET CHANGE IN FUND BALANCE	<u>\$(1,703,382)</u>	<u>\$(541,419)</u>	<u>\$(1,282,361)</u>	<u>\$(1,101,782)</u>	<u>\$(1,254,772)</u>	<u>\$(2,022,935)</u>
FUND BALANCE, BEGINNING OF YEAR	<u>\$8,267,352</u>	<u>\$6,563,970</u>	<u>\$5,801,017</u>	<u>\$5,500,530</u>	<u>\$3,136,611</u>	<u>\$4,173,306</u>
FUND BALANCE, END OF YEAR	<u>\$8,267,352</u>	<u>\$6,563,970</u>	<u>\$6,022,551</u>	<u>\$4,398,748</u>	<u>\$1,881,839</u>	<u>\$2,150,371</u>

(1) Excerpted from the District's audited financial statements for the fiscal years ending June 30, 2014, June 30, 2015, June 30, 2016 and June 30, 2017.

(2) Excerpted from the District's Adopted Budget for the fiscal year ended June 30, 2018.

(3) Excerpted from the District's First Interim Report for the fiscal year ended June 30, 2018, approved on December 14, 2017.

Source: Ravenswood City School District.

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District Debt

Long-Term Debt Summary. A schedule of the District’s outstanding long-term obligations for the year ended June 30, 2017, consisted of the following:

	Governmental Activities		Total Percentage Change
	2017	2016 (as restated)	2016-2017
General obligation bonds	\$22,605,000	\$7,410,000	205%
Unamortized premium	1,315,783	857,911	53
Capital lease	128,663	243,370	(47)
OPEB	6,410,876	5,546,315	16
Net pension liability	46,890,330	36,480,857	29
Compensated absences	533,778	562,723	(5)
TOTAL	\$77,884,430	\$51,101,176	52%

Source: Ravenswood City School District.

General Obligation Bonds. In addition to the Series 2018 Bonds, the District has two additional outstanding series of bonds, each of which is secured by *ad valorem* taxes levied upon all property subject to taxation in the District.

In 2006, the District issued its 2006 General Obligation Refunding Bonds in the original denomination of \$14,520,226.16, pursuant to Resolution No. 893, adopted by the Board on September 2006. The 2006 General Obligation Refunding Bonds were purchased by the Ravenswood City School District School Facilities Financing Authority in conjunction with the issuance of its Revenue Bonds, Series 2006 (Ravenswood City School District General Obligation Bond Program). In February 2016, the District issued its 2016 General Obligation Refunding Bonds (the “2016 Refunding Bonds”) to refund the 2006 General Obligation Bonds.

On June 7, 2016, the District received authorization under a ballot measure to issue bonds of the District in an aggregate principal amount not to exceed \$26,000,000 (the “2016 Authorization”), by a vote of not less than 55% of the votes cast by eligible voters within the District, and received a favorable vote of approximately 86.69% of the votes cast on the measure. On December 14, 2016, the District issued \$16,000,000 aggregate initial principal amount of its General Obligation Bonds, Election of 2016, Series 2016 (the “Series 2016 Bonds”) as the District’s first series of bonds to be issued under the 2016 Authorization.

As of February 1, 2018, prior to the issuance of the Series 2018 Bonds, the outstanding bonds of the District are as shown in the following table:

Series Name	Date of Issue	Initial Principal Amount	Outstanding Principal Amount
2016 Refunding Bonds	February 11, 2016	\$7,410,000	\$5,570,000
Series 2016 Bonds	December 14, 2016	16,000,000	15,025,000
TOTAL		\$23,410,000	\$20,595,000

Voter-approved bonds are payable from an unlimited *ad valorem* property tax authorized to be levied by the County as necessary to repay the scheduled debt service in each year. See “DEBT SERVICE SCHEDULES – Combined Annual Debt Service” in the front portion of this Official Statement for a description of principal and interest due in each year on all bonds outstanding.

Tax and Revenue Anticipation Notes and Interim Borrowing. In March 2014 the District issued Tax and Revenue Anticipation Notes (“TRANS”) in the amount of \$2,500,000 which matured on March 4, 2015 and bore

interest at the rate of one percent. TRANS were issued to supplement the District's cash flow and were paid in a timely manner.

The District has not issued and does not expect to issue any TRANS in fiscal year 2017-18, and the District has not participated in the County's interim borrowing program for school districts in the County in fiscal year 2017-18. The District may, however, issue tax and revenue anticipation notes or may participate in the County's interim borrowing program in future fiscal years as and when necessary to supplement cash flow.

Insurance and Risk Pooling

The District is a member of the San Mateo County Schools Insurance Group joint powers authority ("SMCSIG"), a joint venture under a joint powers agreement among all of the school districts in San Mateo County, as well as the San Mateo County Office of Education. The District pays an annual premium to the entity for its health and property liability coverage from SMCSIG. For the 2016-17 fiscal year, the District paid \$252,319 for property liability coverage, \$3,590 for comprehensive and collision coverage, and \$732,838 for dental coverage. The relationships between the District and the SMCSIG are such that it is not a component unit of the District for financial reporting purposes, as described in APPENDIX B – "FINANCIAL STATEMENTS OF THE DISTRICT FOR THE FISCAL YEAR ENDED JUNE 30, 2017," at Note 10.

The District is exposed to various risks of loss related to torts, errors and omissions, and injuries to employees. During the year ended June 30, 2017, the District operated the Workers' Compensation Fund (Internal Service Fund) (the "Internal Service Fund") to account for and finance its risk of loss. The Internal Service Fund provides coverage for up to a maximum of \$500,000 for each workers' compensation claim under a retrospective rating plan and subject to a retrospective rating maximum premium. Funding of the Internal Service Fund is based on estimates of the amounts needed to pay prior and current year claims. Claim liability is based on the requirements of Governmental Accounting Standards Board Statement Number 10, which requires that a liability for claims be reported if information prior to the issuance of the financial statements and amount of the loss can be reasonably estimated. The Internal Service Fund claim liability reported as of June 30, 2017 was \$1,780,220, reflecting no change from the claim liability reported as of June 30, 2016, as described in APPENDIX B – "FINANCIAL STATEMENTS OF THE DISTRICT FOR THE FISCAL YEAR ENDED JUNE 30, 2017," at Note 9.

Charter Schools

Charter schools operate as autonomous public schools, under charter from a school district, county office of education, or the State Board of Education, with minimal supervision by the local school district. Charter schools receive revenues from the State and from the District for each student enrolled, and thus reduce revenues available for students enrolled in District schools. The District is also required to accommodate charter school students originating in the District in facilities comparable to those provided to regular District students.

There is currently one charter school operating in the District's boundaries.

SCHOOL DISTRICT BUDGET PROCEDURES AND REQUIREMENTS

District Budget Process and County Review

State law requires school districts to adopt a balanced budget in each fiscal year. The State Department of Education imposes a uniform budgeting and accounting format for school districts.

Under current law, a school district governing board must adopt and file with the county superintendent of schools a tentative budget by July 1 in each fiscal year. The District is under the jurisdiction of the County of San Mateo Superintendent of Schools.

The county superintendent must review and approve, conditionally approve or disapprove the budget no later than August 15. The county superintendent is required to examine the adopted budget for compliance with the

standards and criteria adopted by the State Board of Trustees and identify technical corrections necessary to bring the budget into compliance with the established standards. If the budget is disapproved, it is returned to the District with recommendations for revision. The District is then required to revise the budget, hold a public hearing thereon, adopt the revised budget, and file it with the county superintendent no later than September 8. Pursuant to State law, the county superintendent has available various remedies by which to impose and enforce a budget that complies with State criteria, depending on the circumstances, if a budget is disapproved. After approval of an adopted budget, the school district's administration may submit budget revisions for governing board approval.

Subsequent to approval, the county superintendent will monitor each district under its jurisdiction throughout the fiscal year pursuant to its adopted budget to determine on an ongoing basis if the district can meet its current or subsequent year financial obligations. If the county superintendent determines that a district cannot meet its current or subsequent year's obligations, the county superintendent will notify the district's governing board of the determination and may then do either or both of the following: (a) assign a fiscal advisor to enable the district to meet those obligations, or (b) if a study and recommendations are made and a district fails to take appropriate action to meet its financial obligations, the county superintendent will so notify the State Superintendent of Public Instruction, and then may do any or all of the following for the remainder of the fiscal year: (i) request additional information regarding the district's budget and operations; (ii) develop and impose, after also consulting with the district's governing board, revisions to the budget that will enable the district to meet its financial obligations; and (iii) stay or rescind any action inconsistent with such revisions. However, the county superintendent may not abrogate any provision of a collective bargaining agreement that was entered into prior to the date upon which the county superintendent assumed authority.

A State law adopted in 1991 (known as "A.B. 1200") imposed additional financial reporting requirements on school districts, and established guidelines for emergency State aid apportionments. Under the provisions of A.B. 1200, each school district is required to file interim certifications with the county superintendent (on December 15, for the period ended October 31, and by mid-March for the period ended January 31) as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent fiscal year. The county superintendent reviews the certification and issues either a positive, negative or qualified certification. A positive certification is assigned to any school district that will meet its financial obligations for the current fiscal year and subsequent two fiscal years. A negative certification is assigned to any school district that is deemed unable to meet its financial obligations for the remainder of the fiscal year or subsequent fiscal year. A qualified certification is assigned to any school district that may not meet its financial obligations for the current fiscal year or two subsequent fiscal years. A school district that receives a qualified or negative certification may not issue tax and revenue anticipation notes or certificates of participation without approval by the county superintendent. The District has not received a qualified or negative certification in any of the last five years.

For school districts under fiscal distress, the county superintendent of schools is authorized to take a number of actions to ensure that the school district meets its financial obligations, including budget revisions. However, the county superintendent is not authorized to approve any diversion of revenue from ad valorem taxes levied to pay debt service on district general obligation bonds. A school district that becomes insolvent may, upon the approval of a fiscal plan by the county superintendent of schools, receive an emergency appropriation from the State, the acceptance of which constitutes an agreement to submit to management of the school district by a Superintendent appointed administrator.

In the event the State elects to provide an emergency appropriation to a school district, such appropriation may be accomplished through the issuance of "State School Fund Apportionment Lease Revenue Bonds" to be issued by the California Infrastructure and Economic Development Bank, on behalf of the school district. State law provides that so long as such bonds are outstanding, the recipient school district (via its State-appointed administrator) cannot file for bankruptcy.

Accounting Practices

The accounting policies of the District conform to generally accepted accounting principles in accordance with the definitions, instructions and procedures of the California School Accounting Manual, as required by the State Education Code. Revenues are recognized in the period in which they become both measurable and available

to finance expenditures of the current fiscal period. Expenditures are recognized in the period in which the liability is incurred.

Patel & Associates, LLP served as independent auditor to the District for fiscal year 2016-17 and its report for fiscal year ended June 30, 2017 is attached hereto as APPENDIX B. The District considers its audited financial statements to be public information, and accordingly no consent has been sought or obtained from the auditor in connection with the inclusion of such statements in this Official Statement. The auditor has made no representation in connection with inclusion of the audit herein that there has been no material change in the financial condition of the District since the audit was concluded. The District is required by law to adopt its audited financial statements following a public meeting to be conducted no later than January 31 following the close of each fiscal year

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CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

Limitations on Revenues

On June 6, 1978, California voters approved Proposition 13 (“Proposition 13”), which added Article XIII A to the State Constitution (“Article XIII A”). Article XIII A limits the amount of any *ad valorem* tax on real property to 1% of the full cash value thereof, except that additional *ad valorem* taxes may be levied to pay debt service on (i) indebtedness approved by the voters prior to July 1, 1978, (ii) bonded indebtedness for the acquisition or improvement of real property which has been approved on or after July 1, 1978 by two-thirds of the voters on such indebtedness, and (iii) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by 55% of the voters of the district, but only if certain accountability measures are included in the proposition. Article XIII A defines full cash value to mean “the county assessor’s valuation of real property as shown on the 1975-76 tax bill under full cash value, or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment.” This full cash value may be increased at a rate not to exceed 2% per year to account for inflation.

Article XIII A has subsequently been amended to permit reduction of the “full cash value” base in the event of declining property values caused by damage, destruction or other factors, to provide that there would be no increase in the “full cash value” base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways.

County of Orange v. Orange County Assessment Appeals Board No. 3. Section 51 of the Revenue and Taxation Code permits county assessors who have reduced the assessed valuation of a property as a result of natural disasters, economic downturns or other factors, to subsequently “recapture” such value (up to the pre-decline value of the property) at an annual rate higher than 2%, depending on the assessor’s measure of the restoration of value of the damaged property. The constitutionality of this procedure was challenged in a lawsuit brought in 2001 in the Orange County Superior Court, and in similar lawsuits brought in other counties, on the basis that the decrease in assessed value creates a new “base year value” for purposes of Proposition 13 and that subsequent increases in the assessed value of a property by more than 2% in a single year violate Article XIII A. On appeal, the California Court of Appeal upheld the recapture practice in 2004, and the State Supreme Court declined to review the ruling, leaving the recapture law in place.

Legislation Implementing Article XIII A. Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1989.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the 2% annual adjustment are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

The tax rate is expressed as \$1 per \$100 of taxable value. All taxable property value included in this Official Statement is shown at 100% of market value (unless noted differently) and all tax rates reflect the \$1 per \$100 of taxable value.

Article XIII B of the California Constitution

An initiative to amend the State Constitution entitled “Limitation of Government Appropriations” was approved on September 6, 1979, thereby adding Article XIII B to the State Constitution (“Article XIII B”). Under Article XIII B state and local governmental entities have an annual “appropriations limit” and are not permitted to spend certain moneys which are called “appropriations subject to limitation” (consisting of tax revenues, state subventions and certain other funds) in an amount higher than the “appropriations limit.” Article XIII B does not affect the appropriation of

moneys which are excluded from the definition of “appropriations subject to limitation,” including debt service on indebtedness existing or authorized as of January 1, 1979, or bonded indebtedness subsequently approved by the voters. In general terms, the “appropriations limit” is to be based on certain 1978-79 expenditures, and is to be adjusted annually to reflect changes in consumer prices, populations, and services provided by these entities. Among other provisions of Article XIII B, if these entities’ revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years. Any proceeds of taxes received by the District in excess of the allowable limit are absorbed into the State’s allowable limit.

In fiscal year 2016-17, the District had an appropriations limit of \$26,034,336 and appropriations subject to such limit of \$26,034,336. The District has budgeted an appropriations limit in fiscal year 2017-18 of \$24,811,107 and expects the appropriations subject to such limit to be below the 2017-18 appropriations limit.

Article XIII C and Article XIII D of the California Constitution

On November 5, 1996, the voters of the State of California approved Proposition 218, popularly known as the “Right to Vote on Taxes Act.” Proposition 218 added to the California Constitution Articles XIII C and XIII D (“Article XIII C” and “Article XIII D,” respectively), which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the California Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIII C establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIII C further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4. Article XIII D deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIII C or XIII D will be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

The District imposes a parcel tax which is subject to the provisions of Proposition 218. On May 3, 2011, voters within the District approved Measure B by a two-thirds vote; the ballot measure extended an existing annual tax of \$98 per parcel and imposed a new annual tax of \$98 per parcel, for a total annual parcel tax of \$196 per parcel within the District for each year between July 1, 2011 and June 30, 2018. The District also receives a portion of the basic 1% *ad valorem* property tax levied and collected by the County pursuant to Article XIII A of the California Constitution. The provisions of Proposition 218 may have an indirect effect on the District, such as by limiting or reducing the revenues otherwise available to other local governments whose boundaries encompass property located within the District thereby causing such local governments to reduce service levels and possibly adversely affecting the value of property within the District.

Statutory Limitations

On November 4, 1986, State voters approved Proposition 62, an initiative statute limiting the imposition of new or higher taxes by local agencies. The statute: (a) requires new or higher general taxes to be approved by two-thirds of the local agency’s governing body and a majority of its voters; (b) requires the inclusion of specific information in all local ordinances or resolutions proposing new or higher general or special taxes; (c) penalizes local agencies that fail to comply with the foregoing; and (d) required local agencies to stop collecting any new or higher general tax adopted after July 31, 1985, unless a majority of the voters approved the tax by November 1, 1988.

Appellate court decisions following the approval of Proposition 62 determined that certain provisions of Proposition 62 were unconstitutional. However, the California Supreme Court upheld Proposition 62 in its decision on September 28, 1995 in *Santa Clara County Transportation Authority v. Guardino*. This decision reaffirmed the constitutionality of Proposition 62. Certain matters regarding Proposition 62 were not addressed in the Supreme Court’s

decision, such as whether the decision applies retroactively, what remedies exist for taxpayers subject to a tax not in compliance with Proposition 62, and whether the decision applies to charter cities.

Proposition 98 and Proposition 111

On November 8, 1988, voters approved Proposition 98, a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “Accountability Act”). The Accountability Act changed State funding of public education below the university level, and the operation of the State’s Appropriations Limit. The Accountability Act guarantees State funding for K-12 districts and community college districts (collectively, “K-14 districts”) at a level equal to the greater of (a) the same percentage of general fund revenues as the percentage appropriated to such districts in 1986-87, which percentage is equal to 40.9%, or (b) the amount actually appropriated to such districts from the general fund in the previous fiscal year, adjusted for growth in enrollment and inflation.

Since the Accountability Act is unclear in some details, there can be no assurance that the Legislature or a court might not interpret the Accountability Act to require a different percentage of general fund revenues to be allocated to K-14 districts than the 40.9%, or to apply the relevant percentage to the State’s budgets in a different way than is proposed in the Governor’s Budget. In any event, the Governor and other fiscal observers expect the Accountability Act to place increasing pressure on the State’s budget over future years, potentially reducing resources available for other State programs, especially to the extent the Article XIII B spending limit would restrain the State’s ability to fund such other programs by raising taxes.

The Accountability Act also changes how tax revenues in excess of the State Appropriations Limit are distributed. Any excess State tax revenues up to a specified amount would, instead of being returned to taxpayers, be transferred to K-14 districts. Such transfer would be excluded from the Appropriations Limit for K-14 districts and the K-14 districts Appropriations Limits for the next year would automatically be increased by the amount of such transfer. These additional moneys would enter the base funding calculation for K-14 districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an Article XIII B surplus. The maximum amount of excess tax revenues which could be transferred to schools is 4% of the minimum State spending for education mandated by the Accountability Act, as described above.

On June 5, 1990, California voters approved Proposition 111 (Senate Constitutional Amendment 1), which further modified the Constitution to alter the spending limit and education funding provisions of Proposition 98. Most significantly, Proposition 111 (1) liberalized the annual adjustments to the spending limit by measuring the “change in the cost of living” by the change in State per capita personal income rather than the Consumer Price Index, and specified that a portion of the State’s spending limit would be adjusted to reflect changes in school attendance; (2) provided that 50% of the “excess” tax revenues, determined based on a two-year cycle, would be transferred to K-14 districts with the balance returned to taxpayers (rather than the previous 100% but only up to a cap of 4% of the districts’ minimum funding level), and that any such transfer to K-14 districts would not be built into the school districts’ base expenditures for calculating their entitlement for State aid in the following year and would not increase the State’s appropriations limit; (3) excluded from the calculation of appropriations that are subject to the limit appropriations for certain “qualified capital outlay projects” and certain increases in gasoline taxes, sales and use taxes, and receipts from vehicle weight fees; (4) provided that the Appropriations Limit for each unit of government, including the State, would be recalculated beginning in the 1990-91 fiscal year, based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Senate Constitutional Amendment 1 had been in effect; and (5) adjusted the Proposition 98 formula that guarantees K-14 districts a certain amount of general fund revenues, as described below.

Under prior law, K-14 districts were guaranteed the greater of (a) 40.9% of general fund revenues (the “first test”) or (b) the amount appropriated in the prior year adjusted for changes in the cost of living (measured as in Article XIII B by reference to per capita personal income) and enrollment (the “second test”). Under Proposition 111, school districts would receive the greater of (a) the first test, (b) the second test or (c) a third test, which would replace the second test in any year when growth in per capita general fund revenues from the prior year was less than the annual growth in State per capita personal income. Under the third test, school districts would receive the amount appropriated in the prior year adjusted for change in enrollment and per capita general fund revenues, plus an additional small adjustment factor. If the third test were used in any year, the difference between the third test and the second test would become a “credit” to be paid in future years when general fund revenue growth exceeds personal income growth.

Assembly Bill No. 26 & California Redevelopment Association v. Matosantos

On February 1, 2012, pursuant to the California Supreme Court's decision in *California Redevelopment Association v. Matosantos*, Assembly Bill No. 26 (First Extraordinary Session) ("AB1X 26") dissolved all redevelopment agencies in existence and designated "successor agencies" and "oversight boards" to satisfy "enforceable obligations" of the former redevelopment agencies and administer dissolution and wind down of the former redevelopment agencies. With limited exceptions, all assets, properties, contracts, leases, records, buildings and equipment, including cash and cash equivalents of a former redevelopment agency were transferred to the control of its successor agency and, unless otherwise required pursuant to the terms of an enforceable obligation, distributed to various related taxing agencies pursuant to AB1X 26.

It is possible that there will be additional legislation proposed and/or enacted to clarify various inconsistencies contained in AB1X 26 and there may be additional legislation proposed and/or enacted in the future affecting the current scheme of dissolution and winding up of redevelopment agencies currently contemplated by AB1X 26. For example, AB 1484 was signed by the Governor on June 27, 2012, to clarify and amend certain aspects of AB1X 26. AB 1484, among other things, attempts to clarify the role and requirements of successor agencies, provides successor agencies with more control over agency bond proceeds and properties previously owned by redevelopment agencies and adds other new and modified requirements and deadlines. AB 1484 also provides for a "tax claw back" provision, wherein the State is authorized to withhold sales and use tax revenue allocations to local successor agencies to offset payment of property taxes owed and not paid by such local successor agencies to other local taxing agencies. This "tax claw back" provision has been challenged in court by certain cities and successor agencies. The District cannot predict the outcome of such litigation and what effect, if any, it will have on the District. Additionally, no assurances can be given as to the effect of any such future proposed and/or enacted legislation on the District.

Proposition 30 and Proposition 55

On November 6, 2012, voters approved Proposition 30, also referred to as the Temporary Taxes to Fund Education, Guaranteed Local Public Safety Funding, Initiative Constitutional Amendment. Proposition 30 temporarily (a) increased the personal income tax on certain of the State's income taxpayers by one to three percent for a period of seven years beginning with the 2012 tax year and ending with the 2019 tax year, and (b) increased the sales and use tax by one-quarter percent for a period of four years beginning on January 1, 2013 and ending with the 2016 tax year. The revenues generated from such tax increases are included in the calculation of the Proposition 98 minimum funding guarantee (see "– Proposition 98 and Proposition 111" above). The revenues generated from such temporary tax increases are deposited into a State account created pursuant to Proposition 30 (the Education Protection Account), and 89% of the amounts therein are allocated to school districts and 11% of the amounts therein are allocated to community college districts.

The Proposition 30 sales and use tax increases expired at the end of the 2016 tax year. Under Proposition 30, the personal income tax increases were set to expire at the end of the 2018 tax year. However, the official results of the statewide general election on November 8, 2016 reflect that 63.3% of voters in the State voted in favor of the California Tax Extension to Fund Education and Healthcare Initiative ("Proposition 55"), which extends by twelve years the temporary personal income tax increases on incomes over \$250,000 that was first enacted by Proposition 30. Revenues from the tax increase will be allocated to school districts and community colleges in the State.

Applications of Constitutional and Statutory Provisions

The application of Proposition 98 and other statutory regulations has become increasingly difficult to predict accurately in recent years. For a discussion of how the provisions of Proposition 98 have been applied to school funding see "DISTRICT FINANCIAL MATTERS — State Funding of Education; State Budget Process."

Proposition 2

General. Proposition 2, which included certain constitutional amendments to the Rainy Day Fund and, upon its approval, triggered the implementation of certain provisions which could limit the amount of reserves that may be maintained by a school district, was approved by the voters in the November 2014 election.

Rainy Day Fund. The Proposition 2 constitutional amendments related to the Rainy Day Fund (i) require deposits into the Rainy Day Fund whenever capital gains revenues rise to more than 8% of general fund tax revenues; (ii) set the maximum size of the Rainy Day Fund at 10% of general fund revenues; (iii) for the next 15 years, require half of each year's deposit to be used for supplemental payments to pay down the budgetary debts or other long-term liabilities and, thereafter, require at least half of each year's deposit to be saved and the remainder used for supplemental debt payments or savings; (iv) allow the withdrawal of funds only for a disaster or if spending remains at or below the highest level of spending from the past three years; (v) require the State to provide a multiyear budget forecast; and (vi) create a Proposition 98 reserve (the "Public School System Stabilization Account") to set aside funds in good years to minimize future cuts and smooth school spending. The State may deposit amounts into such account only after it has paid all amounts owing to school districts relating to the Proposition 98 maintenance factor for fiscal years prior to fiscal year 2014-15. The State, in addition, may not transfer funds to the Public School System Stabilization Account unless the State is in a Test 1 year under Proposition 98 or in any year in which a maintenance factor is created.

SB 858. Senate Bill 858 ("SB 858") became effective upon the passage of Proposition 2. SB 858 includes provisions which could limit the amount of reserves that may be maintained by a school district in certain circumstances. Under SB 858, in any fiscal year immediately following a fiscal year in which the State has made a transfer into the Public School System Stabilization Account, any adopted or revised budget by a school district would need to contain a combined unassigned and assigned ending fund balance that (a) for school districts with an A.D.A. of less than 400,000, is not more than two times the amount of the reserve for economic uncertainties mandated by the Education Code, or (b) for school districts with an A.D.A. that is more than 400,000, is not more than three times the amount of the reserve for economic uncertainties mandated by the Education Code. In certain cases, the county superintendent of schools may grant a school district a waiver from this limitation on reserves for up to two consecutive years within a three-year period if there are certain extraordinary fiscal circumstances.

The District, which has an A.D.A. of less than 400,000, is required to maintain a reserve for economic uncertainty in an amount equal to 3% of its general fund expenditures and other financing uses. The Series 2018 Bonds are payable from *ad valorem* taxes to be levied within the District pursuant to the California Constitution and other State law. Accordingly, the District does not expect SB 858 to adversely affect its ability to pay the principal of and interest on the Series 2018 Bonds as and when due.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C, Article XIII D, as well as Propositions 2, 30, 55, 62, 98, 111 and 218, were each adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time other initiative measures could be adopted, further affecting District revenues or the District's ability to expend revenues.

APPENDIX B

**FINANCIAL STATEMENTS OF THE DISTRICT
FOR THE FISCAL YEAR ENDED JUNE 30, 2017**

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RAVENSWOOD CITY SCHOOL DISTRICT
COUNTY OF SAN MATEO
EAST PALO ALTO, CALIFORNIA
AUDITED FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2017

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RAVENSWOOD CITY SCHOOL DISTRICT
AUDITED FINANCIAL STATEMENTS
JUNE 30, 2017

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RAVENSWOOD CITY SCHOOL DISTRICT
AUDITED FINANCIAL STATEMENTS
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INDEPENDENT AUDITOR'S REPORT

The Board of Trustees
Ravenswood City School District
East Palo Alto, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Ravenswood City School District (the District), as of and for the year ended June 30, 2017, and the related notes to the financial statements, which collectively comprise Ravenswood City School District's basic financial statements as listed in table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the 2016-17 *Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, published by the Education Audit Appeals Panel. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund Information of the District as of June 30, 2017, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, other postemployment benefits, proportionate share of the net pension liability and pension contributions be presented to supplement the basic financial statements. Such information, although not a part of basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The Supplementary Information section, as listed in the Table of Contents, is presented for purposes of additional analysis and as required by Title 2 U.S. *Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* and the 2016-17 *Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, published by the Education Audit Appeals Panel, and are not a required part of the basic financial statements.

The supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 14, 2017, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

Patel & Associates, LLP
Certified Public Accountants

Patel & Associates, LLP

Oakland, California
December 14, 2017

**RAVENSWOOD CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS (UNAUDITED)
FOR THE YEAR ENDED JUNE 30, 2017**

This section of the Ravenswood City School District's 2016-17 annual financial report presents our discussion and analysis of the District's financial performance during the fiscal year ended June 30, 2017.

This management discussion and analysis should be read in conjunction with the District's financial statements, including notes and supplementary information that immediately follow this section.

FINANCIAL HIGHLIGHTS

- Total government wide revenue for 2017 fiscal year was \$57,086,973
- Expenditures totaled \$59,327,076
- Net position decreased by \$2,240,103

OVERVIEW OF FINANCIAL STATEMENTS

This annual report consists of three parts: management's discussion and analysis (this section), the basic financial statements and required supplementary information. The basic financial statements include two kinds of statements that present different views of the District.

The first two statements are government wide financial statements that provide both short-term and long-term information about the District's overall financial status.

The remaining statements are fund financial statements that focus on individual parts of the District, reporting the District's operation in more detail than the government wide statements.

The fund financial statements can be further broken down into two types:

- Governmental fund statements which tell how basic services such as regular and special education were financed in the short term, as well as what remains for future spending.
- Fiduciary fund statements, providing information about the financial relationship in which the District acts solely as trustee or agent for the benefit of others to whom the resources belong. During the fiscal year ended June 30, 2017, there were no activities reported in fiduciary fund.

**RAVENSWOOD CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS (UNAUDITED)
FOR THE YEAR ENDED JUNE 30, 2017**

The Statement of Net Position and the Statement of Activities

The Statement of Net Position and Statement of Activities report information about the District as a whole and about its activities. These statements include all assets and liabilities of the District using the accrual basis of accounting, which is similar to the accounting used by most private-sector companies. All of the current year's revenues and expenses are taken into account regardless of when cash is received or paid.

These two statements report the District's net position and changes in them. Net position is the difference between asset and liabilities, which is one way to measure the District's financial health, or financial position. Over time, increases or decreases in the District's net position are one indicator of whether its financial health is improving or deteriorating. To assess the overall health of the District, you need to consider additional non-financial factors including the condition of the District's school buildings and other facilities.

In the government-wide financial statements, the District's activities are reported as governmental activities. Most of the District's services are included here such as regular and special education and administration. Funding received from the state of California through the local control funding formula, along with categorical and special funding received from the federal and state government fund most of these activities.

REPORTING THE DISTRICTS MOST SIGNIFICANT FUNDS

Fund financial statement

The fund financial statements provide more detailed information about the District's most significant funds not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs:

- Some funds are required by state law and bond covenants.
- The District establishes other funds to control and manage money for particular purposes or to show that certain revenues have been properly used.

Governmental funds - Most of the District's basic services are reported in governmental funds which generally focus on how money flows into and out of those funds and the balances left at year end that are available for spending. These funds are reported using an accounting method called modified accrual accounting, which measures cash, and all other financial assets that can readily be converted to cash. The governmental fund statements provide a detailed short-term view of the District's general government operations and the basic services it provides. Governmental fund information helps to determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. Because this information does not encompass the additional long-term focus of the government-wide statements, we provide additional information at the bottom of the governmental fund statement that explains the relationship (or differences) between them.

**RAVENSWOOD CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS (UNAUDITED)
FOR THE YEAR ENDED JUNE 30, 2017**

FINANCIAL ANALYSIS OF THE DISTRICT AS A WHOLE

Table 1: Net Position

	<u>2017</u>	<u>2016</u>	<u>Total Percentage Change 2016-17</u>
Current and other assets:			
Cash and investments	\$ 27,614,464	\$ 10,173,552	171 %
Receivables	2,762,762	4,330,287	(36)%
Other current assets	<u>33,236</u>	<u>64,019</u>	<u>(48)%</u>
Subtotal of other assets	30,410,462	14,567,858	109 %
Capital assets	<u>20,708,433</u>	<u>19,712,546</u>	<u>5 %</u>
Total assets	<u>51,118,895</u>	<u>34,280,404</u>	<u>49 %</u>
Deferred outflows of resources	<u>15,683,857</u>	<u>5,229,136</u>	<u>200 %</u>
Other liabilities	8,915,011	6,878,271	30 %
Long-term obligations	<u>74,982,873</u>	<u>49,489,875</u>	<u>52 %</u>
Total liabilities	<u>83,897,884</u>	<u>56,368,146</u>	<u>49 %</u>
Deferred inflows	<u>5,602,511</u>	<u>7,983,381</u>	<u>(30)%</u>
Net position:			
Invested in capital assets, net of related debt	(2,025,230)	12,059,176	(117)%
Restricted	3,659,671	2,746,969	33 %
Unrestricted	<u>(24,332,084)</u>	<u>(35,263,685)</u>	<u>(31)%</u>
Total net position	<u><u>\$ (22,697,643)</u></u>	<u><u>\$ (20,457,540)</u></u>	<u><u>11 %</u></u>

The District's net position was negative \$22,697,643 for the fiscal year ended June 30, 2017. This represents a decrease of \$2,240,103 or 11% from prior year which is the result of net decrease in revenues over expenses by \$(2,240,103). Restricted net position is reported separately to show legal constraints from debt covenants and enabling legislation that limit the school board's ability to use the net position for day to day operations.

**RAVENSWOOD CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS (UNAUDITED)
FOR THE YEAR ENDED JUNE 30, 2017**

Changes in Net Position

A summary of total district revenues, expenses and changes in net position is presented in the table below.

Table 2: Changes in Net Position

	<u>Governmental Activities</u>		Total Percentage Change
	<u>2017</u>	<u>2016</u>	<u>2016-17</u>
Program revenues:			
Federal & state categorical grants	\$ 16,256,510	\$ 17,056,127	(5)%
General revenues:			
Taxes levied for general purposes	13,107,884	10,881,135	20 %
Taxes levied for debt service	2,293,054	1,455,146	58 %
Taxes levied for other specific purposes	2,054,700	1,802,975	14 %
Federal & state aid not restricted to specific purposes	20,848,978	24,389,416	(15)%
Interest and investment earnings	161,428	102,387	58 %
Intra agency revenue	98,615	82,445	100 %
Other general revenue	<u>2,265,804</u>	<u>2,585,117</u>	<u>(12)%</u>
Total revenues	<u>57,086,973</u>	<u>58,354,748</u>	<u>(2)%</u>
Expenses			
Instruction	32,426,729	32,357,885	0 %
Instruction - related services	8,230,889	7,620,262	8 %
Pupil services	5,175,782	5,769,933	(10)%
Ancillary services	178,969	77,837	130 %
General administration	4,913,479	4,464,157	10 %
Plant services	4,931,154	5,081,514	(3)%
Other outgo	845,327	1,089,038	(22)%
Interest on long-term debt	718,744	348,213	106 %
Depreciation – unallocated	<u>1,906,003</u>	<u>863,310</u>	<u>121 %</u>
Total expenses	<u>59,327,076</u>	<u>57,672,149</u>	<u>3 %</u>
Change in net position:	(2,240,103)	682,599	(428)%
Net position beginning of the year, as restated	<u>(20,457,540)</u>	<u>(21,140,139)</u>	<u>(3)%</u>
Net position end of the year	<u><u>\$ (22,697,643)</u></u>	<u><u>\$ (20,457,540)</u></u>	<u><u>11 %</u></u>

**RAVENSWOOD CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS (UNAUDITED)
FOR THE YEAR ENDED JUNE 30, 2017**

Government Activities

For 2017 fiscal year, the total District revenues were \$57,086,973. The total District expenditures were \$59,327,076. The difference of \$2,240,103 is the decrease in net position bringing the total net position at June 30, 2017 to \$(22,697,643).

The main source of revenue for the District is the property taxes, state apportionment, Federal and State Categorical grants. The cost of all governmental activities this year was \$59,327,076.

FINANCIAL ANALYSIS OF THE DISTRICT'S FUNDS

Table 3: District's Fund Balances

	<u>Fund Balance June 30, 2017</u>	<u>Fund Balance June 30, 2016</u>	<u>Increase/ (Decrease)</u>
General fund	\$ 4,398,748	\$ 5,500,531	\$ (1,101,783)
Capital facilities fund	4,120,003	2,547,788	1,572,215
Child development fund	8,031	455	7,576
Cafeteria fund	335,884	674,097	(338,213)
Bond interest and redemption fund	3,045,521	1,429,522	1,615,999
Building fund	<u>13,257,314</u>	<u>-</u>	<u>13,257,314</u>
Total	<u>\$ 25,165,501</u>	<u>\$ 10,152,393</u>	<u>\$ 15,013,108</u>

As the District completed this year, our governmental funds reported a combined fund balance of \$25,165,501 which is \$15,013,108 increase from last year.

General Fund Budgetary Highlights

The District's 2016-17 General Fund operating budget was adopted by the Governing Board in June 2016. As adopted, projected expenditures and other financing uses totaled \$50,653,459. Budgeted revenues and other financing sources totaled \$48,703,515, which were projected to be slightly lower than expenditures and other financing uses projected by approximately \$1,949,944.

There were several formal revisions made to the budget during the year. These revisions fell into the following main categories:

1. Increase in medical benefit cap from \$7,947 to \$7,968 per employee, increase of 0.26%.
2. Hired staff to implement Common Core State Standards and other educational programs.
3. Professional development for staff.
4. ELA-ELD text book adoption for 6 through 8 grades.

During the year, budgeted expenditures and other uses were increased by \$3,372,958. As revised, the final General Fund revenue and other sources budget totaled \$49,651,671, with expenditures projected to be greater than revenue by \$4,374,746.

The actual results for the year reflected a decrease of \$1,101,783 with a resulting ending fund balance of \$4,398,748.

**RAVENSWOOD CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS (UNAUDITED)
FOR THE YEAR ENDED JUNE 30, 2017**

Capital Asset and Debt Administration

Capital Assets at Year End Net of Depreciation

At June 30, 2017, the District had \$20,708,433 in a broad range of capital assets, including land, buildings and equipment. The District uses \$5,000 as its capitalization threshold.

Table 4: Capital Assets

	<u>Governmental Activities</u>		Total Percentage Change
	<u>2017</u>	<u>2016</u>	<u>2016-17</u>
Land	\$ 350,178	\$ 350,178	0 %
Buildings and improvements, net	19,716,866	18,202,927	8 %
Vehicle and equipment, net	641,389	1,159,441	(45)%
Total	<u>\$ 20,708,433</u>	<u>\$ 19,712,546</u>	<u>5 %</u>

Table 5: Outstanding Long-Term Debt

	<u>Governmental Activities</u>		Total Percentage Change
	<u>2017</u>	<u>2016</u>	<u>2016-17</u>
General obligation bonds	\$ 22,605,000	\$ 7,410,000	205 %
Unamortized premium	1,315,783	857,911	53 %
Capital lease	128,663	243,370	(47)%
OPEB	6,410,876	5,546,315	16 %
Net pension liability	46,890,330	36,480,857	29 %
Compensated absences	533,778	562,723	(5)%
Total	<u>\$ 77,884,430</u>	<u>\$ 51,101,176</u>	<u>52 %</u>

General Obligation Refunding Bonds, Series 2016

On February 11, 2016, the District issued \$7,410,000 of 2016 General Obligation Refunding Bonds, with interest rates ranging from 2.00% to 5.00%. The bonds were issued at a premium of \$857,911. Proceeds of the Bonds applied to (i) Refund the District's 2006 General Obligation Refunding Bonds (the "Prior Bonds"); and (ii) pay costs of issuance of the Bonds.

General Obligation Bonds, Election of 2016, Series 2016

On December 14, 2016, the District issued its General Obligation Bonds, Election of 2016, Series 2016, in the aggregate principal amount of \$16,000,000 (the "Series 2016 Bonds") with interest rates ranging from 2.00% to 5.00% to finance specific construction and modernization projects approved by the voters and to pay costs of issuance of the Series 2016 Bonds. The bonds were issued at a premium of \$794,910.

**RAVENSWOOD CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS (UNAUDITED)
FOR THE YEAR ENDED JUNE 30, 2017**

Economic Factors and Next Year's Budget rates

Factors impacting the District's 2017-18 budget include the following:

COLA = 1.56%
GAP Funding Rate = 43.19%
Lottery - Unrestricted per ADA = \$146
Lottery - Restricted per ADA = \$48
STRS = 14.43%
PERS = 15.53%
FICA = 6.20%
Workers' Compensation rate = 6.92%
Unduplicated Pupil Count: 2,686
ADA estimated = 2,675

Contacting the District Financial Management

This financial report is designed to provide our citizens, taxpayers, parents, investors and creditors with a general overview of the district's finances and to show the district's accountability for the money it receives. If you have any questions regarding this report or need additional financial information, please contact Steven J. Eichman, Chief Business Official at Ravenswood City School District, 2120 Euclid Avenue, East Palo Alto, California 94303-1799.

RAVENSWOOD CITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2017

	<u>Governmental Activities</u>
ASSETS	
Cash and investments	\$ 27,614,464
Accounts receivable	2,762,762
Stores inventories	31,529
Other current assets	1,707
Capital assets:	
Land	350,178
Improvement of sites net	566,725
Buildings and improvements net	19,150,141
Vehicle and equipment net	<u>641,389</u>
Total assets	<u>51,118,895</u>
DEFERRED OUTFLOWS OF RESOURCES	
Deferred outflows of resources related to pension	<u>15,683,857</u>
Total deferred outflows of resources	<u>15,683,857</u>
LIABILITIES	
Accounts payable	4,861,987
Accrued payroll	
Accrued interest	394,982
Unearned revenue	756,485
Long-term obligations:	
Current portion of long-term obligations other than pensions	2,901,557
Noncurrent portion of long-term obligations other than pensions	28,092,543
Net pension liability	<u>46,890,330</u>
Total liabilities	<u>83,897,884</u>
DEFERRED INFLOWS OF RESOURCES	
Deferred inflow of resources related to pension	<u>5,602,511</u>
Total deferred inflows of resources	<u>5,602,511</u>
NET POSITION	
Net investment in capital assets	(2,025,230)
Restricted for:	
Debt services	2,650,539
School programs	1,009,132
Unrestricted	<u>(24,332,084)</u>
Total net position	<u><u>\$ (22,697,643)</u></u>

The accompanying notes are an integral part of these financial statements.

RAVENSWOOD CITY SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2017

		Program Revenues		Net (Expense)
				Revenue and
				Changes in Net
				Positions
	Expenses	Charges for	Operating	Governmental
		Services	Grants and	Activities
			Contributions	
Governmental Activities:				
Instruction	\$ 32,426,729	\$ -	\$ 8,705,862	\$ (23,720,867)
Instruction-related services	8,230,889	-	2,777,064	(5,453,825)
Pupil services	5,175,782	-	3,045,353	(2,130,429)
Ancillary services	178,969	-	104,092	(74,877)
General administration	4,913,479	-	495,414	(4,418,065)
Plant services	4,931,154	-	189,982	(4,741,172)
Other outgo	845,327	-	938,743	93,416
Interest on long-term debt	718,744	-	-	(718,744)
Depreciation - unallocated	1,906,003	-	-	(1,906,003)
Total governmental activities	<u>\$ 59,327,076</u>	<u>\$ -</u>	<u>\$ 16,256,510</u>	<u>(43,070,566)</u>
General Revenues:				
Taxes and subventions:				
Taxes levied for general purposes				13,107,884
Taxes levied for debt service				2,293,054
Taxes levied for specific purposes				2,054,700
Federal and state aid not restricted to specific purposes				20,848,978
Interest and investment earnings				161,428
Intra-agency revenues				98,615
Miscellaneous				<u>2,265,804</u>
Total general revenues				<u>40,830,463</u>
Change in net position				(2,240,103)
Net position - beginning				(19,292,084)
Prior period adjustment				<u>(1,165,456)</u>
Net position - ending				<u>\$ (22,697,643)</u>

The accompanying notes are an integral part of these financial statements.

RAVENSWOOD CITY SCHOOL DISTRICT
BALANCE SHEET
GOVERNMENTAL FUNDS
JUNE 30, 2017

	General Fund	Cafeteria Fund	Building Fund	Capital Facilities Fund	Bond Interest and Redemption Fund	Total Nonmajor Governmental Funds	Total Governmental Funds
ASSETS							
Cash and investments	\$ 4,686,098	\$ 228,442	\$ 14,023,088	\$ 4,114,309	\$ 3,038,113	\$ 140,873	\$ 26,230,923
Accounts receivable	2,125,511	542,705	39,193	8,783	7,408	38,205	2,761,805
Due from other funds	231,312	3,348	-	-	-	1,000	235,660
Stores inventories	31,529	-	-	-	-	-	31,529
Other current assets	1,707	-	-	-	-	-	1,707
Total assets	<u>7,076,157</u>	<u>774,495</u>	<u>14,062,281</u>	<u>4,123,092</u>	<u>3,045,521</u>	<u>180,078</u>	<u>29,261,624</u>
LIABILITIES AND FUND BALANCES							
Liabilities							
Accounts payable	1,704,138	244,674	804,967	2,504	-	47,269	2,803,552
Due to other funds	218,334	193,937	-	585	-	123,230	536,086
Unearned revenue	754,937	-	-	-	-	1,548	756,485
Total liabilities	<u>2,677,409</u>	<u>438,611</u>	<u>804,967</u>	<u>3,089</u>	<u>-</u>	<u>172,047</u>	<u>4,096,123</u>
Fund balances							
Nonspendable:							
Revolving fund	10,000	-	-	-	-	-	10,000
Stores inventories	31,529	-	-	-	-	-	31,529
Prepaid expenditures	1,707	-	-	-	-	-	1,707
Restricted	589,320	419,812	-	-	3,045,521	-	4,054,653
Assigned:							
Other assignments	2,297,553	193,943	13,257,314	4,120,003	-	8,031	19,876,844
Unassigned:							
Reserve for economic uncertainty	1,468,639	-	-	-	-	-	1,468,639
Other undesignate/unappropriate	-	(277,871)	-	-	-	-	(277,871)
Total fund balances	<u>4,398,748</u>	<u>335,884</u>	<u>13,257,314</u>	<u>4,120,003</u>	<u>3,045,521</u>	<u>8,031</u>	<u>25,165,501</u>
Total liabilities and fund balances	<u>\$ 7,076,157</u>	<u>\$ 774,495</u>	<u>\$ 14,062,281</u>	<u>\$ 4,123,092</u>	<u>\$ 3,045,521</u>	<u>\$ 180,078</u>	<u>\$ 29,261,624</u>

The accompanying notes are an integral part of these financial statements.

**RAVENSWOOD CITY SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET
TO THE STATEMENT OF NET POSITION
FOR THE YEAR ENDED JUNE 30, 2017**

Total fund balances - governmental funds		\$ 25,165,501
Amounts reported for Governmental Activities in the Statement of Net Position are different because:		
Capital assets used for governmental activities are not short-term financial resources and therefore are not reported as assets in governmental funds.		
Capital assets	\$ 51,353,298	
Less: Accumulated depreciation	<u>(30,644,865)</u>	20,708,433
Change in the fair value of investments		(30,287)
An internal service fund is used by the District to charge the costs of the worker's compensation insurance program to the individual funds. The assets and liabilities of the internal service fund are included in the Statement of Net Position.		
		(343,224)
Interest payable on long-term debt is not accrued as a liability in the balance sheet of government funds		
		(394,982)
Deferred outflows of resources related to pensions are applicable to future periods and, therefore, are not reported in the funds		
		15,683,857
Deferred inflows of resources related to pensions are applicable to future periods and, therefore, are not reported in the funds		
		(5,602,511)
Long-term liabilities are not due and payable in the current period and therefore are not reported as liabilities in the funds. Long-term liabilities at the year end consist of:		
General obligation bonds payable	22,605,000	
Unamortized Bond Premium	1,315,783	
Capital lease	128,663	
Post-employment benefits obligations	6,410,876	
Pension liability	46,890,330	
Compensated absences	<u>533,778</u>	<u>(77,884,430)</u>
Total net position - governmental activities		<u><u>\$ (22,697,643)</u></u>

The accompanying notes are an integral part of these financial statements.

RAVENSWOOD CITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
YEAR ENDED JUNE 30, 2017

	<u>General Fund</u>	<u>Cafeteria Fund</u>	<u>Building Fund</u>	<u>Capital Facilities Fund</u>	<u>Bond Interest and Redemption Fund</u>	<u>Total Nonmajor Governmental Funds</u>	<u>Total Governmental Funds</u>
REVENUES							
Local Control Funding Formula:							
State apportionments	\$ 20,397,008	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 20,397,008
Local sources	12,077,604	-	-	-	-	-	12,077,604
Federal revenue	2,848,198	2,698,748	-	-	-	-	5,546,946
Other state revenue	4,119,338	177,460	-	-	6,844	1,697,870	6,001,512
Other local revenue	<u>8,175,047</u>	<u>32,183</u>	<u>85,090</u>	<u>1,812,242</u>	<u>2,811,203</u>	<u>201,302</u>	<u>13,117,067</u>
Total revenues	<u>47,617,195</u>	<u>2,908,391</u>	<u>85,090</u>	<u>1,812,242</u>	<u>2,818,047</u>	<u>1,899,172</u>	<u>57,140,137</u>
EXPENDITURES							
Instruction	28,810,253	-	-	-	-	1,585,338	30,395,591
Instruction-related services	7,511,162	-	-	-	-	362,982	7,874,144
Pupil services	1,961,309	3,064,702	-	-	-	-	5,026,011
Ancillary services	170,410	-	-	-	-	-	170,410
General administration	4,513,002	151,593	-	62,891	-	71,210	4,798,696
Plant services	4,480,495	30,308	436	113,897	-	173,067	4,798,203
Other outgo	960,034	-	-	-	-	-	960,034
Capital outlay	246,954	-	1,573,870	1,081,068	-	-	2,901,892
Debt service - principal	-	-	-	-	805,000	-	805,000
Debt service - interest	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>397,048</u>	<u>-</u>	<u>397,048</u>
Total expenditures	<u>48,653,619</u>	<u>3,246,603</u>	<u>1,574,306</u>	<u>1,257,856</u>	<u>1,202,048</u>	<u>2,192,597</u>	<u>58,127,029</u>
Excess/(deficiency) of revenues over/(under) expenditures	<u>(1,036,424)</u>	<u>(338,212)</u>	<u>(1,489,216)</u>	<u>554,386</u>	<u>1,615,999</u>	<u>(293,425)</u>	<u>(986,892)</u>
OTHER FINANCING SOURCES (USES):							
Operating transfers in	235,641	-	-	1,017,829	-	301,000	1,554,470
Operating transfers out	(301,000)	-	(1,253,470)	-	-	-	(1,554,470)
Other sources	<u>-</u>	<u>-</u>	<u>16,000,000</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>16,000,000</u>
Total other financing sources (uses)	<u>(65,359)</u>	<u>-</u>	<u>14,746,530</u>	<u>1,017,829</u>	<u>-</u>	<u>301,000</u>	<u>16,000,000</u>
NET CHANGE IN FUND BALANCE	<u>(1,101,783)</u>	<u>(338,212)</u>	<u>13,257,314</u>	<u>1,572,215</u>	<u>1,615,999</u>	<u>7,575</u>	<u>15,013,108</u>
FUND BALANCES, JULY 01, 2016	<u>5,500,531</u>	<u>674,096</u>	<u>-</u>	<u>2,547,788</u>	<u>1,429,522</u>	<u>456</u>	<u>10,152,393</u>
FUND BALANCES, JUNE 30, 2017	<u>\$ 4,398,748</u>	<u>\$ 335,884</u>	<u>\$ 13,257,314</u>	<u>\$ 4,120,003</u>	<u>\$ 3,045,521</u>	<u>\$ 8,031</u>	<u>\$ 25,165,501</u>

The accompanying notes are an integral part of these financial statements.

RAVENSWOOD CITY SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF
REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS
TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2017

Total net change in fund balances - governmental funds \$ 15,013,108

Amounts reported for Governmental Activities in the Statement of Activities are different because:

Capital outlays are reported in governmental funds as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives as depreciation expense. This is the amount by which additions to capital outlay exceeds depreciation expense in the period.

Capital outlays	\$ 2,901,891	
Less: Depreciation	<u>(1,906,004)</u>	995,887

Change in the fair value of investments		(30,287)
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Net revenue of the internal service fund are reported with governmental activities in the statement of activities because it operates for the benefit of governmental activities.		484,605
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The governmental funds report bond proceeds as an other financing source, while repayment of long-term liabilities are expenditures in the governmental funds, but reduces long-term liabilities in the statement of net positions.

Proceeds from new bond issuance	(16,794,910)	
General obligation bonds	805,000	
Capital lease	<u>114,707</u>	(15,875,203)

Governmental funds report the issuance costs and premiums when debt is first issued, whereas, these amounts are deferred and amortized in the statement of activities.

Amortization of net premium		337,038
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Interest on long-term debt is recognized as an expenditures in the funds when it is due, and thus requires the use of current financial resources. In the statement of activities, however, interest expense is recognized as the interest accrues, regardless of when it is due.		(371,305)
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In the governmental funds, pension costs are based on employer contributions made to pension plans during the year. However, in the Statement of Activities, pension expense is the net effect of all changes in the deferred outflows, deferred inflows and net pension liability during the year.		(1,958,330)
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Other Postemployment benefit expenditures are recorded in the governmental funds to the extent of amounts actually funded. In the statement of activities, however, the expense is recorded for the full amount of the accrual-basis annual OPEB cost.		(864,561)
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In the statement of activities, compensated absences are measured by the amounts earned during the year. In governmental funds, however, expenditures for these items are measured by the amount of financial resources used (essentially the amounts paid).		<u>28,945</u>
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Changes in net position - governmental activities		<u><u>\$ (2,240,103)</u></u>
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The accompanying notes are an integral part of these financial statements.

RAVENSWOOD CITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
PROPRIETARY FUND
JUNE 30, 2017

	<u>Internal Service Fund</u>
ASSETS	
Cash and investments	\$ 1,413,828
Accounts receivable	957
Due from other funds	<u>300,426</u>
Total assets	<u>1,715,211</u>
LIABILITIES	
Reserve for Open Claims	<u>2,058,435</u>
Total liabilities	<u>2,058,435</u>
NET POSITION	
Unassigned	<u>(343,224)</u>
Total net positions	<u><u>\$ (343,224)</u></u>

The accompanying notes are an integral part of these financial statements.

RAVENSWOOD CITY SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND NET POSITION
PROPRIETARY FUND
YEAR ENDED JUNE 30, 2017

	<u>Internal Service Fund</u>
<i>OPERATING REVENUE</i>	
Self-Insurance premiums	<u>\$ 479,845</u>
Total revenues	<u>479,845</u>
<i>OPERATING EXPENSES</i>	
Services and other operating expenditures	<u>-</u>
Total operating expenses	<u>-</u>
Operating Income	<u>479,845</u>
<i>NON-OPERATING REVENUES</i>	
Interest and investment earnings	<u>4,760</u>
Total non-operating revenues	<u>4,760</u>
<i>NET INCOME</i>	484,605
<i>NET POSITION, JULY 01, 2016</i>	<u>(827,829)</u>
<i>NET POSITION, JUNE 30, 2017</i>	<u><u>\$ (343,224)</u></u>

The accompanying notes are an integral part of these financial statements.

RAVENSWOOD CITY SCHOOL DISTRICT
STATEMENT OF CASH FLOW
PROPRIETARY FUND
FOR THE YEAR ENDED JUNE 30, 2017

	<u>Total</u>
Cash flows from operating activities:	
Cash received from user Premium	\$ 559,003
Cash paid for Claims	<u>278,215</u>
Net cash provided by operating activities	<u>837,218</u>
Cash flows from investing activities:	
Interest and investment earnings	<u>5,097</u>
Net increase/(Decrease) in cash	842,315
Total cash, beginning of the year	<u>571,513</u>
Total cash, end of year	<u><u>\$ 1,413,828</u></u>
Reconciliation of operating income to net cash used by (used in) operating activities:	
Operating income	\$ 479,845
Adjustments to reconcile operating income to net cash provided by operating activities:	
Changes in assets and liabilities:	
Due from other funds	79,158
Payables	<u>278,215</u>
Net cash provided by operating activities	<u><u>\$ 837,218</u></u>

The accompanying notes are an integral part of these financial statements.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Reporting Entity

Ravenswood City School District (District) was established under the laws of the State of California. The District operates under a locally-elected five-member Board form of government and provides educational services to grades K-12 as mandated by the State and/or Federal agencies. The District operates seven elementary schools and one child development center. The elementary schools provide instructions kindergarten through eight grades.

The District's combined financial statements include the accounts of all its operations. The District evaluated whether any other entity should be included in these financial statements. The criteria for including organizations as component units within the District's reporting entity, as set forth in GASB Statement No. 14, "The Financial Reporting Entity," include whether:

- the organization is legally separate (can sue and be sued in its name)
- the District holds the corporate powers of the organization
- the District appoints a voting majority of the organization's board
- the District is able to impose its will on the organization
- the organization has the potential to impose a financial benefit/burden on the District
- there is fiscal dependency by the organization on the District

Based on these criteria, the District has the following component units:

Ravenswood City School Facilities Financing Authority (the Authority) - This was formed to borrow money for the purpose of providing funds to purchase the District's general obligation refunding bonds and to finance the acquisition and construction of public capital improvements. Individual financial statements are not prepared for the Authority. The Authority's financial data are combined with the District's data. The Authority's General Obligation Revenue Bonds, Series 2006 are included as long-term debt in the government-wide financial statements.

B. Basis of Presentation

Government-wide financial statements:

The government-wide financial statements (i.e. statement of net position and the statement of changes in net position) report information on all of the non fiduciary activities of the District.

The government-wide statements are prepared using the economic resources measurement focus. This is the same approach used in the preparation of the fiduciary fund financial statements but differs from the manner in which governmental fund financial statements are prepared. Governmental fund financial statements, therefore, include reconciliation with brief explanations to better identify the relationship between the government-wide statements and the statements for the governmental funds.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

The government-wide statement of activities presents a comparison between direct expenses and program revenues for each function or program of the District's governmental activities. Direct expenses are those that are specifically associated with a service, program, or department and are therefore clearly identifiable to a particular function. The District does not allocate indirect expenses to functions in the statement of activities. Program revenues include charges paid by the recipients of goods or services offered by a program, as well as grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues which are not classified as program revenues are presented as general revenues of the District, with certain exceptions. The comparison of direct expenses with program revenues identifies the extent to which each governmental function is self-financing or draws from the general revenues of the District.

Fund Financial Statements:

Fund financial statements report detailed information about the District. The focus of governmental fund financial statements is on major funds rather than reporting funds by type. Each major governmental fund is presented in a separate column, and all non-major funds are aggregated into one column. Fiduciary funds are reported by fund type.

The accounting and financial treatment applied to a fund is determined by its measurement focus. All governmental funds are accounted for using a flow of current financial resources measurement focus. With this measurement focus, only current assets and current liabilities are generally included on the balance sheet. The Statement of Revenues, Expenditures, and Changes in Fund Balances for these funds present increases (i.e. revenues and other financing sources) and decreases (i.e. expenditures and other financing uses) in net current assets.

Fiduciary funds are reported using the economic resources measurement focus.

C. Fund Accounting

District accounts are organized on the basis of funds, each of which is considered a separate accounting entity. The operations of each fund are accounted for with a separate set of self-balancing accounts comprised of assets, liabilities, fund equity (or retained earnings), revenues and expenditures or expenses as appropriate.

Governmental resources allocated to individual funds are recorded for the purpose of carrying on specific activities in accordance with laws, regulations, or other appropriate requirements. The fund types and funds utilized by the District are described below:

Major Governmental Funds:

The General Fund serves as the general operating fund. It is used to account for all financial resources of the District except those required to be accounted for in another fund.

Deferred Maintenance Fund is used for the purpose of major repair or replacement of District property. Since the District's fund does not meet the definition of special revenue fund under GASB Statement No. 54, this fund has been combined with the General Fund for presentation in these audited financial statements.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

The *Capital Facilities Fund* is used to account for resources received from developer impact fees assessed under provisions of the California Environmental Quality Act (CEQA).

Non-Major Governmental Funds:

Special Revenue Funds are used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specific purposes. The District maintains two nonmajor special revenue funds:

The *Child Development Fund* is used to account separately for federal, state, and local revenues to operate child development programs.

The *Cafeteria Fund* is used to account for revenues received and expenditures paid for school lunches.

Capital Project Funds are used to account for the acquisition and/or construction of all major governmental general fixed assets. The District maintains two capital project funds:

Building Fund is used to account for the acquisition of major governmental capital facilities and buildings from the sale of bond proceeds.

Debt Service Fund is used to account for the accumulation of resources for, and the payment of, general long-term debt principal, interest, and related costs. The following debt service fund is maintained by the County Treasurer for the District use.

The Bond interest and Redemption Fund is used to account for the accumulation of resources for, and the repayment of, District bonds, interest, and related costs.

Proprietary Funds:

Internal Service Funds: Internal service funds are created principally to render services to other organizational units of the LEA on a cost-reimbursement basis. These funds are designed to be self-supporting with the intent of full recovery of costs, including some measure of the cost of capital assets, through user fees and charges. The District maintains one internal service fund, the Workers' Compensation Fund, which is used to provide worker's compensation benefits to the District's employees.

Fiduciary Funds:

Agency Funds are used to account for assets of others for which the District acts as agent. The following fund is in use:

Foundation Trust Fund is used to account for assets held by the District as Trustee. The District maintains one foundation trust fund. This Fund is used to account for staff programs. During the fiscal year ended June 30, 2017, there were no activities reported in this fund.

D. Accounting Policies

The District accounts for its financial transactions in accordance with the policies and procedures of the Department of Education's *California School Accounting Manual*. The accounting policies of the District conform to accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board (GASB) and the American Institute of Certified Public Accountants.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

E. Basis of Accounting

Basis of accounting refers to when revenues and expenditures are recognized in the accounts and reported in the financial statements. Government-wide financial statements are prepared using the accrual basis of accounting. Governmental funds use the modified accrual basis of accounting. Proprietary and fiduciary funds use the accrual basis of accounting.

Revenues - Exchange and Non-exchange Transactions:

Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded under the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. "Available" means the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter to be used to pay liabilities of the current fiscal year. For the District, "available" means collectible within the current period or within 60 days after year-end. However, to achieve comparability of reporting among California districts and so as not to distort normal revenue patterns, with specific respect to reimbursement grants and corrections to State-aid apportionments, the California Department of Education has defined available for districts as collectible within one-year. The following revenue sources are considered to be both measurable and available at fiscal year-end: State apportionments, interest, certain grants, and other local sources.

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, grants, and entitlements. Under the accrual basis, revenue from property taxes is recognized in the fiscal year for which the taxes are levied. Revenue from grants and entitlements is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include timing requirements, which specify the year when the resources are to be used or the fiscal year when use is first permitted; matching requirements, in which the District must provide local resources to be used for a specific purpose; and expenditure requirements, in which the resources are provided to the District on a reimbursement basis. Under the modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Unearned revenue:

Unearned revenue arises when assets are received before revenue recognition criteria have been satisfied. Grants and entitlements received before eligibility requirements are met are recorded as unearned revenue. On governmental fund financial statements, receivables associated with non-exchange transactions that will not be collected within the availability period have also been recorded as unearned revenue.

Expenses/Expenditures:

On the accrual basis of accounting, expenses are recognized at the time a liability is incurred. On the modified accrual basis of accounting, expenditures are generally recognized in the accounting period in which the related fund liability is incurred, as under the accrual basis of accounting. However, under the modified accrual basis of accounting, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. Allocations of cost, such as depreciation and amortization, are not recognized in the governmental funds.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

When both restricted and unrestricted resources are available for use, it is the District's policy to use restricted resources first, then unrestricted resources as they are needed.

Cash and Cash Equivalents

The District's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition.

Investments

Investments with original maturities greater than one year are stated at fair value. Fair value is estimated based on quoted market prices at year-end. All investments not required to be reported at fair value are stated at cost or amortized cost.

Prepaid Expenditures

Prepaid expenditures (expenses) represent amounts paid in advance of receiving goods or services. The District has the option of reporting an expenditure in governmental funds for prepaid items either when purchased or during the benefiting period. The District has chosen to report the expenditures when incurred.

Stores Inventory

Inventories consist of expendable food and supplies held for consumption and unused donated commodities. Inventories are stated at cost, on the weighted average basis. The costs of inventory items are recorded as expenditures in the governmental type funds and expenses in the proprietary type funds when used.

Capital Assets

Capital assets are those purchased or acquired with an original cost of \$5,000 or more and are reported at historical cost or estimated historical cost. Contributed assets are reported at fair market value as of the date received. Additions, improvements, and other capital outlays that significantly extend the useful life of an asset are capitalized. The costs of normal maintenance and repairs that do not add to the value of the assets or materially extend the asset's lives are not capitalized, but are expensed as incurred. Depreciation on all capital assets is computed using a straight-line basis over the following estimated useful lives:

<u>Asset Class</u>	<u>Estimated Useful Life in Years</u>
Land	N/A
Site improvements	20
School buildings and building improvements	20-25
Equipments	5-15
Vehicles	8

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

Compensated Absences

All vacation pay plus related payroll taxes is accrued when incurred in the government-wide financial statements. A liability for these amounts is reported in the governmental funds only if they have matured, for example, as a result of employee resignations and retirements.

Accumulated sick leave benefits are not recognized as liabilities of the District. The District's policy is to record sick leave as an operating expense in the period taken since such benefits do not vest nor is payment probable; however, unused sick leave is added to the creditable service period for calculation of retirement benefits when the employee retires.

Long-Term Obligations

In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the Statement of Net position. Bond premiums and discounts as well as issuance costs are deferred and amortized over the life of the bonds using the straight-line method. Bonds payable are reported net of applicable bond premium or discount. Bond issuance costs related to prepaid insurance costs are deferred and amortized over the term of the related debt.

Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position also reports deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The District reports deferred outflows of resources for the unamortized loss on the refunding of general obligation bonds and pension.

In addition to liabilities, the statement of financial position reports a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The District reports deferred inflows of resources for the difference between actual and expected rate of return on investments, "Difference between Expected and Actual experience" and "Changes in proportion Changes in assumptions and differences between District contributions and proportionate" share of contributions specific to the net pension liability.

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the California State Teachers Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) plan for schools (Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Member contributions are recognized in the period in which they are earned. Investments are reported at fair value.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

Fund Balance

As of June 30, 2017, fund balances of the governmental funds are classified as follows:

- **Nonspendable** – Includes amounts that cannot be spent because they are either (a) not in spendable form (inventories, prepaid amounts, etc.) or (b) legally or contractually required to be maintained intact.
- **Restricted** – Includes amounts with constraints that are either (a) externally imposed by creditors, grantors, contributors, or laws or regulations of other governments or (b) imposed by law through constitutional provisions or enabling legislation.
- **Committed** – Includes amounts that can only be used for specific purposes pursuant to constraints imposed by formal action of the District's Board. Those committed amounts cannot be used for any other purpose unless the District Board removes or changes the specified use by taking the same type of action (legislation, resolution, ordinance) it employed to previously commit those amounts.
- **Assigned** – Includes amounts the District intends to be used for specific purposes that are neither restricted nor committed.
- **Unassigned** – Includes the residual balance that has not been assigned to other funds and is not restricted, committed or assigned for specific purposes.

The District applies restricted resources first when an expense is incurred for purposes for which both restricted and other funds are available, then it applies amounts to the committed fund balance followed by assigned and then unassigned amounts.

Minimum Fund Balance

The District has a policy to maintain a minimum economic uncertainty reserve as required by the State. The governing board believes a reserve of this level is prudent to protect the District from the effects of fluctuations in property tax revenues to which basic aid districts such as the District are vulnerable. Because amounts in the nonspendable, restricted, committed and assigned categories are subject to varying constraints on their use, the reserve for economic uncertainties consists of balances that are otherwise unassigned.

Net position

Net position represents the difference between assets and position invested in capital assets, net of related debt, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowing used for the acquisition, construction or improvement of those position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors, or laws and regulations of other governments. The District first applies restricted resources when an expense is incurred for which both restricted and unrestricted net position are available.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 1: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONT'D)

Property Tax

The County is responsible for assessing, collecting, and apportioning property taxes. Taxes are levied for each fiscal year on taxable real and personal property in the county. The levy is based on the assessed values as of the preceding January 1, which is also the lien date. Property taxes on the secured roll are due on November 1 and February 1, and taxes become delinquent after December 10 and April 10, respectively. Property taxes on the unsecured roll are due on the lien date (March 1), and become delinquent if unpaid by August 31.

Secured property taxes are recorded as revenue when apportioned, in the fiscal year of the levy. The county apportions secured property tax revenue in accordance with the alternate method of distribution prescribed by Section 4705 of the California Revenue and Taxation Code. This alternate method provides for crediting each applicable fund with its total secured taxes upon completion of the secured tax roll - approximately October 1 of each year.

F. Budgets and Budgetary Accounting

Annual budgets are adopted on a basis consistent with accounting principles generally accepted accounting principles for all governmental funds. By state law, the District's governing body must adopt a final budget no later than July 1. A public hearing must be conducted to receive comments prior to adoption. The District's governing board satisfied these requirements.

These budgets are revised by the District's governing board and district superintendent during the year to give consideration to unanticipated income and expenditures. The original and final revised budgets are presented for the General Fund in the financial statements.

Formal budgetary integration was used as a management control device during the year for all budgeted funds. The District employs budget control by minor object and by individual appropriations accounts. Expenditures cannot legally exceed appropriations by major object account.

G. Accounting Estimates

The presentation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenditures during the reporting period. Actual results could differ from those estimates.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 2: CASH AND INVESTMENTS

The District's cash and investments as of June 30, 2017 are as follows:

Governmental activities	\$ 26,230,923
Internal service fund	<u>1,413,828</u>
Total cash and investments	<u><u>\$ 27,644,751</u></u>

The District's cash and investments consist of the following at June 30, 2017:

Cash in bank and revolving fund	\$ 10,000
Cash awaiting deposit	20,689
Cash with fiscal agents	328,888
Investments	<u>27,254,887</u>
Total cash and investments	<u><u>\$ 27,614,464</u></u>

Cash in Bank and Revolving fund

Cash balances in the revolving funds are insured up to \$250,000 by the Federal Depository Insurance Corporation. All cash held by the financial institution is fully insured.

Investments

The District's investments consist of the following at June 30, 2017:

	<u>Book Value</u>	<u>Fair Value</u>
Cash with county treasury	<u>\$ 27,285,174</u>	<u>\$ 27,254,887</u>
Total investments	<u><u>\$ 27,285,174</u></u>	<u><u>\$ 27,254,887</u></u>

Cash with County Treasury – The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (Education Code Section 41001). The fair value of the District's investment in the pool is reported in the financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis. Information regarding the characteristics of the entire investment pool can be found in the County's June 30, 2017 basic financial statements. A copy of that report may be obtained by contacting the Controller's Office, County of San Mateo, 555 County Center, Redwood City, California 94063. As of June 30, 2017, the GASB fair market value factor for the San Mateo County Investment Pool was 0.99889 .

Policies and Practices

The District is authorized under California Government Code to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered State warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; and collateralized mortgage obligations.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 2: CASH AND INVESTMENTS - (CONT'D)

General Authorizations

Limitations as they relate to interest rate risk, credit risk, and concentration of credit risk are indicated in the schedules below:

<u>Authorized Investment Type</u>	<u>Maximum Remaining Maturity</u>	<u>Maximum Percentage Portfolio</u>	<u>Maximum Investment in One Issuer</u>
U.S. treasury obligations	7 years	100%	100%
Obligations of U.S. Agencies or government sponsored enterprises	7 years	100%	40%
U.S. Agencies Callables	7 years	100%	25%
Commercial paper (two agencies)	270 days or less	40%	5% Aggregate
Negotiable Certificates of Deposit (\$5 billion minimum assets) (two agencies)	5 years	30%	5% Aggregate
Bankers Acceptances *Domestic: (\$5 billion minimum assets) *Foreign: (\$5 billion minimum assets) (two agencies)	180 days	15%	5% Aggregate
Collateralized Time Deposits within the state of CALIFORNIA	1 year	15%	5% Aggregate
Mortgage Backed Securities/CMO's:			
No Inverse Floaters			
No Range Notes			
No Interest only strips derived from a pool of Mortgages	5 years	20% Combined total	5% Aggregate
Asset Backed Securities	5 years	20% Combined total	5% Aggregate
Corporate bonds, Medium Term Notes & Covered Bonds (two agencies)	5 years	30%	
US Instrumentalities	5 years	25% of the 30% above	5% Aggregate
CA Municipal Obligations	5 Years	30%	5% Aggregate
Repurchase Agreements secured by U.S. Treasury or agency obligation (102% collateral)	92 days	100%	See limitations for Treasuries and Agencies above
Local Agency Investment Fund (LAIF)			Up to the current state limit
Shares of beneficial interest issued by diversified management companies as defined in Government Code Section§ 53601(Mutual Funds)		10%	5% Aggregate
Local Government Investment Pools (LGIPs)		10%	5% Aggregate

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District manages its exposure to interest rate risk by purchasing a combination of shorter term and longer term investments and by timing cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 2: CASH AND INVESTMENTS - (CONT'D)

The District monitors the interest rate risk inherent in its portfolio by measuring the weighted average maturity of its portfolio. Weighted average maturity of the District's investment in County Pool is 1.01 years with an average duration of 0.98 years.

Credit Risk

Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The San Mateo County Pool is not rated.

NOTE 3: ACCOUNTS RECEIVABLE

Accounts receivable as of June 30, 2017 consist of the following:

	General Fund	Building Fund	Capital Facilities Fund	Cafeteria Special Revenue Fund	Bond Interest and Redemption Fund	Non Major Funds	Total	Proprietary Funds
Federal programs	\$ 284,248	\$ -	\$ -	\$ 539,618	\$ -	\$ -	\$ 823,866	\$ -
State programs:								
Categorical								
aid programs	101,435	-	-	-	-	6,500	107,935	-
Lottery	139,311	-	-	-	-	-	139,311	-
Local income								
Interest	24,817	39,193	8,783	3,087	7,408	3,714	87,002	957
Other	<u>1,575,700</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>27,991</u>	<u>1,603,691</u>	<u>-</u>
Total	<u>\$ 2,125,511</u>	<u>\$ 39,193</u>	<u>\$ 8,783</u>	<u>\$ 542,705</u>	<u>\$ 7,408</u>	<u>\$ 38,205</u>	<u>\$ 2,761,805</u>	<u>\$ 957</u>

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 4: INTERFUND TRANSACTIONS

Interfund transactions are reported as either loans, reimbursements, or transfers. Loans are reported as interfund receivables and payables, as appropriate, and are subject to elimination upon consolidation. Reimbursements occur when one fund incurs a cost, charges the appropriate benefiting fund, and reduces its related cost as a reimbursement. All other interfund transactions are treated as transfers. Transfers among governmental funds are netted as part of the reconciliation to the government-wide financial statements.

A. Interfund Receivables/Payables (Due From/Due To)

As of June 30, 2017, interfund receivables and payables were as follows:

<u>Fund</u>	<u>Interfund Receivables</u>	<u>Interfund Payables</u>
General fund	\$ 231,312	\$ 218,334
Cafeteria fund	3,348	193,937
Capital facilities fund	-	585
Nonmajor governmental funds	1,000	123,230
Proprietary fund	<u>300,426</u>	<u>-</u>
Totals	<u><u>\$ 536,086</u></u>	<u><u>\$ 536,086</u></u>

B. Interfund Transfers

Interfund transfers consist of operating transfers from funds receiving revenue to funds through which the resources are to be expended. Interfund transfers for fiscal year 2016-17 were as follows:

<u>Fund</u>	<u>Transfers In</u>	<u>Transfers Out</u>
General fund	\$ 235,641	\$ 301,000
Capital facilities fund	1,017,829	-
Building fund	-	1,253,470
Nonmajor governmental funds	<u>301,000</u>	<u>-</u>
Totals	<u><u>\$ 1,554,470</u></u>	<u><u>\$ 1,554,470</u></u>

Reasons for Interfund transfers are as follows:

General fund transferred to child development fund to cover for excess expenditures.	\$ 301,000
Building fund transferred to capital facilities to finance the building improvements project	\$ 1,017,829
Building fund transferred to GF for the roofing project	\$ 235,641

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 5: CAPITAL ASSETS AND DEPRECIATION

Capital asset activity for the year ended June 30, 2017 is shown below:

	<u>Balance</u> <u>June 30, 2016</u>	<u>Additions</u>	<u>Balance</u> <u>June 30, 2017</u>
Capital assets, not being depreciated			
Land	\$ 350,178	\$ -	\$ 350,178
Total capital assets, not being depreciated	<u>350,178</u>	<u>-</u>	<u>350,178</u>
Capital assets being depreciated			
Site improvements	2,057,458	-	2,057,458
Buildings and improvements	41,381,893	2,796,129	44,178,022
Vehicle and equipment	<u>4,661,878</u>	<u>105,762</u>	<u>4,767,640</u>
Total capital assets, being depreciated	<u>48,101,229</u>	<u>2,901,891</u>	<u>51,003,120</u>
Less accumulated depreciation for			
Site improvements	(1,421,697)	(69,036)	(1,490,733)
Buildings and improvements	(23,814,727)	(1,213,154)	(25,027,881)
Vehicle and equipment	<u>(3,502,437)</u>	<u>(623,814)</u>	<u>(4,126,251)</u>
Total accumulated depreciation	<u>(28,738,861)</u>	<u>(1,906,004)</u>	<u>(30,644,865)</u>
Total capital assets, being depreciated, net	<u>19,362,368</u>	<u>995,887</u>	<u>20,358,255</u>
Governmental activities capital assets, net	<u>\$ 19,712,546</u>	<u>\$ 995,887</u>	<u>\$ 20,708,433</u>

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 6: DEFERRED OUTFLOWS OF RESOURCES

Deferred outflows of resources is a consumption of net position by the District that is applicable to a future reporting period. Deferred outflow of resources at June 30, 2017 consisted of the following:

	<u>Balance</u> <u>June 30, 2016</u>	<u>Additions</u>	<u>Deductions</u>	<u>Balance</u> <u>June 30, 2017</u>
Current year District's pension contribution	\$ 6,394,592	\$ 18,010,282	\$ 7,722,056	\$ 16,682,818
	<u>\$ 6,394,592</u>	<u>\$ 18,010,282</u>	<u>\$ 7,722,056</u>	<u>\$ 16,682,818</u>

The District's current year pension contribution of \$3,792,273 was made after the pension liability measurement date, June 30, 2016. Therefore, the recognition of current year payment is deferred and will be recognized as a pension expense in fiscal year 2017-18.

NOTE 7: LONG-TERM OBLIGATIONS

A schedule of changes in long-term obligations for the year ended June 30, 2017 is shown below:

	<u>Balance</u> <u>June 30, 2016</u>	<u>Additions/ accretion</u>	<u>Deductions/ Redemption</u>	<u>Balance</u> <u>June 30, 2017</u>	<u>Due within</u> <u>One Year</u>
Bonds Payable	\$ 8,267,911	\$ 16,794,910	\$ 1,142,038	\$ 23,920,783	\$ 2,249,179
Capital lease	243,370	-	114,707	128,663	118,600
OPEB	5,546,315	1,046,713	182,152	6,410,876	-
Pension liability	36,480,857	10,409,473	-	46,890,330	-
Compensated absences	562,723	-	28,945	533,778	533,778
Total	<u>\$ 51,101,176</u>	<u>\$ 28,251,096</u>	<u>\$ 1,467,842</u>	<u>\$ 77,884,430</u>	<u>\$ 2,901,557</u>

The Bond Interest and Redemption Fund is used to collect assessed property taxes which are used to repay the general obligation bonds. Compensated absences, net OPEB obligation and pension liabilities are paid for by the fund for which the employee worked.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 7: LONG-TERM OBLIGATIONS - (CONT'D)

General Obligation Bonds Payable

The outstanding general obligation bonds payable of the District as of June 30, 2017 are as follows:

<u>Bond</u>	<u>Date of issuance</u>	<u>Interest Rate</u>	<u>Maturity date</u>	<u>Amount Of Original Issue</u>	<u>Amount Outstanding June 30, 2016</u>	<u>Addition During Year</u>	<u>Redeemed</u>	<u>Amount Outstanding June 30, 2017</u>	<u>Due within One Year</u>
Series 2016 Revenue bonds	02/11/16	2.00% to 5.00%	08/01/2022	\$ 7,410,000	\$ 7,410,000	\$ -	\$ 805,000	\$ 6,605,000	\$ 1,035,000
Premium				857,911	857,911	-	305,225	552,686	182,532
Series 2016 General obligation bonds	12/14/16	2.00% to 5.00%	08/01/2041	16,000,000	-	16,000,000	-	16,000,000	975,000
Premium				\$ 794,910	-	794,910	31,813	763,097	56,647
					<u>\$ 8,267,911</u>	<u>\$16,794,910</u>	<u>\$ 1,142,038</u>	<u>\$ 23,920,783</u>	<u>\$ 2,249,179</u>
			Totals						

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 7: LONG-TERM OBLIGATIONS - (CONT'D)

Series 2016 Revenue Bonds

On February 11, 2016, the District issued \$7,410,000 of 2016 General Obligation Refunding Bonds, with interest rates ranging from 2.00% to 5.00%. The bonds were issued at a premium of \$857,911. Proceeds of the Bonds applied to (i) Refund the District's 2006 General Obligation Refunding Bonds (the "Prior Bonds"); and (ii) pay costs of issuance of the Bonds. The annual requirements to amortize the 2016 bonds payable, outstanding as of June 30, 2017 are as follows:

<u>Year Ended June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 1,035,000	\$ 280,975	\$ 1,315,975
2019	1,105,000	233,000	1,338,000
2020	1,165,000	181,775	1,346,775
2021	1,235,000	127,950	1,362,950
2022	1,305,000	70,625	1,375,625
2023	<u>760,000</u>	<u>19,000</u>	<u>779,000</u>
Total	6,605,000	<u>\$ 913,325</u>	<u>\$ 7,518,325</u>
Premium as of June 30, 2017	<u>552,686</u>		
Book balance	<u>\$ 7,157,686</u>		

General Obligation Bonds, Election of 2016, Series 2016

On December 14, 2016, the District issued its General Obligation Bonds, Election of 2016, Series 2016, in the aggregate principal amount of \$16,000,000 (the "Series 2016 Bonds") with interest rates ranging from 2.00% to 5.00% to finance specific construction and modernization projects approved by the voters and to pay costs of issuance of the Series 2016 Bonds.. The bonds were issued at a premium of \$794,910. The annual requirements to amortize the general obligation bonds payable, outstanding as of June 30, 2017 are as follows:

<u>Year Ended June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 975,000	\$ 688,181	\$ 1,663,181
2019	775,000	659,056	1,434,056
2020	405,000	629,556	1,034,556
2021	395,000	609,556	1,004,556
2022	410,000	589,431	999,431
2023-2027	2,330,000	2,614,155	4,944,155
2028-2032	2,895,000	1,964,030	4,859,030
2033-2037	3,550,000	1,244,655	4,794,655
2038-2042	<u>4,265,000</u>	<u>453,235</u>	<u>4,718,235</u>
Total	16,000,000	<u>\$ 9,451,855</u>	<u>\$ 25,451,855</u>
Premium as of June 30, 2017	<u>763,097</u>		
Book balance	<u>\$ 16,763,097</u>		

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 7: LONG-TERM OBLIGATIONS - (CONT'D)

Capital lease Payable

As of June 30, 2017, the capital leases have minimum lease payments as follows:

<u>Year Ending June 30,</u>	<u>Lease Payment</u>
2018	\$ 118,600
2019	<u>10,063</u>
Total lease payments	<u>\$ 128,663</u>

**NOTE 8: POSTEMPLOYMENT HEALTH CARE PLAN AND OTHER POSTEMPLOYMENT
BENEFITS (OPEB) OBLIGATION**

Plan Description

The District provides health insurance benefits to certain eligible retirees. Generally, participants who retire from the District at age 55 to 65 with 10 years or more of service receive one-party medical benefits paid for by the District to a maximum amount per year. This amount has been assumed to rise by 10% every fifth year. These benefits end at age 65 or after five years of payment is earlier. The District payment reduces thereafter to amounts that vary by representation unit.

Funding policy

The District uses the pay-as-you-go method to fund the retirement liability. For fiscal year 2016-17, the District contributed \$182,152 to the plan, all of which was used for current premiums of health and medical benefits for retired employees.

Annual OPEB Cost and Net OPEB Obligation

The District's annual other postemployment benefit (OPEB) cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial accrued liabilities (UAAL) (or funding excess) over a period not to exceed thirty years. The following table shows the components of the District's annual OPEB cost for the year, the amount actually contributed to the plan, and changes in the District's net OPEB obligation to the Plan:

	<u>For the Fiscal Year Ended June 30, 2017</u>
<i>Determination of Net OPEB Obligation</i>	
Annual Required Contribution	\$ 1,090,600
Interest on net OPEB Obligation	249,584
Adjustment to annual required contribution	(293,471)
Contributions made	<u>(182,152)</u>
Increase in Net OPEB Obligation	864,561
Net OPEB Obligation – June 30, 2016	<u>5,546,315</u>
Net OPEB Obligation – June 30, 2017	<u>\$ 6,410,876</u>

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 8: POSTEMPLOYMENT HEALTH CARE PLAN AND OTHER POSTEMPLOYMENT BENEFITS (OPEB) OBLIGATION - (CONT'D)

The annual OPEB cost, the percentage of annual OPEB cost contributed to the Plan, and the net OPEB asset for 2017 was as follows:

<u>Fiscal Year Ended</u>	<u>Annual OPEB Cost</u>	<u>Amount Contributed</u>	<u>Percentage of OPEB Cost Contributed</u>	<u>Net OPEB Obligation</u>
06/30/2015	\$ 972,054	\$ 195,739	20 %	\$ 4,553,317
06/30/2016	\$ 992,998	\$ 169,746	17 %	\$ 5,546,315
06/30/2017	\$ 1,046,713	\$ 182,152	17 %	\$ 6,410,876

Funded Status and Funding Progress

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

Additional information as of the latest actuarial valuation follows:

Valuation date	10/1/2016
Actuarial Cost Method	Entry Age Normal
Amortization Method for initial UAAL	Level percent, closed 30 year
Amortization Method for residual UAAL	Level percent, open 23 year
Asset Valuation	No plan assets on the valuation date
Actuarial Assumptions:	
Investment rate of return	4.5%
Discount rate	4.5%
Health care trend rate	4.0%
Inflation rate	2.75%

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 9: EMPLOYEE RETIREMENT SYSTEMS

Qualified employees are covered under multiple-employer defined benefit pension plans maintained by agencies of the State of California. Academic employees are members of the California State Teachers' Retirement System (CalSTRS) and classified employees are members of the California Public Employees' Retirement System (CalPERS).

The District reported its proportionate share of the net pension liabilities, pension expense and deferred inflow of resources for each of the above plans and a deferred outflow of resources for each of the above plans as follows:

<u>Pension Plan</u>	Net Pension	Deferred Outflow of Resources	Deferred	Net Pension Expense
	<u>Liability</u>		<u>Inflow of Resources</u>	
CalPERS	\$ 16,155,550	\$ 7,599,562	\$ (2,080,815)	\$ 2,619,441
CalSTRS	<u>30,734,780</u>	<u>8,084,295</u>	<u>(3,521,696)</u>	<u>3,066,372</u>
	<u>\$ 46,890,330</u>	<u>\$ 15,683,857</u>	<u>\$ (5,602,511)</u>	<u>\$ 5,685,813</u>

California Public Employees Retirement System (CalPERS)

Plan Description

The Schools Cost-Sharing Multiple-Employer Defined Benefit Pension Plan (the Plan or PERF B) is administered by the California Public Employees' Retirement System (CalPERS). Plan membership consists of non-teaching and non-certified employees of public schools (K-12), community college districts, offices of education, charter and private schools (elective) in the State of California. The Plan excludes school safety members who participate either in the agent multiple-employer defined benefit pension plan or public agency cost-sharing multiple-employer defined benefit pension plan administered by CalPERS, depending on the number of active members.

The Plan was established to provide retirement, death and disability benefits to non-teaching and non-certified employees in schools. The benefit provisions for Plan employees are established by statute.

Benefits Provided

The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by the state statutes, as legislatively amended, within the Public Employees' Retirement Law.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 9: EMPLOYEE RETIREMENT SYSTEMS - (CONT'D)

Contributions

Active plan members who entered into the plan prior to January 1, 2013, are required to contribute 7.0% of their salary. The California Public Employees' Pension Reform Act (PEPRA) specifies that new members entering into the plan on or after January 1, 2013, shall pay the higher of fifty percent of normal costs or 6.0% of their salary. Additionally, for new members entering the plan on or after January 1, 2013, the employer is prohibited from paying any of the employee contribution to CalPERS unless the employer payment of the member's contribution is specified in an employment agreement or collective bargaining agreement that expires after January 1, 2013.

The District is required to contribute an actuarially determined rate. The actuarial methods and assumptions used for determining the rate are those adopted by the CalPERS Board of Administration. The required employer contribution rate for fiscal year 2016-17 was 13.888% of annual payroll. The contribution requirements of the plan members are established by state statute. Contributions to the plan from the District were \$1,524,653 for the year ended June 30, 2017.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

The following table shows the District's proportionate share of the Pool's changes in the aggregate net pension liability over the measurement period.

		Increase (Decrease)	
	Total Pension Liability	Fiduciary Net Position	Net Pension Liability/(Asset)
	(a)	(b)	(c)=(a)-(b)
Balance at: June 30, 2015 (VD)	\$ 56,246,164	\$ 44,675,187	\$ 11,570,977
Balance at: June 30, 2016 (MD)	<u>61,892,355</u>	<u>45,736,805</u>	<u>16,155,550</u>
Net Changes during 2015-16	<u>\$ 5,646,191</u>	<u>\$ 1,061,618</u>	<u>\$ 4,584,573</u>

As of June 30, 2017, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$16,155,550. The net pension liability was measured as of June 30, 2016. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. At June 30, 2016, the District's proportion was 0.0818% (0.26% for June 30, 2015), which was a decrease of 0.1782% from its proportion measured as of June 30, 2016.

For the measurement period ended June 30, 2016 (the measurement date), the total pension liability was determined by rolling forward the June 30, 2015 total pension liability determined in the June 30, 2015 actuarial accounting valuation.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 9: EMPLOYEE RETIREMENT SYSTEMS - (CONT'D)

For the year ended June 30, 2017, the District recognized pension expense of \$2,619,441. At June 30, 2017, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflow of Resources</u>	<u>Deferred Inflow of Resources</u>
Differences between projected & actual earnings on pension plan investments	\$ 4,102,259	\$ (1,595,437)
Difference between expected and actual experience	694,843	-
Changes in assumptions	-	(485,378)
Employer contributions subsequent to measurement date	1,524,653	-
Difference in proportionate share of the beginning net pension liability	<u>1,277,807</u>	<u>-</u>
Total	<u><u>\$ 7,599,562</u></u>	<u><u>\$ (2,080,815)</u></u>

The deferred outflow of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2018. Amounts reported as deferred outflows and deferred inflows of resources related to pensions will be recognized in future pension expense as follows:

<u>Year ended June 30,</u>	<u>Amortization</u>
2018	\$ 2,546,701
2019	976,350
2020	1,341,437
2021	<u>654,259</u>
Total	<u><u>\$ 5,518,747</u></u>

Amortization of Deferred Outflows and Deferred Inflows of Resources

The Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments is amortized over a five-year period on a straight-line basis. One-fifth is recognized in pension expense during the measurement period, and the remaining Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments is amortized over the remaining amortization periods. The Net Difference Between Projected and Actual Investment Earnings on Pension Plan Investments in the Schedule of Collective Pension Amounts represents the unamortized balance relating to the current measurement period and the prior measurement periods on a net basis.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 9: EMPLOYEE RETIREMENT SYSTEMS - (CONT'D)

Deferred outflows of resources and deferred inflows of resources relating to Differences Between Expected and Actual Experience and Changes of Assumptions should be amortized over the Expected Average Remaining Service Lifetime (EARSL) of members provided with pensions through the Plan determined as of the beginning of the related measurement period. The EARSL for the Plan for the June 30, 2016 measurement date is 3.9 years, which was obtained by dividing the total service years of 2,802,634 (the sum of remaining service lifetimes of the active employees) by 709,861 (the total number of participants: active, inactive, and retired). Inactive employees and retirees have remaining service lifetimes equal to 0. Total future service is based on the members' probability of decrementing due to an event other than receiving a cash refund.

Actuarial Methods and Assumptions

Total pension liability for the plan was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2015, and rolling forward the total pension liability to June 30, 2016. The financial reporting actuarial valuation as of June 30, 2015, used the following methods and assumptions, applied to all prior periods included in the measurement:

Actuarial Cost Method	Entry Age Normal in accordance with the requirements of GASB Statement No. 68
Actuarial Assumptions:	
Discount Rate	7.65%
Inflation	2.75%
Salary Increases	Varies by Entry Age and Service
Mortality Rate Table ¹	Derived using CalPERS' Membership Data for all Funds
Post-retirement Benefit Increases	2.00% until Purchasing Power Protection Allowance Floor on Purchasing Power applies, 2.75% thereafter

¹ The mortality table used was developed based on CalPERS-specific data. The table includes 20 years of mortality improvements using Society of Actuaries Scale BB. For more details on this table, please refer to the April 2014 experience study report (based on CalPERS demographic data from 1997 to 2011) available online at <https://www.calpers.ca.gov/docs/forms-publications/calpers-experience-study-2014.pdf>.

All other actuarial assumptions used in the June 30, 2015 valuation were based on the results of an actuarial experience study for the fiscal years 1997 to 2011, including updates to salary increase, mortality and retirement rates. The Experience Study report can be obtained at CalPERS' website.

Change of Assumptions

There were no changes of assumptions during the measurement period ended June 30, 2016. Deferred inflows of resources for changes of assumptions presented in the Schedule of Collective Pension Amounts represents the unamortized portion of the changes of assumptions related to prior measurement periods.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 9: EMPLOYEE RETIREMENT SYSTEMS - (CONT'D)

Discount Rate

The discount rate used to measure the total pension liability for PERF B was 7.65%. To determine whether the municipal bond rate should be used in the calculation of a discount rate, the amortization and smoothing periods recently adopted by the Board were used. A projection of expected benefit payments and contributions was performed for the Plan to determine if the assets would run out. The test revealed the assets would not run out. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability for PERF B. The crossover test results are presented in a detailed report called "GASB Crossover Testing Report" that can be obtained on CalPERS' website under the GASB 68 section.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, staff took into account both short-term and long-term market return expectations as well as the expected pension fund (Public Employees' Retirement Fund) cash flows. Using historical returns of all the funds' asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent.

The table below reflects long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. These geometric rates of return are net of administrative expenses.

<u>Asset Class</u>	<u>Assumed Asset Allocation</u>	<u>Expected Real Rate of Return Years 1-10¹</u>	<u>Expected Real Rate of Return Years 11+²</u>
Global equity	51%	5.25%	5.71%
Global debt securities	20%	0.99%	2.43%
Private equity	10%	6.83%	6.95%
Real Estate	10%	4.50%	5.13%
Inflation sensitive	6%	0.45%	3.36%
Infrastructure and forestland	2%	4.50%	5.09%
Liquidity	1%	(0.55%)	(1.05)%

¹ An expected inflation of 2.5% used for this period

² An expected inflation of 3.0% used for this period

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 9: EMPLOYEE RETIREMENT SYSTEMS - (CONT'D)

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

<u>Discount Rate</u>	<u>Net Pension Liability</u>
1% decrease (6.65%)	\$ 24,104,171
Current discount rate (7.65%)	\$ 16,155,551
1% increase (8.65%)	\$ 9,536,760

Pension Plan Fiduciary Net Position

Detailed information about the pension plan's fiduciary net position is available in the separately issued CalPERS financial report.

Additional Financial And Actuarial Information

Additional financial and actuarial information required for GASB Statement No. 68 disclosures is located in CalPERS' CAFR for the fiscal year ended June 30, 2016, and the CalPERS' GASB 68 Accounting Valuation Report for the schools cost-sharing multiple-employer defined benefit pension plan, which can be found on CalPERS' website at <https://www.calpers.ca.gov/docs/forms-publications/gasb-68>.

California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the State Teachers Retirement Plan (STRP) administered by the California State Teachers' Retirement System (CalSTRS). STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law. CalSTRS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalSTRS annual financial report may be obtained at the CalSTRS website.

Benefits Provided

The plan provides retirement, disability, and survivor benefits to beneficiaries. Benefit provisions are established state statutes, as legislatively amended, within the State Teachers' Retirement Law.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 9: EMPLOYEE RETIREMENT SYSTEMS - (CONT'D)

Contributions

Below is a summary of the employee contribution rates and employer contributions rates for fiscal year 2016-17:

Plan	Employee Contribution Rate	Employer Contribution Rate
Classic Members	10.25 %	12.58 %
New Members	9.205 %	12.58 %
STRS DBS	8.00 %	8.25 %

The District's contribution to CalSTRS were \$2,267,620 for the fiscal year ending June 30, 2017.

On Behalf Payments

The State of California makes contributions to CalSTRS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS in the amount of \$1,146,385 (0.0635% of annual payroll). Under accounting principles generally accepted in the United States of America, these amounts are to be reported as revenue and expenditures. Accordingly, these amounts have been recorded in these financial statements.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

The following table shows the District's proportionate share of the Pool's changes in the aggregate net pension liability over the measurement period.

	Increase (Decrease)		
	Total Pension Liability (a)	Fiduciary Net Position (b)	Net Pension Liability/(Asset) (c)=(a)-(b)
Balance at: June 30, 2015 (VD)	\$ 95,884,020	\$ 70,974,140	\$ 24,909,880
Balance at: June 30, 2016 (MD)	102,629,640	71,894,860	30,734,780
Net Changes during 2015-16	<u>\$ 6,745,620</u>	<u>\$ 920,720</u>	<u>\$ 5,824,900</u>

At June 30, 2017, the District reported a liability of \$30,734,780 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2016, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. At June 30, 2016, the District's proportion was 0.038% (0.037% for June 30, 2015) , which was an increase of 0.001% from its proportion measured as of June 30, 2015.

Total net pension liability, including state share:

District's proportionate share of net pension liability

State's proportionate share of the net pension liability associated with the school

\$ 30,734,780

17,497,310

\$ 48,232,090

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 9: EMPLOYEE RETIREMENT SYSTEMS - (CONT'D)

For the year ended June 30, 2017, The District recognized pension expense of \$3,066,372. The District recognized pension expense and revenue of \$1,146,385 for support provided by the State. At June 30, 2017, The District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflow of Resources</u>	<u>Deferred Inflow of Resources</u>
Differences between projected & actual earnings on pension plan investments	\$ 5,177,880	\$ (2,734,480)
Difference between expected and actual experience	-	(749,740)
Difference in proportionate share of the beginning net pension liability	629,967	-
Changes in proportion and differences between district contributions and proportionate share of contributions	8,828	(37,476)
Pension contributions subsequent to measurement date	<u>2,267,620</u>	<u>-</u>
Total	<u><u>\$ 8,084,295</u></u>	<u><u>\$ (3,521,696)</u></u>

The deferred outflow of resources related to pensions resulting from The District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2018. The deferred inflow of resources will be amortized over a closed five-year period and will be recognized in pension expense as follows:

<u>Year ended June 30,</u>	<u>Amortization</u>
2018	\$ 2,287,399
2019	19,019
2020	1,386,639
2021	884,279
2022	(47,407)
2023	<u>32,668</u>
	<u><u>\$ 4,562,599</u></u>

Amortization of Deferred Outflows and Deferred Inflows of Resources

The Schedule B includes only certain categories of deferred outflows of resources and deferred inflows of resources. This schedule includes differences between expected and actual experience, changes of assumptions and differences between projected and actual earnings on plan investments. The schedule does not include deferred outflows/inflows of resources for changes in the employer's proportionate share of contributions, employer contributions made subsequent to the measurement date, or adjustments to pension revenue and expense associated with on-behalf payments made by the State of California (non-employer contributing entity) for each employer. Differences between expected and actual experience and changes in assumptions are amortized over a closed period equal to the average remaining service life of plan members, which is 7 years as of June 30, 2016.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 9: EMPLOYEE RETIREMENT SYSTEMS - (CONT'D)

Actuarial Methods and Assumptions

The total pension liability for the State Teachers' Retirement Plan (STRP), a plan administered by the California State Teachers' Retirement System (CalSTRS), was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2015, and rolling forward the total pension liability to June 30, 2016. The financial reporting actuarial valuation as of June 30, 2015, used the following actuarial methods and assumptions, applied to all prior periods included in the measurement:

Valuation Date	June 30, 2015
Experience Study	July 1, 2006, through June 30, 2010
Actuarial Cost Method	Entry age normal
Investment Rate of Return ¹	7.60%
Consumer Price Inflation	3.00%
Wage Growth	3.75%
Post-retirement Benefit Increases	2.00% simple for DB (Annually) Maintain 85% purchasing power level for DB Not applicable for DBS/CBB

¹ Net of investment expenses, but gross of administrative expenses. CalSTRS uses a 7.5 percent assumed investment rate of return for funding purposes, which is net of administrative expenses.

CalSTRS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are based on RP2000 series tables adjusted to fit CalSTRS experience. RP2000 series tables are an industry standard set of mortality rates published by the Society of Actuaries. See CalSTRS July 1, 2006 – June 30, 2010 Experience Analysis for more information.

Discount Rate

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best-estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant (Pension Consulting Alliance - PCA) as an input to the process. The actuarial investment rate of return assumption was adopted by the board in 2012 in conjunction with the most recent experience study. For each future valuation, CalSTRS consulting actuary (Milliman) reviews the return assumption for reasonableness based on the most current capital market assumptions. Best estimates of 20-year geometric real rates of return and the assumed asset allocation for each major asset class for the year ended June 30, 2016, are summarized in the following table:

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 9: EMPLOYEE RETIREMENT SYSTEMS - (CONT'D)

<u>Asset Class</u>	<u>Assumed Asset Allocation</u>	<u>Long-term Expected Real Rate of Return</u>
Global equity	47%	6.30%
Fixed Income	12%	0.30%
Real estate	13%	5.20%
Private Equity	13%	9.30%
Absolute Return/Risk Mitigating Strategies	9%	2.90%
Inflation Sensitive	4%	3.80%
Cash/liquidity	2%	(1.00%)

The discount rate used to measure the total pension liability was 7.60 percent. The projection of cash flows used to determine the discount rate assumed that contributions from plan members and employers will be made at statutory contribution rates disclosed in Note 1 to the Basic Financial Statements in CalSTRS Comprehensive Annual Financial Report (CAFR) as of and for the fiscal year ended June 30, 2016. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.60 percent) and assuming that contributions, benefit payments, and administrative expense occur midyear. Based on those assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate

The following presents The District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

<u>Discount Rate</u>	<u>Net Pension Liability</u>
3% decrease (4.60%)	\$ 80,567,980
2% decrease (5.60%)	\$ 60,605,820
1% decrease (6.60%)	\$ 44,234,280
Current discount rate (7.60%)	\$ 30,734,780
1% increase (8.60%)	\$ 19,523,260
2% increase (9.60%)	\$ 10,094,320
3% increase (10.60%)	\$ 2,129,520

Pension Plan Fiduciary Net Position

Detailed information about the pension plan's fiduciary net position is available in the separately issued CalSTRS financial report.

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 9: EMPLOYEE RETIREMENT SYSTEMS - (CONT'D)

Additional Financial And Actuarial Information

Additional financial and actuarial information required for GASB Statement No. 68 disclosures is located in CalSTRS financial statements and/or Comprehensive Annual Financial Report for the fiscal year ended June 30, 2016, which can be found on CalSTRS website.

NOTE 10: RISK MANAGEMENT

The District's risk management activities are recorded in the General Fund. The District participates in the San Mateo County Schools Insurance Group public entity risk pool (JPA). Refer to Note 11 for additional information regarding the JPA. Excess property and liability coverage is obtained through SELF. For insured programs, there have been no significant reductions in insurance coverage. Settlement amounts have not exceeded insurance coverage for the current year.

WORKERS COMPENSATION FUND

The District is exposed to various risks of loss related to torts, errors and omissions, and injuries to employees. During the year ended June 30, 2017, the District operated the Workers' compensation Fund (Internal Service Fund) to account for and finance its risk of loss. Under this program, the Internal Service Fund provides coverage for up to a maximum of \$500,000 for each workers' compensation claim under a Retrospective Rating Plan and subject to a Retrospective Rating Maximum premium.

Funding of the Internal Service Fund is based on estimates of the amounts needed to pay prior and current year claims. The claim liability of \$2,058,435 reported in the Fund as of June 30, 2017 is based on the requirements of GASB 10, which requires that a liability for claims be reported if information prior to the issuance of the financial statements and the amount of the loss can be reasonably estimated.

Changes in the Fund's claims liability amount in fiscal year 2016-17 were:

	Liability June 30, 2016	Claims and changes in estimate	Claim payments	Liability June 30, 2017
Workers compensation	<u>\$ 1,780,220</u>	<u>\$ 278,215</u>	<u>\$ -</u>	<u>\$ 2,058,435</u>

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 11: PARTICIPATION IN PUBLIC ENTITY RISK POOLS AND JOINT POWERS AUTHORITIES

The District is a member of the San Mateo County Schools' Insurance Group joint powers authority (JPA). The District pays an annual premium to the entity for its property liability coverage. The relationships between the District and the JPA are such that it is not a component unit of the District for financial reporting purposes.

This entity has budgeting and financial reporting requirements independent of member units and its financial statements are not presented in these financial statements; however, fund transactions between the entity and the District are included in these statements. Audited financial statements are available from the entity.

- A. Entity San Mateo County Schools Insurance Group
- B. Purpose Provide property and liability, casualty and dental coverage.
- C. Participants Local educational agencies
- D. Governing Board Representatives from member agencies
- E. Condensed Audited Financial Information Follows

	<u>June 30, 2017</u>
Assets	\$ 24,180,075
Deferred outflows of resources	482,864
Liabilities	11,568,295
Deferred inflows of resources	<u>54,871</u>
Net position	<u><u>\$ 13,039,773</u></u>
Revenues	\$ 43,768,492
Expenses	<u>42,134,116</u>
Net Increase in net position	<u><u>\$ 1,634,376</u></u>

F. Payments for the Current Year:

Property liability	\$ 252,319
Comprehensive & collision coverage	\$ 3,590
Dental - approximately	\$ 732,838

RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO THE BASIC FINANCIAL STATEMENTS
JUNE 30, 2017

NOTE 12: COMMITMENTS AND CONTINGENCIES

State and Federal Allowances, Awards, and Grants

The District has received state and federal funds for specific purposes that are subject to view and audit by the grantor agencies. Although such audits could generate expenditure disallowances under terms of the grants, it is believed that any required reimbursement will not be material.

Contingent Liability

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal government. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantor cannot be determined at this time although the government expects such amounts, if any, to be immaterial.

Commitments

There are no significant commitments of the District for the year ending June 30, 2017.

NOTE 13. SUBSEQUENT ACCOUNTING STANDARD PRONOUNCEMENTS

GASB Statement 75, Accounting and Financial Reporting for postemployment benefits other than pensions

In June of 2015, the GASB issued GASB Statement 75 (GASB 75), Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions, with required implementation for the District during the year ended June 30, 2018. The primary objective of this statement is to improve accounting and financial reporting by state and local governments for other postemployment benefits (OPEB) by establishing standards for measuring and recognizing liabilities, deferred outflows of resources, deferred inflows of resources, and expenses/expenditures. It will require employers to report a net OPEB liability for the difference between the present value of projected pension benefits for past service and restricted resources held in trust for the payment of benefits. The Statement identifies the methods and assumptions that should be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. GASB 75 is required to be implemented retroactively and will require a restatement of beginning net position.

NOTE 14. PRIOR PERIOD ADJUSTMENT

The prior period adjustment of \$1,165,456, in the government-wide statements, is related to the required adjustment in deferred outflows of resources related to the on-behalf share of contributions of County of San Mateo for STRS retirement plan during the fiscal year 2015-16. Changes in the beginning balance of respective accounts were:

	Balance before adjustments			Adjusted balance
	June 30, 2016	Debit	credit	June 30, 2016
Deferred outflows of resources	\$ 6,394,592	\$ -	\$ 1,165,456	\$ 5,229,136
Net position - Unrestricted	(34,098,229)	<u>1,165,456</u>	<u>-</u>	(35,263,685)
		<u>\$ 1,165,456</u>	<u>\$ 1,165,456</u>	

REQUIRED SUPPLEMENTARY INFORMATION

RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF REVENUES, EXPENDITURES, AND CHANGES IN FUND
BALANCE - BUDGET AND ACTUAL (GAAP)
GENERAL FUND
YEAR ENDED JUNE 30, 2017

	Budgeted Amounts		Actual	Variance
	Original	Final	(GAAP Basis)	with Final Budget Positive-(Negative)
<u>Revenues</u>				
Local control funding formula	\$ 33,570,896	\$ 32,488,043	\$ 32,474,612	\$ (13,431)
Federal revenue	2,645,399	3,467,789	2,848,198	(619,591)
Other state revenue#	3,548,398	4,121,032	4,119,338	(1,694)
Other local revenue	<u>8,668,822</u>	<u>9,304,807</u>	<u>8,175,047</u>	<u>(1,129,760)</u>
Total revenues	<u>48,433,515</u>	<u>49,381,671</u>	<u>47,617,195</u>	<u>(1,764,476)</u>
<u>Expenditures</u>				
Certificated salaries	20,636,823	19,588,579	18,259,086	1,329,493
Classified salaries	8,293,806	9,544,826	9,052,135	492,691
Employee benefits#	12,227,754	11,662,653	10,695,028	967,625
Books & supplies	1,875,895	2,492,320	1,726,157	766,163
Services and other operating expenditures	6,699,681	9,569,789	7,937,027	1,632,762
Capital outlay	-	107,000	246,954	(139,954)
Other outgo	<u>589,500</u>	<u>1,061,250</u>	<u>737,231</u>	<u>324,019</u>
Total expenditures	<u>50,323,459</u>	<u>54,026,417</u>	<u>48,653,618</u>	<u>5,372,799</u>
Excess/(deficiency) of revenues over/(under) expenditures	<u>(1,889,944)</u>	<u>(4,644,746)</u>	<u>(1,036,423)</u>	<u>3,608,323</u>
<u>Other Financing Sources/(Uses)</u>				
Operating transfers in	270,000	270,000	235,641	(34,359)
Operating transfers out	(330,000)	-	(301,000)	301,000
Other sources	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total other financing sources	<u>(60,000)</u>	<u>270,000</u>	<u>(65,359)</u>	<u>266,641</u>
Net change in fund balance	(1,949,944)	(4,374,746)	(1,101,782)	3,874,964
Fund balance, July 01, 2016	<u>5,500,530</u>	<u>5,500,530</u>	<u>5,500,530</u>	<u>-</u>
Fund balance, June 30, 2017	<u><u>\$ 3,550,586</u></u>	<u><u>\$ 1,125,784</u></u>	<u><u>\$ 4,398,748</u></u>	<u><u>\$ 3,874,964</u></u>

Due to consolidation of Deferred Maintenance Fund, with General Fund for reporting purposes, revenues and expenditures of Deferred Maintenance Fund are included in the Actual (GAAP Basis) revenues and expenditures and in the original and final budgets.

On-behalf payments of \$1,146,385 for CalSTRS were included in Other State Revenue and Retiree Benefits in the Actual column, but the amounts are excluded in the budget columns.

**RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF OTHER POSTEMPLOYMENT BENEFITS (OPEB) FUNDING
PROGRESS AND EMPLOYER CONTRIBUTION
FOR THE YEAR ENDED JUNE 30, 2017**

Schedule of Funding Progress

<u>Actuarial Valuation Date</u>	<u>Actuarial Value of Assets</u>	<u>AAL (Projected Unit Credit)</u>	<u>UAAL</u>	<u>Funded Ratio</u>	<u>Covered Payroll</u>	<u>UAAL as a % of Cov. Payroll</u>
07/01/2008	\$ -	\$ 5,781,000	\$ 5,781,000	0.0%	\$ 24,218,685	23.87%
07/01/2010	\$ -	\$ 6,205,800	\$ 6,205,800	0.0%	\$ 24,562,699	25.27%
07/01/2012	\$ -	\$ 6,016,100	\$ 6,016,100	0.0%	\$ 23,031,100	26.12%
10/01/2014	\$ -	\$ 6,804,607	\$ 6,238,611	0.0%	\$ 25,997,675	24.00%
10/01/2016	\$ -	\$ 6,928,177	\$ 6,155,736	0.0%	\$ 28,253,607	21.79%

RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF PROPORTIONATE SHARE OF THE NET PENSION LIABILITY
FOR THE YEAR ENDED JUNE 30, 2017

	<u>2017</u>	<u>2016</u>	<u>2015</u>
CalSTRS			
District's proportion of the net pension liability	<u>0.038 %</u>	<u>0.037 %</u>	<u>0.037 %</u>
District's proportionate share of the net pension liability	\$ 30,734,780	\$ 24,909,880	\$ 21,458,079
State's proportionate share of the net pension liability associated with the District	<u>17,497,310</u>	<u>13,174,545</u>	<u>12,957,396</u>
Total	<u>48,232,090</u>	<u>38,084,425</u>	<u>34,415,475</u>
District's covered – employee payroll	<u>\$ 18,039,134</u>	<u>\$ 18,987,126</u>	<u>\$ 17,315,181</u>
District's proportionate share of the net pension liability as a percentage of its covered – employee payroll	<u>170.38 %</u>	<u>131.19 %</u>	<u>123.93 %</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>70 %</u>	<u>74 %</u>	<u>77 %</u>
CalPERS			
District's proportion of the net pension liability	<u>0.082 %</u>	<u>0.079 %</u>	<u>0.069 %</u>
District's proportionate share of the net pension liability	<u>\$ 16,155,550</u>	<u>\$ 11,570,977</u>	<u>\$ 7,855,885</u>
District's covered – employee payroll	<u>\$ 11,060,212</u>	<u>\$ 9,266,481</u>	<u>\$ 8,682,494</u>
District's proportionate share of the net pension liability as a percentage of its covered – employee payroll	<u>146.07 %</u>	<u>124.87 %</u>	<u>90.48 %</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>74 %</u>	<u>79 %</u>	<u>83 %</u>

Note: In the future, as data becomes available, ten years of information will be presented.

**RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF PENSION CONTRIBUTIONS
FOR THE YEAR ENDED JUNE 30, 2017**

	<u>2017</u>	<u>2016</u>	<u>2015</u>
CalSTRS			
Contractually required contribution	\$ 2,267,620	\$ 2,036,079	\$ 1,570,419
Contributions in relations to the contractually required contribution	<u>2,267,620</u>	<u>2,036,079</u>	<u>1,570,419</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
District's covered – employee payroll	<u>\$ 18,039,134</u>	<u>\$ 18,987,126</u>	<u>\$ 17,315,181</u>
Contributions as a percentage of covered – employee payroll	<u>12.57 %</u>	<u>10.72 %</u>	<u>9.07 %</u>
CalPERS			
Contractually required contribution	\$ 1,524,653	\$ 1,154,762	\$ 986,019
Contributions in relations to the contractually required contribution	<u>1,524,653</u>	<u>1,154,762</u>	<u>986,019</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
District's covered – employee payroll	<u>\$ 11,060,212</u>	<u>\$ 9,266,481</u>	<u>\$ 8,682,494</u>
Contributions as a percentage of covered – employee payroll	<u>13.79 %</u>	<u>12.46 %</u>	<u>11.36 %</u>

Note: In the future, as data becomes available, ten years of information will be presented.

SUPPLEMENTARY INFORMATION

**RAVENSWOOD CITY SCHOOL DISTRICT
COMBINING BALANCE SHEET
NONMAJOR GOVERNMENTAL FUNDS
JUNE 30, 2017**

	Special Revenue Funds		Total Nonmajor Governmental Funds
	Child Development Fund		
ASSETS			
Cash and investments	\$ 140,873	\$	140,873
Accounts receivable	38,205		38,205
Due from other funds	<u>1,000</u>		<u>1,000</u>
Total assets	<u>180,078</u>		<u>180,078</u>
LIABILITIES AND FUND BALANCES			
Liabilities			
Accounts payable	47,269		47,269
Due to other funds	123,230		123,230
Unearned revenue	<u>1,548</u>		<u>1,548</u>
Total liabilities	<u>172,047</u>		<u>172,047</u>
Fund balances			
Restricted			
Assigned:			
Other assignments	<u>8,031</u>		<u>8,031</u>
Total fund balances	<u>8,031</u>		<u>8,031</u>
Total liabilities and fund balances	<u><u>\$ 180,078</u></u>	<u><u>\$</u></u>	<u><u>180,078</u></u>

The accompanying notes are an integral part of these financial statements.

RAVENSWOOD CITY SCHOOL DISTRICT
COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES
NON-MAJOR GOVERNMENTAL FUNDS
FOR THE YEAR ENDED JUNE 30, 2017

	Special Revenue Funds	
	Child Development Fund	Total Nonmajor Governmental Funds
REVENUES		
Other state revenue	\$ 1,697,870	\$ 1,697,870
Other local revenue	<u>201,302</u>	<u>201,302</u>
Total revenues	<u>1,899,172</u>	<u>1,899,172</u>
EXPENDITURES		
Instruction	1,585,338	1,585,338
Instruction-related services	362,982	362,982
General administration	71,210	71,210
Plant services	173,067	173,067
Total expenditures	<u>2,192,597</u>	<u>2,192,597</u>
Excess/(deficiency) of revenues over/(under) expenditures	<u>(293,425)</u>	<u>(293,425)</u>
OTHER FINANCING SOURCES (USES):		
Operating transfers in	<u>301,000</u>	<u>301,000</u>
Total other financing sources (uses)	<u>301,000</u>	<u>301,000</u>
NET CHANGE IN FUND BALANCE	7,575	7,575
FUND BALANCES, JULY 01, 2016	<u>456</u>	<u>456</u>
FUND BALANCES, JUNE 30, 2017	<u><u>\$ 8,031</u></u>	<u><u>\$ 8,031</u></u>

The accompanying notes are an integral part of these financial statements.

**RAVENSWOOD CITY SCHOOL DISTRICT
ORGANIZATION
JUNE 30, 2017**

Ravenswood City School District is located in San Mateo County. There were no changes in the boundaries of the District during the current fiscal year. The District operated seven schools providing kindergarten through eight grade education and one child development center during 2016-17 school year.

GOVERNING BOARD

<u>Name</u>	<u>Office</u>	<u>Term Expires</u>
Sharifa Wison	President	November 2020
Ana Maria Pulido	Vice President	November 2018
Marcelino Lopez	Clerk	November 2018
Dr. Charlie M. Knight	Member	November 2018
Marielena Gaona-Mendoza	Member	November 2020

ADMINISTRATION

Dr. Gloria M. Hernandez-Goff, Superintendent
Steven J. Eichman, Chief Business Official

**RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE YEAR ENDED JUNE 30, 2017**

<u>Federal Grantor/Pass-Through Grantor/Program or Cluster Title</u>	<u>Federal CFDA Number</u>	<u>Pass- Through Entity Identifying Number</u>	<u>Program Expenditures</u>
FEDERAL PROGRAMS:			
U.S. Department of Education:			
Pass-through California Department of Education (CDE)			
Special Education - IDEA Basic Local Assistance	84.027	13379	\$ 708,705
Special Education: IDEA Local Assistance, Part B, Sec 611, Private School ISPs	84.027	10115	1,813
Special Education - IDEA Preschool Local Entitlement Part B	84.027	13682	<u>138,774</u>
Total Special Education—Grants to States			<u>849,292</u>
Special Education - IDEA Preschool Grants	84.173	13430	<u>43,920</u>
Total Special Education - IDEA Preschool Grants			<u>43,920</u>
Special Ed: IDEA Preschool Staff Development, Part B, Sec 619	84.173A	13431	<u>494</u>
Total Special Ed: IDEA Preschool Staff Development, Part B, Sec 619			<u>494</u>
NCLB: Title I - Part A - Basic Grants	84.010	14329	<u>1,047,659</u>
Total NCLB: Title I - Part A - Basic Grants			<u>1,047,659</u>
NCLB: Title II, Part A, Teacher Quality	84.367	14341	<u>180,890</u>
Total NCLB: Title II, Part A, Teacher Quality			<u>180,890</u>
NCLB: Title III, Limited English Proficient (LEP) Student Program	84.365	14346	<u>233,365</u>
Total NCLB: Title III, Limited English Proficient (LEP) Student Program			<u>233,365</u>
Pass-through Santa Clara County Office of Education			
NCLB: Title I, Part C, Migrant Ed (Regular and Summer Program)	84.011	14326	<u>182,657</u>
Total NCLB: Title I, Part C, Migrant Ed (Regular and Summer Program)			<u>182,657</u>
Total Department of Education			<u><u>\$ 2,538,277</u></u>

See accompanying notes to supplementary information

**RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE YEAR ENDED JUNE 30, 2017**

<u>Federal Grantor/Pass-Through Grantor/Program or Cluster Title</u>	<u>Federal CFDA Number</u>	<u>Pass- Through Entity Identifying Number</u>	<u>Program Expenditures</u>
U.S. Department of Agriculture:			
Pass-through Programs California Department of Education (CDE)			
Child Nutrition:			
Child Nutrition: School Programs	10.555*	13396	\$ 2,132,859
Child Nutrition: School Programs - Commodities	10.555*	N/A	<u>49,877</u>
Total Child Nutrition: School Programs			<u>2,182,736</u>
Child Nutrition: Fresh Fruit and Vegetable Program	10.582	14968	<u>157,387</u>
Total Child Nutrition: Fresh Fruit and Vegetable Program			<u>157,387</u>
Child and Adult Care Food Program:			
Child Nutrition: CACFP Claims	10.558*	13666	<u>276,575</u>
Total Child and Adult Care Food Program			<u>276,575</u>
Total Department of Agriculture			<u><u>\$ 2,616,698</u></u>
U.S. Department of Health and Human Services:			
Pass-through Programs California Department of Education (CDE)			
MediCal Billing	93.778	10013	<u>\$ 48,071</u>
Total MediCal Billing			<u>48,071</u>
Total Department of Health and Human Services			<u><u>\$ 48,071</u></u>
TOTAL EXPENDITURES OF FEDERAL AWARDS			<u><u>\$ 5,203,046</u></u>

* Tested as a major program

**RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF AVERAGE DAILY ATTENDANCE
FOR THE YEAR ENDED JUNE 30, 2017**

Elementary:	Second Period Report	Annual Report
Kindergarten and Grades 1 through 3	1,287	1,284
Grades 4 through 6	989	983
Grades 7 and 8	626	628
Special Education	9	9
Elementary Totals	<u>2,911</u>	<u>2,904</u>

See accompanying notes to supplementary information

**RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF INSTRUCTIONAL TIME
FOR THE YEAR ENDED JUNE 30, 2017**

<u>Grade Level</u>	<u>1986-87 Minutes Requirement</u>	<u>2016-17 Actual Minutes</u>	<u>Number of Days Traditional Calendar</u>	<u>Number of Days Multitrack Calendar</u>	<u>Status</u>
Kindergarten	36,000	47,250	180	Not Applicable	In Compliance
Grade 1	50,400	56,700	180	Not Applicable	In Compliance
Grade 2	50,400	56,700	180	Not Applicable	In Compliance
Grade 3	50,400	56,700	180	Not Applicable	In Compliance
Grade 4	54,000	56,700	180	Not Applicable	In Compliance
Grade 5	54,000	56,700	180	Not Applicable	In Compliance
Grade 6	54,000	56,700	180	Not Applicable	In Compliance
Grade 7	54,000	56,700	180	Not Applicable	In Compliance
Grade 8	54,000	56,700	180	Not Applicable	In Compliance

See accompanying notes to supplementary information

**RAVENSWOOD CITY SCHOOL DISTRICT
RECONCILIATION OF ANNUAL FINANCIAL AND BUDGET
REPORT WITH AUDITED FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2017**

Summarized below are the fund balance reconciliations between the Annual Financial and Budget Report Unaudited Actuals and the audited financial statements.

<u>Fund Balance</u>	<u>General Fund</u>	<u>Deferred Maintenance Fund</u>
Balance, June 30, 2017, Unaudited Actuals	\$ 4,173,306	\$ 225,442
As required by GASB 54, Deferred Maintenance Fund is combined with General Fund in the audited financial statements	<u>225,442</u>	<u>(225,442)</u>
Balance, June 30, 2017 Audited Financial Statements	<u><u>\$ 4,398,748</u></u>	<u><u>\$ -</u></u>

See accompanying notes to supplementary information

**RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF FINANCIAL TRENDS AND ANALYSIS
FOR THE YEAR ENDED JUNE 30, 2017**

General Fund	Budget 2018	2017*	2016*	2015*
Revenues & other financial sources	\$ 45,468,229	\$ 47,852,836	\$ 49,678,062	\$ 43,479,925
Expenditures	45,953,351	48,653,619	49,870,082	43,988,791
Other uses & transfers out	769,650	301,000	330,000	32,553
Total outgo	46,723,001	48,954,619	50,200,082	44,021,344
Change in fund balance (deficit)	(1,254,772)	(1,101,783)	(522,020)	(541,419)
Ending fund balance	\$ 2,918,534	\$ 4,398,748	\$ 5,500,531	\$ 6,022,551
Available reserves # !	\$ 1,410,000	\$ 1,468,639	\$ 1,506,002	\$ 1,293,528
Available reserves as a percentage of total outgo	3.02 %	3.00 %	3.00 %	2.94 %
Total long-term obligation (as restated)	\$ 77,884,430	\$ 77,884,430	\$ 51,101,176	\$ 43,856,149
Average daily attendance at P-2	2,675	2,911	3,118	3,241

For a District this size, the state recommends available reserves of at least 3% of total general fund expenditures, transfers out, and other uses (total outgo). As of June 30, 2017 the District has available reserve of \$1,468,639 which is 3.02% of the total outgo.

Total long-term debt has increased by \$34,028,281 over the last two years. This is mainly due to implementation of GASB 68.

Average daily attendance has decreased by 330 over the past two years.

- * General fund amounts include the amounts under deferred maintenance fund due to the consolidation as required by GASB 54.
- ! Available reserves consist of all undesignated fund balances and all funds designated for economic uncertainty contained within the General Fund.
- # On-behalf payments of \$1,146,385 have been included in the calculation of available reserves for fiscal year ending June 30, 2017.

**RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF CHARTER SCHOOLS
FOR THE YEAR ENDED JUNE 30, 2017**

Charter Schools chartered by the School District	Included in the School District Audit
Aspire Charter School	Not included

**RAVENSWOOD CITY SCHOOL DISTRICT
NOTES TO SUPPLEMENTARY INFORMATION
FOR THE YEAR ENDED JUNE 30, 2017**

NOTE 1 - PURPOSE OF SCHEDULES

A. Schedule of Expenditures of Federal Awards

The audit of the District for the year ended June 30, 2017, was conducted in accordance with Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance), which requires disclosure of the financial activities of all federally funded programs. To comply with Uniform Guidance, the Schedule of Expenditures of Federal Awards was prepared by the District.

General – The accompanying Schedule of Expenditures of Federal Awards presents the activity of all federal award programs of the District.

Basis of Accounting – The accompanying Schedule of Expenditures of Federal Awards is presented using the accrual basis of accounting.

Indirect Cost Rate – The District has elected not to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance

Commodities – The value of commodities received for the year ended June 30, 2017 was \$49,877, and is reported in the Schedule of Expenditures of Federal Awards under the Department of Agriculture Commodities program, CFDA number 10.555.

B. Schedule of Average Daily Attendance (ADA)

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionment's of State funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

C. Schedule of Instructional time

The schedule presents information on the amount of instructional time offered by the District and whether the District complied with the provisions of Education Code Sections 46200 through 46207.

The District has received incentive funding for increasing instructional time as provided by the Incentives for Longer Instructional Day. The District neither met nor exceeded its LCFF targeted funding. Districts must maintain their instructional minutes at the 1986-87 requirements, as required by *Education Code* Section 46201.2

D. Reconciliation of Annual Financial and Budget Report with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Annual Financial and Budget Report Unaudited Actuals to the audited financial statements.

E. Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

F. Schedule of Charter Schools

This schedule is provided to list all charter schools chartered by the District and displays information for each charter school on whether or not the charter school is included in the District audit.

**INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL
REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF
FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE
WITH GOVERNMENT AUDITING STANDARDS**

The Board of Trustees
Ravenswood City School District
East Palo Alto, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Ravenswood City School District (the District) as of and for the year ended June 30, 2017, and the related notes to the financial statements, which collectively comprise Ravenswood City School District's basic financial statements, and have issued our report thereon dated December 14, 2017.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Ravenswood City School District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Ravenswood City School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Ravenswood City School District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A *material weakness* is a deficiency, or combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Ravenswood City School District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Patel & Associates, LLP
Certified Public Accountants

Patel & Associates, LLP

Oakland, California
December 14, 2017

**INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR
EACH MAJOR FEDERAL PROGRAM AND ON INTERNAL CONTROL OVER
COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE**

The Board of Trustees
Ravenswood City School District
East Palo Alto, California

Report on Compliance for Each Major Federal Program

We have audited Ravenswood City School District's (the District) compliance with the types of compliance requirements described in the OMB *Compliance Supplement* that could have a direct and material effect on each of Ravenswood City School District's major federal programs for the year ended June 30, 2017. Ravenswood City School District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Ravenswood City School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Ravenswood City School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of Ravenswood City School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Ravenswood City School District, complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2017.

Report on Internal Control over Compliance

Management of Ravenswood City School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Ravenswood City School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Ravenswood City School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Patel & Associates, LLP
Certified Public Accountants

Patel & Associates, LLP

Oakland, California
December 14, 2017

**INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE WITH APPLICABLE REQUIREMENTS IN
ACCORDANCE WITH 2016-17 GUIDE FOR ANNUAL AUDITS OF K-12 LOCAL EDUCATION
AGENCIES AND STATE COMPLIANCE REPORTING**

The Board of Trustees
Ravenswood City School District
East Palo Alto, California

Report on State Compliance

We have audited Ravenswood City School District's (the District) compliance with the types of compliance requirements described in the 2016-17 *Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* applicable to Ravenswood City School District's programs identified in the below schedule for the school year ended June 30, 2017.

Management's Responsibility

Management is responsible for compliance with the state statutes, regulations and terms and conditions of its state awards applicable to its state programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for the District's state programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and 2016-17 *Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, published by the Education Audit Appeals Panel. Those standards and the 2016-17 *Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on the programs identified in the below schedule occurred. An audit includes examining, on a test basis, evidence about Ravenswood City School District's compliance with those requirements and performing such other procedures as we considered necessary under the circumstances. We believe that our audit provides a reasonable basis for our opinion on compliance. However, our audit does not provide a legal determination on Ravenswood City School District's compliance with those requirements.

Other Matters

In connection with the requirements referred to above, we selected and tested transactions and records to determine Ravenswood City School District's compliance with the applicable programs identified below:

<u>Program Description</u>	<u>Procedures Performed</u>
Local Education Agencies other than Charter Schools	
Attendance	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	Yes
Independent Study	No (see below)*
Continuation Education	Not Applicable
Instructional Time	Yes
Instructional Materials	Yes
Ratios of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	Not Applicable
GANN Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	Not Applicable
Middle or Early College High Schools	Not Applicable
K-3 Grade Span Adjustment	Yes
Transportation Maintenance of Effort	Yes
Mental Health Expenditures	Yes
School Districts, County Offices of Education, and Charter Schools	
Educator Effectiveness	Yes
California Clean Energy Jobs Act	Yes
After School Education and Safety Program	Yes
Proper Expenditure of Education Protection Account Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control and Accountability Plan	Yes
Independent Study-Course Based	Not Applicable
Immunizations	Yes
Charter Schools	
Attendance	Yes
Mode of Instruction	Yes
Non-classroom-Based Instruction/Independent Study	Not applicable
Determination of Funding for Non-classroom-Based Instruction	Not Applicable
Annual Instructional Minutes – Classroom Based	Yes
Charter School Facility Grant Program	Yes

The charter school procedures listed above pertains to Aspire Public School, a charter school sponsored by the District. They were audited by other auditors, whose consolidated report dated November 16, 2017, expressed a modified opinion on the compliance with the types of compliance requirements described in the *2016-17 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*.

- * We did not perform testing for independent study because the independent study ADA was under the level that requires testing.

Opinion on State Compliance

In our opinion, Ravenswood City School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on the programs identified in the above schedule for the year ended June 30, 2017.

Patel & Associates, LLP
Certified Public Accountants

Patel & Associates, LLP

Oakland, California
December 14, 2017

**RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2017**

SECTION I - SUMMARY OF AUDITOR'S RESULTS

Financial Statements

Type of auditor's report issued:	Unmodified
Internal control over financial reporting:	
Material weakness(es) identified	No
Significant deficiency(ies) identified	No
Noncompliance material to financial statements noted	No

Federal Awards

Internal control over major programs:	
Material weakness(es) identified	No
Significant deficiency(ies) identified	None reported
Type of auditor's report issued on compliance for major programs:	Unmodified
Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)	No

Identification of major programs:

<u>CFDA Number</u>	<u>Name of Federal Program or Cluster</u>
10.555	Child Nutrition: School Programs
10.558	Child and Adult Care Food Program

Dollar threshold used to distinguish between type A and type B programs:	\$750,000
Auditee qualified as low-risk auditee	Yes

State Awards

Internal control over state programs:	
Material weakness(es) identified	No
Significant deficiency(ies) identified	None reported
Any audit findings disclosed that are required to be reported in accordance with Audits of California K-12 Local Education Agencies	No
Type of auditor's report issued on compliance for state programs:	Unmodified

**RAVENSWOOD CITY SCHOOL DISTRICT
SCHEDULE OF FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2017**

SECTION II - FINANCIAL STATEMENT FINDING

There were no financial statement findings reported.

SECTION III – FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

There were no federal compliance findings reported.

SECTION IV - STATE AWARD FINDINGS AND QUESTIONED COSTS

There were no state compliance findings reported.

**RAVENSWOOD CITY SCHOOL DISTRICT
STATUS OF PRIOR YEAR'S FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2017**

There were no findings reported.

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APPENDIX C

PROPOSED FORM OF OPINION OF BOND COUNSEL

_____, 2018

Board of Trustees
Ravenswood City School District
East Palo Alto, California

Ravenswood City School District
General Obligation Bonds, Election of 2016, Series 2018
(Final Opinion)

Ladies and Gentlemen:

We have acted as bond counsel to the Ravenswood City School District (the “District”), which is located in the County of San Mateo, California (the “County”), in connection with the issuance by the District of \$10,000,000 aggregate principal amount of bonds designated as “Ravenswood City School District General Obligation Bonds, Election of 2016, Series 2018” (the “Bonds”). The Bonds are authorized by a resolution adopted by the Board of Trustees of the District on December 14, 2017 (the “Resolution”), and issued pursuant to a paying agent agreement, dated as of March 1, 2018 (the “Paying Agent Agreement”), by and between the District and The Bank of New York Mellon Trust Company, N.A., as paying agent. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Paying Agent Agreement.

In such connection, we have reviewed the Resolution, the Paying Agent Agreement, the tax certificate of the District dated the date hereof (the “Tax Certificate”), certificates of the District, the County, and others, and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by, and validity against, any parties other than the District. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents and of the legal conclusions contained in the opinions, referred to in the second paragraph hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Resolution, the Paying Agent Agreement, and the Tax Certificate, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Resolution, the Paying Agent Agreement, and the Tax Certificate and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors’ rights, to the application of equitable principles, to the exercise of

judicial discretion in appropriate cases and to the limitations on legal remedies against school districts and counties in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest in any of the assets described in or as subject to the lien of the Resolution or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such assets. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding obligations of the District.
2. The Paying Agent Agreement has been duly executed and delivered by, and constitutes the valid and binding obligation of, the District.
3. The Board of Supervisors of the County has power and is obligated to levy *ad valorem* taxes without limitation as to rate or amount upon all property within the District's boundaries subject to taxation by the District (except certain personal property which is taxable at limited rates) for the payment of the Bonds and the interest thereon.
4. Interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 and is exempt from State of California personal income taxes. Interest on the Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

per

APPENDIX D

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Ravenswood City School District (the “District”) in connection with the issuance of \$10,000,000 aggregate principal amount of Ravenswood City School District General Obligation Bonds, Election of 2016, Series 2018 (the “Bonds”). The Bonds are being issued as authorized by a resolution adopted by the Board of Trustees of the District on December 14, 2017, and in accordance with the terms of a Paying Agent Agreement, dated as of March 1, 2018 (the “Paying Agent Agreement”), by and between the District and The Bank of New York Mellon Trust Company, N.A., as paying agent (the “Paying Agent”). The District covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Holders (defined below) and Beneficial Owners (defined below) of the Bonds and in order to assist the Participating Underwriter in complying with Securities and Exchange Commission Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Paying Agent Agreement, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person who has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries).

“Dissemination Agent” shall mean Eastshore Consulting, LLC, or any successor Dissemination Agent designated in writing by the District and which has filed with the District a written acceptance of such designation.

“Holder” shall mean the person in whose name any Bond shall be registered.

“Listed Event” shall mean any of the events listed in Section 5(a) or (b) of this Disclosure Certificate.

“MSRB” shall mean the Municipal Securities Rulemaking Board established pursuant to Section 15B(b)(1) of the Securities Exchange Act of 1934 or any other entity designated or authorized by the Securities and Exchange Commission to receive reports or notices pursuant to the Rule. Until otherwise designated by the MSRB or the Securities and Exchange Commission, filings with the MSRB are to be made through the Electronic Municipal Market Access (EMMA) website of the MSRB currently located at <http://emma.msrb.org>.

“Official Statement” shall mean the Official Statement dated February 15, 2018 related to the Bonds.

“Participating Underwriter” shall mean Siebert Cisneros Shank & Co. L.L.C., the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

SECTION 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than nine months after the end of the District’s fiscal year (presently June 30), commencing with the Annual Report for the fiscal year of the District ending June 30, 2018 (which is due no later than April 1, 2019), provide to the MSRB an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. Each Annual Report

must be submitted in electronic format, accompanied by such identifying information as is prescribed by the MSRB, and may include by reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the District may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. Neither the Paying Agent nor the Dissemination Agent shall have any duties or responsibilities with respect to the contents of the Annual Report. If the District's fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5.

(b) Not later than fifteen (15) Business Days prior to the date specified in subsection (a) for providing the Annual Report to the MSRB, the District shall provide the Annual Report to the Dissemination Agent (if other than the District) and the Paying Agent (if the Paying Agent is not the Dissemination Agent). If by such date, the Dissemination Agent has not received a copy of the Annual Report, the Dissemination Agent shall contact the District and the Paying Agent to determine if the District is in compliance with the first sentence of this subsection (b).

(c) If the Paying Agent is unable to verify that an Annual Report has been provided to the MSRB by the date required in subsection (a), the Paying Agent shall send a notice, in electronic format, to the MSRB, such notice to be in substantially the form attached as Exhibit A.

(d) If the Annual Report is delivered to the Dissemination Agent for filing, the Dissemination Agent shall file a report with the District and (if the Dissemination Agent is not the Paying Agent) the Paying Agent certifying that the Annual Report has been provided pursuant to this Disclosure Certificate and stating the date it was provided.

SECTION 4. Content of Annual Reports. The District's Annual Report shall contain or include by reference the following:

(a) Audited financial statements of the District, prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District's audited financial statements are not available by the time the Annual Report is required to be provided to the MSRB pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be provided to the MSRB in the same manner as the Annual Report when they become available.

(b) Financial information and operating data with respect to the District of the type included in the Official Statement in the following categories (to the extent not included in the District's audited financial statement):

1. State funding received by the District for the last completed fiscal year;
2. Enrollment or average daily attendance of the District for the last completed fiscal year;
3. Assessed valuations, collections and delinquencies for real property located in the District for the last completed fiscal year;
4. If the District is not on the Teeter Plan, a list of the ten largest taxpayers, together with their product or service, assessed valuation and percentage of total assessed valuation in the District for the last completed fiscal year;
5. Outstanding District indebtedness; and
6. Summary financial information on revenues, expenditures and fund balances for the District's general fund reflecting the adopted budget for the current fiscal year.

Any or all of the items listed above may be set forth in one or a set of documents or may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which are available to the public on the MSRB website. If the document included by reference is a final official statement, it must be available from the MSRB. The District shall clearly identify in the Annual Report each such other document so included by reference.

SECTION 5. Reporting of Listed Events.

(a) The District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner and not later than ten (10) business days after the occurrence of the event:

1. Principal or interest payment delinquencies;
2. Unscheduled draws on debt service reserves reflecting financial difficulties;
3. Unscheduled draws on credit enhancements reflecting financial difficulties;
4. Substitution of credit or liquidity providers, or their failure to perform;
5. Adverse tax opinions or issuance by the Internal Revenue Service of proposed or final determination of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB);
6. Tender offers;
7. Defeasances;
8. Rating changes; or
9. Bankruptcy, insolvency, receivership or similar event of the obligated person.

Note: For the purposes of the event identified in subparagraph (9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

(b) The District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material, in a timely manner and not later than ten (10) business days after the occurrence of the event:

1. Unless described in paragraph 5(a)(5), other material notices or determinations by the Internal Revenue Service with respect to the tax status of the Bonds or other material events affecting the tax status of the Bonds;
2. Modifications to rights of Bond holders;
3. Optional, unscheduled or contingent Bond calls;
4. Release, substitution, or sale of property securing repayment of the Bonds;
5. Non-payment related defaults;

6. The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms; or

7. Appointment of a successor or additional paying agent or the change of name of a paying agent.

(c) The District shall give, or cause to be given, in a timely manner, notice of a failure to provide the annual financial information on or before the date specified in Section 3, as provided in Section 3(b).

(d) Whenever the District obtains knowledge of the occurrence of a Listed Event described in Section 5(b), the District shall determine if such event would be material under applicable federal securities laws.

(e) If the District learns of the occurrence of a Listed Event described in Section 5(a) above, or determines that knowledge of a Listed Event described in Section 5(b) would be material under applicable federal securities laws, the District shall within ten (10) business days of occurrence file a notice of such occurrence with the MSRB in electronic format, accompanied by such identifying information as is prescribed by the MSRB. Notwithstanding the foregoing, notice of the Listed Event described in subsection (b)(3) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Bonds pursuant to the Paying Agent Agreement.

SECTION 6. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 5(e).

SECTION 7. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the District pursuant to this Disclosure Certificate. The initial Dissemination Agent shall be Eastshore Consulting, LLC.

SECTION 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

(a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, 5(a), (b), (d), or (e), or this Section 8(a), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;

(b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Holders or Beneficial Owners of the Bonds.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5(e), and (ii) the Annual Report for

the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate any Holder or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate; provided that any such action may be instituted only in Superior Court of the State of California in and for the County of San Mateo or in U.S. District Court in or nearest to the County. A default under this Disclosure Certificate shall not be deemed an Event of Default under the Paying Agent Agreement, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

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SECTION 11. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriter and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Date: _____, 2018.

RAVENSWOOD CITY SCHOOL DISTRICT

By _____
Superintendent

EASTSHORE CONSULTING, LLC, as Dissemination Agent

By _____
Principal

CONTINUING DISCLOSURE EXHIBIT A

**FORM OF NOTICE TO THE MUNICIPAL SECURITIES RULEMAKING BOARD
OF FAILURE TO FILE ANNUAL REPORT**

Name of District: RAVENSWOOD CITY SCHOOL DISTRICT

Name of Bond Issue: RAVENSWOOD CITY SCHOOL DISTRICT
GENERAL OBLIGATION BONDS, ELECTION OF 2016, SERIES 2018

Date of Issuance: _____, 2018

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect to the above-named Bonds as required by Section 3 of the Continuing Disclosure Certificate of the District, dated the Date of Issuance. [The District anticipates that the Annual Report will be filed by _____.]

Dated: _____

RAVENSWOOD CITY SCHOOL DISTRICT

By _____ [to be signed only if filed]

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APPENDIX E

SAN MATEO COUNTY INVESTMENT POLICY AND DESCRIPTION OF INVESTMENT POOL

The following information has been furnished by the Office of the Treasurer-Tax Collector, County of San Mateo. Neither the District, the Municipal Advisor, nor the Underwriter can make any representations regarding the accuracy and completeness of the information. It describes (i) the policies applicable to investment of District funds, including bond proceeds and tax levies, and funds of other agencies held by the County Treasurer and (ii) the composition, carrying amount, market value and other information relating to the investment pool. Further information may be obtained directly from the Treasurer-Tax Collector, 555 County Center, 1st Floor, Redwood City, California 94063.

The Board of Supervisors (the “Board”) of the County adopted its 2017 investment policy statement (the “County Investment Policy”) on February 28, 2017. State law requires the Board to approve any changes to the investment policy.

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SAN MATEO COUNTY

Investment Policy Statement

Calendar Year 2017

*Approved by the
San Mateo County Board of Supervisors
Date: February 28, 2017
Resolution: 075068*

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SAN MATEO COUNTY

Investment Policy Statement

Calendar Year 2017

I. Introduction

It is the policy of the San Mateo County Treasurer to invest public funds in a manner which will provide maximum security of principal invested with secondary emphasis on providing adequate liquidity to pool participants, achieving the highest yield while conforming to all applicable statutes and resolutions governing the investment of public funds.

To meet liquidity and long term investing needs, the County has established the County Investment Pool. This fund is suitable for planned expenditures or capital funds.

II. Delegation of Authority

By Resolution #075067, approved on February 28, 2017, the County Board of Supervisors has delegated to the Treasurer authority to invest and reinvest the funds of the County and other depositors as specified in California Government Code Sections §27000.1 and §53607 for the period calendar year 2017. The Treasurer may delegate investment authority to such persons within the Treasurer's Department as deemed appropriate.

III. Policy Statement

This Investment Policy establishes cash management and investment guidelines for the Treasurer, and those to whom he/she delegates investment authority, who are responsible for the stewardship of the San Mateo County Pooled Investment Fund. Each transaction and the entire portfolio must comply with California Government Code and this Policy. All portfolio activities will be monitored and judged by the standards of this Policy and its investment objectives. Activities that violate its spirit and intent will be considered contrary to policy.

The Treasurer will annually render to the Board of Supervisors and any Oversight Committee a statement of investment policy, which the Board shall review and approve at a public meeting. Any change in the policy shall also be reviewed and approved by the Board at a public meeting.

IV. Standard of Care

The Treasurer is a fiduciary of the pooled investment fund and therefore subject to the prudent investor standard. The Treasurer, employees involved in the investment process and members of the San Mateo County Treasury Oversight Committee shall refrain from all personal business activities that could conflict with the management of the investment program.

All individuals involved will be required to report all gifts and income in accordance with California state law. (See Section XXI)

When investing, reinvesting, purchasing, acquiring, exchanging, selling and managing public funds, the Treasurer, and those to whom he/she delegates investment authority, shall act with due professional care, skill, prudence and diligence taking into consideration circumstances then prevailing, including, but limited to, general economic conditions and anticipated needs of the County and other depositors. This should be accomplished with the care that a prudent person acting in a like capacity would use to safeguard the principal and maintain the liquidity needs of the County and other depositors.

As outlined in the California Government Code Section §27000.3, the standard of prudence to be used by the County investment officers shall be the “prudent investor” standard and shall be applied in the context of managing the portfolio. Investment officers shall act in accordance with written procedures and the investment policy, exercise due diligence, report in a timely fashion, and implement appropriate controls for adverse development.

V. Investment Objectives

The San Mateo County Pool shall be prudently invested in order to preserve principal while earning a reasonable rate of return while awaiting application for governmental purposes. Investments should be made with precision and care considering the safety of the principal investment, as well as the income to be derived from the investment. The specific objectives for the program are ranked in order of importance:

- A. Safety of Principal** - The Treasurer shall seek to preserve principal and minimize capital losses by mitigating credit risk and market risk as follows:

Credit Risk - Defined as an issuer(s) ability and willingness to repay interest and principal. Credit risk shall be minimized by diversifying the fund among issues and issuers so that the failure of any one issue or issuer would not result in a significant loss of income or principal to participants. Credit rating evaluations for all securities are monitored on a consistent basis.

Market Risk - Defined as the risk of market value fluctuations due to changes in the general level of interest rates. Because longer-term securities generally have greater market risk than shorter-term securities; market risk will be minimized by establishing the maximum Weighted Average Maturity of the pool at three years. The maximum allowable maturity for any instrument in the pool at time of purchase is 7 years (Treasuries and Agencies only). Occasional market losses on individual securities are inevitable with active portfolio management and must be considered within the context of the overall investment return.

B. Liquidity

The Treasurer’s Office attempts to match maturities with its 15 month projected cash flow. The nature of the planning process behind the cash flow of the pool is relatively predictable and less volatile than is the case of discretionary money.

This allows leeway for some of the underlying investments in the County Pool to maintain a somewhat longer duration.

C. Yield

The County Pool is designed as an income fund to maximize the return on investable funds over various market cycles, consistent with the pool's first priority of safeguarding principal. Yield will be considered only after the basic requirements of safety and liquidity have been met. The County Pool is managed as an income fund whose purpose is to provide its investors with a reasonably predictable level of income, as opposed to a growth fund or fund measured on the basis of total return.

VI. Management Style and Strategy

This policy describes the County's strategic investment objective, risk tolerance and investment constraints. The County Treasurer or designee, at the Treasurer's discretion, prepares an economic outlook and evaluates the capital markets environment. The investment programs reflect a common strategy that is based on conservative principles of fixed income portfolio management consistently applied in a disciplined fashion.

VII. Authorized Investments

Subject to the limitations set forth in California Government Code §53600 et seq. which may be amended from time to time, the Treasurer may invest in the following instruments, subject to the limits described in the following sections. Long-term credit ratings, where shown, specify the minimum credit rating category required at time of purchase without regard to modifiers (e.g. +/- or 1,2,3) if any. As noted previously, all securities purchased shall be regularly monitored and re-evaluated should their ratings be downgraded below the minimum investment grade level required of the Pool. The Treasury Oversight Committee will be notified, within 10 days of any security downgrades that fall below the pool's investment standards and the course of action to be taken if any. In addition the information will be posted on the Treasurer's website within the same time frame. Decisions regarding the holding of, or the potential sale of, securities are based on factors such as remaining time to maturity and the need for liquidity in the Pool.

Where a percentage limitation of eligible security percentages and maximum maturity is established, for the purpose of determining investment compliance, that maximum amount will be applied on the date of trade settlement. Therefore, depending on the liquidation of other securities and the performance of other securities in the pool, the percentage of the pool of any given security or instrument could exceed the initial percentage limitations without violating the Investment Policy.

A. U.S. Treasury Securities

United States Treasury bills, notes, bond or certificates of indebtedness, for which the full faith and credit of the United States is pledged for the payment of principal and interest. The maximum maturity of U.S. Treasury Securities is 7 years.

B. U.S. Government Agency/GSE (Government Sponsored Enterprise)

Obligations, participations, or other instruments of, or issued by, a federal agency or a United States government sponsored enterprise. The maximum percent of the fund per issuer is 40%. The maximum percent of the fund for U.S. Agencies Callable Securities is 25%. U.S. Government Agency/GSE securities must be rated AA, long-term, or A-1, Short-term, or better by at least two of the three nationally recognized rating services (S&P, Moody's and Fitch). The maximum maturity for Agency Securities is 7 years.

C. Commercial Paper

At the time of purchase, commercial paper must be rated either A-1/P-1/F1 or better by at least two of the three nationally recognized rating services (S&P, Moody's and Fitch) and a long term rating of single A or better when applicable. Eligibility is limited to U.S. organized and operating corporations. Corporations must have assets in excess of \$5 Billion, and have an A rating or better on the issuer's debt other than commercial paper by at least two of the three nationally recognized rating services. Maturities may not exceed 270 days. Purchases of commercial paper will not exceed 40% of the pool's investable money.

D. Negotiable Certificates of Deposit

Negotiable certificates are negotiable money market instruments that trade on the open market. At the time of purchase, negotiable certificates of deposit must be rated either A-1/P-1/F1 or better by at least two of the three nationally recognized rating services (S&P, Moody's and Fitch) and a long term rating of single A or better when applicable. These certificates must be issued by a U.S. National or State chartered bank or state or federal association (as defined by section 5102 of the California Financial Code) or by a state licensed branch of a foreign bank. Eligible foreign banks must have branches or agencies in the U.S. Issuers must be a corporation with total assets in excess of \$5 Billion. Purchases of Negotiable Certificates of Deposit will not exceed 30% of the pool.

E. Bankers Acceptance

A Bankers Acceptance (BA) is a draft drawn and accepted by banks that is based upon funds that will pay its face value at maturity. The security is normally traded at a discounted price. Because the accepting institution is obligated to pay for the bill, a Bankers Acceptance is considered less risky than commercial paper.

At the time of purchase, BAs must be rated A-1/P-1/F1 or better by at least two of the three nationally recognized rating services (S&P, Moody's and Fitch) and a long term rating of single A or better if applicable. BAs are primarily used to finance international trade. BAs are timed drafts (bills of exchange) drawn on and accepted by a commercial bank. Issuers must be a corporation with total assets in excess of \$5 Billion. Purchases of Bankers Acceptances will not exceed 15% of the pool for domestic commercial banks and 15% of the pool for foreign commercial banks.

F. Collateralized Time Deposits

Collateralized Certificates of Deposit must comply with Bank Deposit Law. Purchases of Collateralized Certificates of Deposit will not exceed 15% of the pool.

G. Mortgage Backed Securities and Asset Backed Securities

A. Mortgage Backed Securities

The issuer of these securities must be rated "A" or higher and the issue itself must be rated "AA" or higher by at least two of the three nationally recognized rating services (S&P, Moody's and Fitch). Securities shall have a maximum remaining maturity of five years. Combined holdings of Mortgage Backed Securities and Asset Backed Securities will not exceed 20% of the pool.

The allowable types of Mortgage Backed Securities include the following:

1. U.S. Government Agency Mortgage pass-through securities.
2. Collateralized Mortgage Obligations (CMO) where the underlying mortgages have U.S. government backing.

B. Asset Backed Securities

The issuer of these securities must be rated "AAA" by at least two of the three nationally recognized rating services (S&P, Moody's and Fitch). Securities shall have a maximum remaining maturity of five years. Combined holdings of Asset Backed Securities and Mortgage backed Securities will not exceed 20% of the pool.

The allowable types of Asset Backed Securities include the following:

1. Equipment lease back certificates.
2. Consumer receivable backed bonds.
3. Auto loan receivable backed bonds.

H. Corporate Securities

The maximum maturity for corporate securities is five years. Eligible securities shall be issued by corporations organized and operating within the United States or by depository institutions licensed by the United States or any state and operating within the United States. At the time of purchase, corporate securities must be rated A or better by at least two of the three nationally recognized rating services (S&P, Moody's and Fitch). Securities in this classification must be dollar

denominated and registered with the Securities and Exchange Commission and be publicly traded or at least have undergone shelf registration. If a security is owned and downgraded below the pool's investment standards, the Treasury Oversight Committee will be notified within 10 days of any security downgrades that fall below the pool's investment standards and the course of action to be taken if any. In addition, the information will be posted on the Treasurer's website within the same time frame.

Purchases of Corporate Securities shall not exceed 30% of the pool. At the time of purchase a maximum of 25% of the entire core position of 30% can be rated single A by at least two of the three nationally recognized rating services (S&P, Moody's and Fitch). The remaining 75% must be AA rated or higher. For purposes of determining compliance with this requirement, a security's rating will be determined by its highest rating by either S&P, Moody's, or Fitch. There is a 5% limitation of the fund in any single issuer of Money Market/Corporate Securities, however, the Pool has a target of holding no more than 3%. The 3% target may be exceeded under exceptional circumstances. (i.e.: peak tax collection periods, G.O. Bond issuances, etc.) when there is a large influx of cash.

I. US Instrumentalities

United States dollar denominated senior unsecured, unsubordinated obligations issued or unconditionally guaranteed by the International Bank for Reconstruction and Development, International Finance Corporation, or Inter-American Development Bank, with a maximum maturity of five years or less, and eligible for purchase and sale within the United States. Investments under this subdivision shall be rated "AA" or higher by at least two of the three nationally recognized rating services (S&P, Moody's and Fitch). Purchases of US Instrumentalities are not to exceed 30% of the pool.

J. CA Municipal Obligations

Registered state warrants or municipal notes or bonds of this state, including bonds payable solely out of the revenues from a revenue-producing property owned, controlled, or operated by the state or by a department, board, agency, or authority of the state. Investments under this subdivision shall be rated "AA" or higher by at least two of the three nationally recognized rating services (S&P, Moody's and Fitch). Such investments shall have a maximum security of five years or less, and shall not exceed 30% of the pool, 5% per issuer. The foregoing investments shall be limited to the General Obligation (GO) bonds, Tax & Revenue Anticipations Notes (TRANS), or other debt, which is issued by the state of California, the University of California Regents or the California State University Regents.

K. Repurchase Agreements

Repurchase Agreements must be executed with dealers with whom the County has written agreements and are either banking institutions that meet the rating requirements of this policy or dealers who report to the Market Reports Division of the Federal Reserve Bank of N.Y. (Primary Dealers). All transactions must be

collateralized at 102% of current value plus accrued interest and must be marked to market daily. The only acceptable collateral for these transactions include Treasuries or Agencies with a maximum maturity of seven years.

For purposes of this authorized investments section, the term “Repurchase Agreement” means a purchase of a security by the County pursuant to an agreement by which the seller will repurchase the securities on or before a specified date and for a specified dollar amount and will deliver the underlying securities to the County by book entry. All County pool transactions are conducted through the County custodian on a payment vs. delivery basis. When the transaction is unwound, the transfer of the underlying securities will revert to the counter party’s bank account by book entry. The term “Counter party” means the other party to the transaction with the County. The Counter Party, or its parent, must have a short-term rating of A-1, P-1 or F1 by at least two of the three nationally recognized rating services (S&P, Moody’s and Fitch). The maximum allowable term of a repurchase agreement shall not exceed 92 days.

L. Local Agency Investment Fund (LAIF)

The Local Agency Investment Fund (LAIF) is an investment fund run by the Treasurer of the State of California to pool local agency monies. LAIF will be used as a comparative fund to the County’s pool. The maximum percent of the fund that can be invested is up to the current State limit.

M. Mutual Funds

Shares of beneficial interest issued by diversified management companies as defined in Government Code Section § 53601. Purchases of Mutual Funds will not exceed 10% of the pool.

N. Local Government Investment Pools (LGIPs)

Shares of beneficial interest issued by a joint power’s authority organized pursuant to Section 6509.7 that invests in the securities and obligations authorized by the Government Code. Each share shall represent an equal proportional interest in the underlying pool of securities owned by the joint powers authority. Purchases are limited to LGIPs that seek to maintain a stable share price and will not exceed 10% of the pool, 5% aggregate.

VIII. Security Lending

Security Lending is a temporary exchange of portfolio assets for acceptable collateral between a lender and an approved borrower. The additional income generated from this transaction can be used to enhance portfolio performance. This process can be summarized in three key steps:

- A. The Security Lending agent lends securities from our portfolio to an approved borrower at a negotiated rate. The negotiated rate is dependent upon the level of demand for the securities.
- B. The Security Lending agent invests the cash collateral in highly liquid, short duration, high credit quality instruments approved by our investment policy.
- C. The earnings generated net of rebates from these transactions are split between the third party agent and the County based on the contract agreement.

Our contract with The Bank of New York requires daily reporting of the securities borrowed, the borrowers, and the short term investments made with the collateral. The County retains the right to recall securities at any given time; cutoffs are 9:30 a.m. eastern standard time for same day recalls of treasuries/agencies and 1:30 p.m. eastern standard time on trade date for corporates. We also require acknowledgement of the County Investment Policy, and check the adherence to that policy daily.

All securities purchased with any funds received as a result of such lending shall be regularly monitored and re-evaluated. Should their ratings fall below the pool's investment standards, the Treasury Oversight Committee will be notified within 10 days of any security downgrades that fall below the pool's investment standards and the course of action if any. In addition the information will be posted on the Treasurer's website within the same time frame.

Additionally, the percentage of the Fund's market value in any one issuer's securities shall be regularly monitored and the Treasury Oversight Committee will be notified within 10 days, and the information posted on the Treasurer's website, of any instances where the percentage of the Fund's market value in any one issuer's securities exceeds the percentage limitations set forth herein or where there is any change in diversification and the course of action, if any.

There are always risks in any financial transaction. The three most common risks in Security Lending are as follows:

- A. Borrower Default Risk – Although rare, a borrower may not return a security in a timely manner. To protect against this risk, we require 102% cash collateral, which is marked to market and monitored daily. In the event of borrower default, the Security Lending agent is responsible for replacing the securities or providing the cash value of the securities. In other words, The Bank of New York indemnifies the County of San Mateo against borrower default.
- B. Collateral Investment Risk – The value of the securities in which we invest the cash collateral may decline due to fluctuations in interest rates or other market related events. This risk is controlled by investing in a huge investment pool with highly liquid short duration, high credit quality instruments identified in this investment policy.
- C. Operational Risks – critical operations, such as maintaining the value of the collateral, collecting interest and dividend payments are essential to a smooth

running Security Lending operation. Operational risks are the responsibility of the Security Lending agent. We further mitigate this risk by reviewing all transactions and collateral requirements on a daily basis.

Schedule 1 – Securities Lending

Securities Loans

- No more than 5% of the Pool can be on loan to any single counterparty.
- A single loan shall not exceed 3% of the total portfolio.
- The maximum maturity of a securities loan shall not exceed 92 days.

Collateral

Acceptable Collateral

U.S. Treasuries and Agencies and cash

Collateral Investment

The only authorized investments are shown in the following table. No floating or reset notes are permitted.

“Fund” means actual market value of all securities lending collateral.

INSTRUMENT	RATING	-----	LIMITATIONS	-----
		% of Fund	% of Fund per Issuer	Maturity
U.S. Treasury Obligations		100	100%	1 year
Obligations of U.S. Agencies or government sponsored enterprises	AA or A-1	100	40% per issuer	1 year
Repurchase agreements secured by U.S. Treasury or agency obligation (102% collateral)	A-1	100	50%	overnight
Bankers Acceptances	A-1 / P-1 / F1	15	5% Aggregate	180 days
Domestic Foreign		15	5% Aggregate	180 days
Commercial paper	A-1 / P-1 / F1	40	5% Aggregate	270 days or less

Other

Agent Qualifications

The only acceptable Agent is the Pool's custodian bank.

Contract Provisions

The Agent must indemnify the Pool against borrower default.

The Agent must acknowledge and accept the Policy in writing. A copy of this acceptance will be attached to future policies.

The Agent must submit monthly reports showing securities out on loan (terms and borrowers), defaults, earnings, and the percent by sector of Pool assets out on loan as well as information on the collateral investments (including market values, income and realized and unrealized gains and losses).

Oversight

The Treasurer shall include copies of the Agent's most recent report with his reports to the Treasury Oversight Committee.

IX. Community Reinvestment Act Program

- A. This policy sets aside up to \$5 million dollars for investment in banks whose primary operations are located in San Mateo County. Investments from this fund must meet the requirements of this investment policy. Eligible banks must have Community Reinvestment Act performance ratings of "satisfactory" or "outstanding" from each financial institution's regulatory authority. In addition, deposits greater than the federally-insured amount must be collateralized. Banks must place securities worth between 110% and 150% of the value of the deposit with a custodial bank.

X. Diversification and Maturity Restrictions

It is the policy of the Treasurer to diversify the Fund's portfolios. Investments are diversified to minimize the risk of loss resulting in over concentration of assets in a specific maturity, specific issuer or a specific class of securities. Diversification strategies shall be established by the Treasurer and Assistant Treasurer.

INSTRUMENT	RATING	% of Fund	LIMITATIONS % of Fund per Issuer	Maturity
U.S. Treasury Obligations		100%	100%	7 years
Obligations of U.S. Agencies or government sponsored enterprises	AA or A-1	100%	40%	7 years
U.S. Agencies Callables	AA		25%	7 years
Commercial paper (two agencies)	A-1/P-1/ F1	40%	5% Aggregate	270 days or less
Negotiable Certificates of Deposit (\$5 billion minimum assets) (two agencies)	A-1/P-1/ F1	30%	5% Aggregate	5 years
Bankers Acceptances *Domestic: (\$5 billion minimum assets) *Foreign: (\$5 billion minimum assets) (two agencies)	A-1 / P-1/ F1	15% 15%	5% Aggregate 5% Aggregate	180 days 180 days

INSTRUMENT	RATING	% of Fund	LIMITATIONS % of Fund per Issuer	Maturity
Collateralized Time Deposits within the state of CALIFORNIA	A-1/P-1/ F1	15%	5% Aggregate	1 year
Mortgage Backed Securities/CMO's: No Inverse Floaters No Range Notes No Interest only strips derived from a pool of Mortgages	A (issuer rated) AA (issue rated)	20% Combined total	5% Aggregate	5 Years
Asset Backed Securities	AAA		5% Aggregate	5 Years
Corporate bonds, Medium Term Notes & Covered Bonds (two agencies)	AA/A A	30% 25% of the 30% above	5% Aggregate	5 years
US Instrumentalities	AA	30%		5 Years
CA Municipal Obligations	AA	30%	5% Aggregate	5 Years
Repurchase Agreements secured by U.S. Treasury or agency obligation (102% collateral)	A-1	100%	See limitations for Treasuries and Agencies above	92 days
Local Agency Investment Fund (LAIF)			Up to the current state limit	
Shares of beneficial interest issued by diversified management companies as defined in Government Code Section§ 53601(Mutual Funds)	Money Market A-1/P-1	10%	5% Aggregate	
Local Government Investment Pools (LGIPs)		10%	5% Aggregate	

XI. Average Life

The maximum dollar weighted average maturity of the fund will be 3 years. The focus of this fund is in order of priority: preservation of principal, liquidity and then yield. The policy of maintaining a maximum dollar weighted maturity or weighted average maturity (WAM) of 3

years leaves open the flexibility to take advantage of interest rate trends to maximize the return on investment. The imposed maximum 3 year average maturity limits the market risk to levels appropriate to a short, intermediate income fund. The word "Maturity" refers to the instrument's stated legal final redemption date - not coupon reset, put or call dates.

Securities purchased specifically to match the maturity of a bond issue and/or a contractual arrangement must be authorized by California Government Code §53601 and §53635 but are not included in the requirements listed above. Such securities shall be clearly designated in the appropriate investment journals and reports.

XII. Prohibited Transactions

At the time of purchase, all permitted investments shall conform in all respects with this Investment Policy and with California Government Code Sections §53601, §53601.1, §53601.2, §53601.6, and §53635, as may be amended from time to time. No investment prohibited by California Government Code shall be permitted herein.

Any investment transactions, credit risk criterion, percentage limitations or market valuation that are not in compliance with this Investment Policy **at time of purchase** must be documented and approved by the Treasurer in writing. Thereafter, action shall be taken by the Treasurer to correct such matter as soon as practical. If a percentage restriction is adhered to at the time of purchase, a later increase or decrease in percentage resulting from a change in values or assets will not constitute a violation of that restriction.

The Treasurer shall not leverage the County pool through any borrowing collateralized or otherwise secured by cash or securities held unless authorized by this investment policy.

Security Lending is authorized by this policy and will be limited to a maximum of 20% of the portfolio.

The following transactions are prohibited:

- A.** Borrowing for investment purposes ("Leverage")
- B.** Inverse floaters, leveraged floaters, equity-linked securities, event-linked securities, structured investment vehicles (SIV)

Simple "floating rate notes" whose periodic coupon adjustment is based on a short-term (one-year or less) rate index (such as Treasury bills, federal funds, prime rate or LIBOR) and which have a reasonable expectation of maintaining a value at par at each interest rate adjustment through final maturity, are exempt from this definition. Additionally, U.S. Treasury and Agency zero coupon bonds, U.S. Treasury and Agency strips, Resolution Funding Corporation (REFCORP) strips or other callable securities which otherwise meet quality, maturity and percent limitations assigned to their respective security category, are exempt from this section.

- C. Derivatives (e.g. swaptions, spreads, straddles, caps, floors, collars, etc.) shall be prohibited.
- D. Trading of options and futures are prohibited.

XIII. Method of Accounting:

- A. For earnings calculations, investments will be carried at original purchase cost (plus purchased accrued interest, if applicable). Premiums or discounts acquired in the purchase of securities will be amortized or accreted over the life of the respective securities. For GASB purposes, investments will be carried at cost and marked to market.
- B. Gains or losses from investment sales will be credited or charged to investment income at the time of sale. All interest income, gains/ losses are posted quarterly.
- C. Premiums paid for callable securities will be amortized to the 1st call date after purchase.
- D. Purchased accrued interest will be capitalized until the first interest payment is received. Upon receipt of the first interest payment, the funds will be used to reduce the investment to its principal cost with the remaining balance credited to investment income.
- E. Yield is calculated on an accrual basis using a 365-day calendar year. Earnings are calculated as follows:

$$\frac{(\text{Earnings}^* + \text{Capital Gains}) - (\text{Fees} + \text{Amortized Premiums} + \text{Capital Losses})}{\text{Average Daily Pool Balance}}$$

* Earnings equal net interest payments + accrued interest + accreted discounts.

- F. Effective July 1, 2014, the 3-pool accounting methodology will be eliminated. The County Pool will be operated as a single investment pool. Banking and reporting services required by a participant will be charged directly to the participant. All participants will be charged an administrative fee.
- G. The administrative fee is 10.5 basis points effective July 1, 2016 and will be evaluated annually

XIV. Safekeeping

All deliverable security transactions, including collateral for repurchase agreements, entered into by the Treasurer shall be conducted on a Delivery-versus-Payment basis (DVP)

All deliverable securities shall be held by a third party custodian designated by the Treasurer. The third party custodian shall be required to issue a safekeeping statement to the Treasurer listing the specific instrument, rate, maturity and other pertinent information.

XV. Performance Evaluation

The Treasurer shall submit monthly, quarterly and annual reports, in compliance with Government Code Sections §53607, §53646 and §27134, to the Treasury Oversight Committee, Pool participants and the Board of Supervisors. These reports shall contain sufficient information to permit an informed outside reader to evaluate the performance of the investment program and shall be in compliance with Government Code. This includes the type of investments, name of issuer, maturity date, par and dollar amount of the investment. For the total Pooled Investment Fund, the report will list average maturity, the market value and the pricing source. Additionally, the report will show any funds under the management of contracting parties, a statement of compliance to the Policy and a statement of the Pooled Investments Fund's ability to meet the expected expenditure requirements for the next 6 months. In accordance with GASB Statements 31 and 40, the Treasurer shall provide financial information on the treasury for the County's Comprehensive Annual Financial Report.

XVI. Withdrawal Requests for Pool Participants

- A. Any request to withdraw funds shall be released at no more than 12.5% per month, based on the month-end balance of the prior month.
- B. April and December current secured tax apportionments and property tax revenue which had previously been distributed to redevelopment agencies prior to their dissolution, and which, effective February 1, 2012, are distributed to Redevelopment Property Tax Trust Funds will be exempt from the 12.5% withdrawal rule, however, these apportionments must be withdrawn in the same month they are received or they will be subjected to the 12.5% withdrawal rule.
- C. Any additional withdrawal requests will be considered on a case-by-case basis.
- D. All requests for withdrawals must first be made in writing to the Treasurer, at a minimum, 24 hours in advance.

In accordance with the California Government Code § 27136 et seq, and 27133 (h) et seq, these requests are subject to the Treasurer's consideration of the stability and predictability of the pooled investment fund, or the adverse effect on the interests of the other depositors in the pooled investment fund.

XVII. Internal Controls

The County Treasurer shall establish internal controls to provide reasonable assurance that the investment objectives are met and to ensure that the assets are protected from loss, theft, or misuse. The County Treasurer shall also be responsible for ensuring that all investment transactions comply with the County's investment policy and the California Government Code.

The County Treasurer shall establish a process for daily, monthly, quarterly and annual review and monitoring of investment program activity.

Daily, the County Treasurer or authorized treasury personnel shall review the investment activity, as well as corresponding custodial and commercial bank balances and positions for compliance with the investment policy and guidelines. The County Controller's Office shall conduct an annual audit of the investment program's activities. It is to be conducted to determine compliance with the County's investment policy and the Government Code. The audit shall be conducted by staff with experience in auditing large, complex investment programs consistent with industry standards as promulgated by the Global Investment Performance Standards (GIPS) adopted by the CFA Institute Board of Governors.

A. Investment Authority and Responsibility

The responsibility for conducting the County's investment program resides with the Treasurer, who supervises the investment program within the guidelines set forth in this policy. The Treasurer may delegate the authority for day-to-day investment activity to the Assistant Treasurer.

B. County Treasury Oversight Committee

The Board of Supervisors, in consultation with the Treasurer, hereby establishes the County Treasury Oversight Committee pursuant to California Government Code § 27130 et seq. Members of the County Treasury Oversight Committee shall be selected pursuant to California Government Code §27131. The Treasury Oversight Committee will meet at least three times a year to evaluate general strategies and to monitor results and shall include in its discussions the economic outlook, portfolio diversification, maturity structure and potential risks to the County pool's funds. All actions taken by the Treasury Oversight Committee are governed by rules set out in § 27131 et seq. of the California Government Code.

Members of the County Treasury Oversight Committee must pay particular attention to the California Government Code § 27132.1, 27132.2, 27132.3 and 27132.4, which read as follows:

27132.1 A member may not be employed by an entity that has (a) contributed to the campaign of a candidate for the office of local treasurer, or (b) contributed to the campaign of a candidate to be a member of a legislative body of any local agency that has deposited funds in the county treasury, in the previous three years or during the period that the employee is a member of the committee.

27132.2 A member may not directly or indirectly raise money for a candidate for local treasurer or a member of the governing board of any local agency that has deposited funds in the county treasury while a member of the committee.

27132.3 A member may not secure employment with bond underwriters, bond counsel, security brokerages or dealers, or with financial services firms, with whom the Treasurer is doing business during the period that the person is a member of the committee or for one year after leaving the committee.

27132.4 Committee meetings shall be open to the public and subject to the Ralph M. Brown Act (chapter 9 (commencing with section 54950) of Part 1 of Division 2 of Title 5).

C. Reporting

The Treasurer will prepare a monthly report for the County pool participants and members of the County Treasury Oversight Committee stating, for each investment: the type of investment, name of the issuer, maturity date, par value of the investment, current market value and the securities S&P/Moody's rating. For the total pooled investment fund, the report will list average maturity, effective duration, cost, the current market value, net gains/losses and the sector and issuer concentrations. In addition, the report will break down distribution by maturities, coupon, duration and both S&P/Moody's ratings. The Treasurer shall prepare a monthly cash flow report which sets forth projections for revenue inflows, and interest earnings as compared to the projections for the operating and capital outflows of depositors. This projection shall be for a minimum of 12 months. All Reports will be available on the County Treasurer's website at www.sanmateocountytreasurer.org

D. Annual Audit of Compliance

The County Treasury Oversight Committee shall cause an annual audit to be conducted of the portfolio, procedures, reports and operations related to the County pool in compliance with the California Government Code § 27134.

E. Pool Rating

The Pool strives to maintain the highest credit rating at all times. Annually, a contract may be requested for a rating from one of the three leading nationally recognized credit rating organizations (S&P, Moody's or Fitch).

F. External Investment Advisor

An external investment advisor will be contracted to conduct independent monthly compliance reviews of the County's portfolio holdings and provide a monthly written report which will:

1. Verify the accuracy of holdings information
2. Provide summary level information about the portfolio
3. Verify compliance with California Government Code
4. Verify compliance with the County's written Investment Policy
5. List any exceptions or discrepancies identified

G. Loss Control

While this Investment Policy is based on "the Prudent Investor Rule", the Treasurer shall seek to enhance total portfolio return by means of actively managing the portfolio. In any professionally managed portfolio, occasional controlled losses are inevitable and must be realized and judged within the context of overall portfolio performance. Losses shall be allocated as otherwise described in this policy in section XIII, entitled "Method of Accounting".

H. Credit Quality

Should any investment or financial institution represented in the portfolio, be downgraded by any of the major rating services to a rating below those established in this investment policy, the Treasurer must immediately make an informed decision as to the disposition of that asset and will so advise the County Treasury Oversight Committee. The situation will be monitored daily by the Treasurer until final disposition has been made.

I. Approved Brokers

The Treasurer will maintain a current list of Approved Brokers and Dealers who may conduct business with the County. All financial institutions on the approved list will be evaluated individually, with preference given to primary dealers, who possess a strong capital and credit base appropriate to their operations. The Treasurer will forward a copy of the County Investment Policy to all approved brokers and require written acknowledgment of the policy from the broker.

No broker, brokerage, dealer or securities firm is allowed on the approved list if, within any consecutive 48-month period, they have made a political contribution in an amount exceeding the limitations contained in Rule G-37 of the Municipal Securities Rulemaking Board, to the local Treasurer, any member of the governing board of the local agency or any candidate for those offices.

J. Transaction Settlement

Payment of settlement in a securities transaction will be against delivery only. A due bill or other substitution will not be acceptable. All securities purchased from the brokers/dealers must be held in safekeeping by the County's safekeeping agent or designated third party.

K. Internal Controls

The Treasurer has established a system of controls designed to prevent losses of pooled funds due to fraud, employee error, and misrepresentations by third parties, and unanticipated changes in financial markets or imprudent actions by employees of the County. The controls include:

1. Procedures for investment activity which includes separation of duties for transaction authority, accounting and operations and requires clear documentation of activity.
2. Custodial safekeeping as prescribed in California Government Code § 53601.
3. Independent audit, both external and internal.
4. Clear delegation of authority.
5. Written confirmations of all telephone transactions.
6. Establishment of written ethical standards and rules of behavior.

XVIII. Execution of Investment Authority

- A.** All transactions are documented as to date, time and vendor, signed by the originator and include the following information:
1. Buy or sell
 2. Specific description of security involved (CUSIP)
 3. Settlement date
 4. Price
 5. The total amount of funds involved
 6. On non-treasury or agency transactions a notation will be made on the transaction ticket of competitive bids and offers
 7. Broker/dealer
- B.** Information in “A” must be provided to the Investment Specialist for the following purpose:
1. To contact the dealer to verify the information on the trade with the dealer’s instructions. Any misunderstanding must be clarified prior to settlement.
 2. To provide the County’s custodian bank with the specifics of the pending transaction to assure a smooth settlement.
 3. To compare with the daily custodian transaction report to assure there are no errors.
 4. To generate the internal entries necessary for the movement of funds to complete the transaction.
 5. To compare with the broker’s confirmations when received.
- C.** At the end of each day, the Investment Specialist summarizes all of the current day transactions in a “Daily Cash Flow Report” available immediately the following morning. This report includes:
1. A summary of all the day’s investment transaction
 2. A listing of the day’s incoming and outgoing wires
 3. A listing of the day’s state automatics and other deposits received
 4. If the pool has “Repos” out, the current earnings rate statement
 5. An estimate of the total anticipated clearings for the day
- D.** A best effort will be made to obtain a minimum of three prices from different brokers before executing a security transaction whenever possible. Exceptions will occur with Treasuries. In those cases the Bloomberg screen will be printed as close to the actual executed price as possible. In the case of money market, agencies or corporate securities, a best effort will be made to obtain differential bids and offers.
- E.** Repurchase Agreements All Repurchase Agreements with approved dealers will be governed by a Public Securities Association (PSA) agreement that has been approved in writing by the Treasurer.

- F. Confirmations resulting from securities purchased or sold under a Repurchase Agreement shall state the exact and complete nomenclature of the underlying securities bought or sold, as well as the term structure (i.e. maturity) of the transaction.
- G. Securities on loan and their corresponding investments under the County Security Lending Program must be monitored daily by the Investment Specialist to assure the Assistant Treasurer has a list of those securities that are out on loan. Interest earned will be monitored daily and compared to the monthly report of earnings by the custodial bank.
- H. The assets of the County shall be held in safekeeping by the County's safekeeping agent, or secured through third-party custody and safekeeping procedures. A due bill or other substitution will not be acceptable.
- I. Safekeeping procedures shall be reviewed annually by the Treasurer's office and an external auditor. Surprise audits of safekeeping and custodial procedures must be conducted at least once a year.
- J. Security Lending: The custodial bank may be authorized to lend out up to 20% of the portfolio within the guidelines of this policy. Guidelines for securities lending and the investment of collateral are attached to this policy as Schedule 1. Securities on loan must be monitored daily by the Treasurer's office to assure that the Treasurer has a list of those securities that are out on loan. Interest earned will be monitored daily and compared to the monthly report of earnings by the custodial bank.
- K. Voluntary Participants will be accepted for participation in the San Mateo County Pooled Fund if they meet the following requirements:
 - 1. A public agency
 - 2. Domiciled in the County of San Mateo.
 - 3. Agree to abide by the approved San Mateo County Pooled Fund Investment Policy Statement.
 - 4. Acknowledge changes to the policy annually in writing and meet the minimum balance requirements (250K).
- L. Agencies whose jurisdiction includes San Mateo County, but are not domiciled in San Mateo County, may participate in the San Mateo County Pooled Fund with the approval of the Treasurer and the County Treasury Oversight Committee.

XIX. Disaster Recovery

The San Mateo County Treasurer's Disaster Recovery Plan includes critical phone numbers and addresses of key personnel as well as active bankers and brokers/dealers. Portable devices have been issued to key personnel for communicating between staff, banks and broker/dealers. The plan includes an offsite location to be communicated at the time of readiness if our offices are uninhabitable.

In the event investment staff is unable to invest the portfolio, the custodial bank will automatically sweep all un-invested cash into a collateralized account at the end of the business day. Union Bank is currently the pools bank.

Should this guarantee program not be extended, a collateralized account will be set up. Until normal operations of the Treasurer's office have been restored, the limitations on the size of an individual issuer and the percentage restrictions by investment type would be allowed to exceed those approved in this Investment Policy.

XX. Ethics and Conflict of Interest

The Treasurer and all investment personnel shall refrain from personal business activity which could create a conflict with proper execution of the investment program or which could impair the ability to execute impartial investment decisions. The Treasurer and all investment personnel shall disclose to the Treasury Oversight Committee any material financial interests in financial institutions which conduct business with San Mateo County and shall disclose any material financial investment positions which could be related in a conflicting manner to the performance of San Mateo County's investment portfolio.

XXI. Limits on Honoraria, Gifts and Gratuities

In accordance with California Government Code Section 27133, this policy establishes limits for the Treasurer; individuals responsible for management of the portfolios; and members of the Treasury Oversight Committee; select individual investment advisors and broker/dealers who conduct day-to-day investment trading activity.

Any individual who receives an aggregate total of gifts, honoraria and gratuities in excess of \$50 in a calendar year from a broker/dealer, bank or service provider to the Pooled Investment Fund must report the gifts, dates and firms to the designated filing official and complete the appropriate State forms.

No individual designated in a conflict of interest code may receive aggregate gifts, honoraria and gratuities in a calendar year in excess of the amount specified in Section 18940.2(a) of Title 2, Division 6 of the California Code of Regulations. Gifts from a single source are subject to a \$420 limit. Any violation must be reported to the State Fair Political Practices Commission.

Comparison and Interpretation of Credit Ratings¹

Long Term Debt Ratings

Rating Interpretation	Moody's	Standard & Poor's	Fitch
Best-Quality grade	Aaa	AAA	AAA
High-Quality Grade	Aa1 Aa2 Aa3	AA+ AA AA-	AA+ AA AA-
Upper Medium Grade	A1	A+	A+

	A2 A3	A A-	A A-
Medium Grade	Baa1 Baa2 Baa3	BBB+ BBB BBB-	BBB+ BBB BBB-
Speculative Grade	Ba1 Ba2 Ba3	BB+ BB BB-	BB+ BB BB-
Low Grade	B1 B2 B3	B+ B B-	B+ B B-
Poor Grade to Default	Caa	CCC+	CCC
In Poor Standing	- -	CCC CCC-	- -
Highly Speculative Default	Ca C	CC -	CC -
Default	- - -	- - D	DDD DD D

Short Term/Commercial Paper Investment Grade Ratings

Rating Interpretation	Moody's	Standard & Poor's	Fitch
Superior Capacity	P-1	A-1+/A-1	F1+/F1
Strong Capacity	P-2	A-2	F2
Acceptable Capacity	P-3	A-3	F3

¹ These are general credit rating guidelines and are for information only

GLOSSARY OF TERMS

ACCRUED INTEREST

Interest that has accumulated but has not yet been paid from the most recent interest payment date or issue date to a certain date.

ASSET-BACKED SECURITIES (ABS)

A financial security backed by a loan, lease or receivables against assets other than real estate and mortgage-backed securities. For investors, asset-backed securities are an alternative to investing in corporate debt.

AVERAGE LIFE

The length of time the principal of a debt issue is expected to be outstanding. The average life is an average period before a debt is repaid through amortization or sinking fund payments.

BANKERS' ACCEPTANCE

A time bill of exchange drawn on and accepted by a commercial bank to finance the exchange of goods. When a bank "accepts" such a bill, the time draft becomes, in effect, a predated, certified check payable to the bearer at some future specified date. Little risk is involved for the investor because the commercial bank assumes primary liability once the draft is accepted.

BASIS POINT

One basis point is equal to 1/100 of one percent. For example, if interest rates increase from 4.25% to 4.50%, the difference is referred to as a 25-basis-point increase.

BENCHMARK

A comparative base for measuring the performance or risk tolerance of the investment portfolio. A benchmark should represent a close correlation to the level of risk and the average duration of the portfolio's investments.

BID

The price at which a buyer offers to buy a security.

BOND

A bond is essentially a loan made by an investor to a division of the government, a government agency or a corporation. The bond is a promissory note to repay the loan in full at the end of a fixed time period. The date on which the principal must be repaid is called the maturity date or maturity. In addition, the issuer of the bond, that is, the agency or corporation receiving the loan proceeds and issuing the promissory note, agrees to make regular payments of interest at a rate initially stated on the bond. Bonds are rated according to many factors, including cost, degree of risk and rate of income.

BOOK VALUE

The value of a held security as carried in the records of an investor. May differ from current market value of the security.

BROKER/DEALER

Any person engaged in the business of effecting transactions in securities in this state for the account of others or for her/his own account. Broker/dealer also includes a person engaged in the regular business of issuing or guaranteeing options with regard to securities not of her/his own issue.

CALLABLE SECURITIES

An investment security that contains an option allowing the issuer to retire the security prior to its final maturity date.

COMMERCIAL PAPER

Short-term, unsecured promissory notes issued in either registered or bearer form and usually backed by a line of credit with a bank. Maturities do not exceed 270 days and generally average 30-45 days.

COLLATERALIZED TIME DEPOSITS

An interest-bearing bank deposit that has a specific maturity date.

CORPORATE BOND

A debt security issued by a corporation and sold to investors. The backing for the bond is usually the payment ability of the company, which is typically money to be earned from future operations. In some cases, the company's physical assets may be used as collateral for bonds. Corporate bonds are considered higher risk than government bonds. As a result, interest rates are almost always higher, even for top flight credit quality companies.

COUPON RATE

The annual rate of interest payable on a security expressed as a percentage of the principal amount.

COVERED BOND

A covered or mortgage bond is an on-balance sheet obligation of the issuing institution. Typically, a covered bond receives the legal structure, the issuer's backing and the pledge of quality assets, should the issuer fail to qualify for a higher rated bond.

CREDIT RISK

The risk to an investor that an issuer will default in the payment of interest and/or principal on a security.

CURRENT YIELD

The annual income from an investment divided by the current market value. Since the mathematical calculation relies on the current market value rather than the investor's cost, current yield is unrelated to the actual return the investor will earn if the security is held to maturity.

CUSIP NUMBERS

CUSIP is an acronym for Committee on Uniform Security Identification Procedures. CUSIP numbers are identification numbers assigned each maturity of a security issue and usually printed on the face of each individual security in the issue. The CUSIP numbers are intended to facilitate identification and clearance of securities.

DISCOUNT

The amount by which the par value of a security exceeds the price paid for the security.

DIVERSIFICATION

Dividing investment funds among a variety of securities offering independent returns.

DURATION

The weighted average time to maturity of a bond where the weights are the present values of future cash flows. Duration measures the price sensitivity of a bond to changes in interest rates.

EARNINGS APPORTIONMENT

The quarterly interest distribution to the Pool Participants where the actual investment costs incurred by the Treasurer are deducted from the interest earnings of the Pool.

EQUITY-LINKED SECURITIES

A hybrid debt instrument that is linked to the equity markets. Equity-linked securities can be in the form of a single stock, a group of stocks or an equity-based index, such as the S&P 500.

EVENT-LINKED SECURITIES

A type of bond whose interest and principal payments are determined based on the non-occurrence of certain events such as an earthquake and hurricane. If an event, usually referred to as a "trigger event", occurs, then the holder of the bond could see a loss of all future interest payments or a loss of most principal.

FAIR VALUE

The amount at which an investment could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

FEDERAL FUNDS

Funds placed in Federal Reserve banks by depository institutions in excess of current reserve requirements. These depository institutions may lend Fed funds to each other overnight or on a longer basis. They may also transfer funds among each other on a same-day basis through the Federal Reserve banking system. Fed funds are considered to be immediately available funds.

FEDERAL FUNDS RATE

Interest rate at which banks lend federal funds to each other.

FEDERAL OPEN MARKET COMMITTEE (FOMC)

This committee sets Federal Reserve guidelines regarding purchases and sales of government securities in the open market as a means of influencing the volume of bank credit and money.

FIDUCIARY

An individual who holds something in trust for another and bears liability for its safekeeping.

FLOATING RATE NOTE

A debt security whose interest rate is reset periodically (monthly, quarterly, annually) and is based on a market index (e.g. Treasury bills, LIBOR, etc.).

FUTURES

Commodities, which are sold to be delivered at a future date

INTEREST

The amount earned while owning a debt security, generally calculated as a percentage of the principal amount.

INVERSE FLOATING RATE NOTES

Variable-rate notes whose coupon and value increase as interest rates decrease.

LEVERAGED FLOATER

A security, generally a bond, which has a leverage factor of greater than one and a fixed margin with a variable coupon rate, which is tied to a benchmark interest rate or index.

LIQUIDITY

The ease with which investments can be converted to cash at their present market value.

Liquidity is significantly affected by the number of buyers and sellers trading a given security and the number of units of the security available for trading.

LOCAL AGENCY INVESTMENT FUND (LAIF)

The State of California investment pool in which money of local agencies is pooled as a method for managing and investing local funds.

MARKET RISK

Market risk is the risk that investments will change in value based on changes in general market prices.

MARKET VALUE

The price at which a security is trading and could presumably be purchased or sold.

MASTER REPURCHASE AGREEMENT

A written contract covering all future transactions between the parties to repurchase-reverse repurchase agreements that establishes each party's rights in the transaction. A master agreement will often specify, among other things, the right of the buyer-lender to liquidate the underlying securities in the event of default by the seller-borrower.

MATURITY

The date upon which the principal of a security becomes due and payable to the holder.

MONEY MARKET MUTUAL FUND

A mutual fund with investments directed in short-term money market instruments only, which can be withdrawn daily without penalty.

MORTGAGE-BACKED SECURITIES (MBS)

A type of asset-backed security that is secured by a mortgage or collection of mortgages. These securities must also be grouped in one of the top two ratings as determined by an accredited credit rating agency, and usually pay periodic payments that are similar to coupon payments.

MUNICIPAL BOND

Debt obligation of a state or local government entity

NEGOTIABLE CERTIFICATE OF DEPOSIT (NCD)

A negotiable certificate of deposit (NCD) is a certificate of deposit with a minimum face value of \$100,000, and they are guaranteed by the bank and can usually be sold in a highly liquid secondary market, but they cannot be cashed in before maturity.

OPTION

A contract that provides the right, but not the obligation, to buy or to sell a specific amount of a specific security within a predetermined time period. A call option provides the right to buy the underlying security. A put option provides the right to sell the underlying security. The seller of the contracts is called the writer.

PAR

The stated maturity value, or face value, of a security.

PAR VALUE

The stated or face value of a security expressed as a specific dollar amount marked on the face of the security; the amount of money due at maturity. Par value should not be confused with market value.

PREMIUM

The amount by which the price paid for a security exceeds the security's par value.

PRIME RATE

A preferred interest rate charged by commercial banks to their most creditworthy customers. Many interest rates are keyed to this rate.

RANGE NOTE

A structured note that provides investors with an above market coupon, but against foregoing coupon payments when the floating rate (LIBOR, typically) breaks outside the boundaries of a specific range.

RATE OF RETURN

The yield obtainable on a security based on its purchase price or its current market price. This may be the amortized yield to maturity on a bond and the current income return.

REPURCHASE AGREEMENT OR RP OR REPO

An agreement consisting of two simultaneous transactions whereby the investor purchases securities from a bank or dealer and the bank or dealer agrees to repurchase the securities at the same price on a certain future date. The interest rate on a RP is that which the dealer pays the investor for the use of his funds. Reverse repurchase agreements are the mirror image of the RPs when the bank or dealer purchases securities from the investor under an agreement to sell them back to the investor.

SAFEKEEPING

A service to customers rendered by banks for a fee whereby securities and valuables of all types and descriptions are held by the bank in the customer's name.

SECURITIES LENDING

A transaction wherein the Treasurer's Pool transfers its securities to broker/dealers and other entities for collateral which may be cash or securities and simultaneously agrees to return the collateral for the same securities in the future.

SETTLEMENT DATE

The date on which the purchase or sale of securities is executed. For example, in a purchase transaction, the day securities are physically delivered or wired to the buyer in exchange for cash is the settlement date.

STRIPS

Bonds, usually issued by the U.S. Treasury, whose two components, interest and repayment of principal, are separated and sold individually as zero-coupon bonds. Strips are an acronym for Separate Trading of Registered Interest and Principal of Securities.

STRUCTURED INVESTMENT VEHICLES (SIV)

A pool of investment assets that attempts to profit from credit spreads between short-term debt and long-term structured finance products such as asset-backed securities (ABS).

TRADE DATE

The date and time corresponding to an investor's commitment to buy or sell a security.

U.S. AGENCY OBLIGATIONS

Federal agency or United States government-sponsored enterprise obligations, participants, or other instruments. The obligations are issued by or fully guaranteed as to principal and interest by federal agencies or United States government-sponsored enterprises. Issuers include: Fannie Mae, Farmer Mac, Federal Farm Credit Banks, Freddie Mac, Federal Home Loan Banks, Financing Corporation, Tennessee Valley Authority, Resolution Trust Funding Corporation, World Bank, Inter-American Development Bank and PEFCO.

US INSTRUMENTALITIES

An organization that serves a public purpose and is closely tied to federal and/or state government, but is not a government agency. Many instrumentalities are private companies, and some are chartered directly by state or federal government.

U.S. TREASURY OBLIGATIONS (TREASURIES)

Securities issued by the U.S. Treasury and backed by the full faith and credit of the United States. Treasuries are considered to have no credit risk and are the benchmark for interest rates on all other securities in the U.S. and overseas. The Treasury issues both discounted securities and fixed coupon notes and bonds.

WEIGHTED AVERAGE MATURITY

The remaining average maturity of all securities held in a portfolio.

YIELD

The rate of annual income return on an investment, expressed as a percentage. Yield does not include capital gains. (a) INCOME YIELD is obtained by dividing the current dollar income by the current market price for the security. (b) NET YIELD or YIELD TO MATURITY is the current income yield minus any premium above par or plus any discount from par in purchase price, with the adjustment spread over the period from the date of purchase to the date of maturity of the bond.

ZERO-COUPON BOND

A bond on which interest is not payable until maturity (or earlier redemption), but compounds periodically to accumulate to a stated maturity amount. Zero-coupon bonds are typically issued at a discount and repaid at par upon maturity.

APPENDIX F

BOOK-ENTRY ONLY SYSTEM

The information in this APPENDIX F has been provided by DTC for use in securities offering documents, and the District takes no responsibility for the accuracy or completeness thereof. The District cannot and does not give any assurances that DTC, DTC Participants or Indirect Participants will distribute to the Beneficial Owners either (a) payments of interest, principal or premium, if any, with respect to the Series 2018 Bonds or (b) certificates representing ownership interest in or other confirmation of ownership interest in the Series 2018 Bonds, or that they will so do on a timely basis or that DTC, DTC Participants or DTC Indirect Participants will act in the manner described in this Official Statement. The current “Rules” applicable to DTC are on file with the Securities and Exchange Commission and the current “Procedures” of DTC to be followed in dealing with DTC Participants are on file with DTC. As used in this appendix, “Securities” means the Series 2018 Bonds, “Issuer” means the District, and “Agent” means the Paying Agent.

1. The Depository Trust Company (“DTC”), New York, NY, will act as securities depository for the securities (the “Securities”). The Securities will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Security certificate will be issued for each issue of the Securities, each in the aggregate principal amount of such issue, and will be deposited with DTC. If, however, the aggregate principal amount of any issue exceeds \$500 million, one certificate will be issued with respect to each \$500 million of principal amount, and an additional certificate will be issued with respect to any remaining principal amount of such issue.

2. DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a Standard & Poor’s rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

3. Purchases of Securities under the DTC system must be made by or through Direct Participants, which will receive a credit for the Securities on DTC’s records. The ownership interest of each actual purchaser of each Security (“Beneficial Owner”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Securities are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Securities, except in the event that use of the book-entry system for the Securities is discontinued.

4. To facilitate subsequent transfers, all Securities deposited by Direct Participants with DTC are registered in the name of DTC’s partnership nominee, Cede & Co., or such other name as may be requested by an

authorized representative of DTC. The deposit of Securities with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Securities; DTC's records reflect only the identity of the Direct Participants to whose accounts such Securities are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

5. Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Securities may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Securities, such as redemptions, tenders, defaults, and proposed amendments to the Security documents. For example, Beneficial Owners of Securities may wish to ascertain that the nominee holding the Securities for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

6. Redemption notices shall be sent to DTC. If less than all of the Securities within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

7. Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Securities unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to Issuer as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Securities are credited on the record date (identified in a listing attached to the Omnibus Proxy).

8. Redemption proceeds, distributions, and dividend payments on the Securities will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from Issuer or Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, Agent, or Issuer, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of Issuer or Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

9. DTC may discontinue providing its services as depository with respect to the Securities at any time by giving reasonable notice to Issuer or Agent. Under such circumstances, in the event that a successor depository is not obtained, Security certificates are required to be printed and delivered.

10. Issuer may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Security certificates will be printed and delivered to DTC.

11. The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that Issuer believes to be reliable, but Issuer takes no responsibility for the accuracy thereof.

